WBPDCL

The West Bengal Power Development Corporation Limited

Procurement Manual-2019

Bidyut Unnayan Bhaban

3/C, LA- Block, Sector-III
Salt Lake City,
Kolkata-700106

The West Bengal Power Development Corporation Limited
(A Government of West Bengal Enterprise)

Dr. P. B. Salim, IAS
Chairman & Managing Director

FOREWORD

I am pleased that our company has brought out the WBPDCL Procurement Manual – 2019. This Manual brings out guidelines and broad frame work of procurement process, procedures and will provide essential information including step by step guide for procurement of goods, works and services across the Corporation.

This Procurement Manual will not only help in the procurement activities to ensure fair, transparent, healthy competition but also assist us in making timely availability of materials, works and services.

I compliment all the officials who are involved in framing of this manual especially the then CMD, Mr. Santanu Basu IAS and CVO, Mr. Somnath De for their contributions and sincerely hope that with the implementation of this manual, decision making process related to procurement of goods, works and services would be better and easier.

10/07/19

(Dr. P. B. Salim, IAS)

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THE WEST BENGAL POWER DEVELOPMENT CORPORATION LIMITED

(A Government of West Bengal Enterprise)

WBPDCL

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In view of maintenance of fairness and transparency and to ensure that the Corporation acquires goods, works & services on a cost effective basis without compromising with the quality, and norms of financial integrity, it was felt necessary to formulate/consolidate the objectives of procurement and procedures to be followed, in the form of a Manual.

Accordingly, guidelines of procurement under the name of WBPDCL Procurement Manual, 2019 has been framed for its implementation across all the existing and ensuing Units of the Corporation including Corporate office for any kind of procurement process.

The Board of Directors of WBPDCL in its 196th Meeting held on 22/06/2019 has accorded approval for its implementation.

Henceforth, all the procurements shall be made in strict adherence to the extant provisions of WBPDCL Procurement Manual, 2019. This Manual shall come into force with immediate effect.

10/07/19

(Dr. P.B. Salim, IAS)

Chairman & Managing Director

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ABBREVIATIONS

ACQ	Annual Contracted Quantity
AMC	Annual Maintenance Contract.
BC	Banker's Cheque
BEC	Bid Evaluation Criteria
BG	Bank Guarantee
BOD	Board of Directors
BOM	Bill of Materials
BOQ	Bill of Quantity
CA	Competent Authority
CAPEX	Capital Expenditure
CEA	Central Electricity Authority
CFR	Cost and Freight
CGST	Central Goods and Services Tax
CIF	Cost Insurance & Freight
CIP	Carrier & Insurance Paid
CMD	Chairman & Managing Director
CPG	Contract Performance Guarantee
CPWD	Central Public Works Department
CQCCBS	Combined Quality Cum Cost Based System
CST	Comparative Statement of Tenders
DBT	Direct Bank Transfer
DCB	Domestic Competitive Bidding.
DD	Demand Draft
DOP	Delegation of Power
DPR	Detailed Project Report
DSC	Digital Signature Certificate
ED	Executive Director
EDI	Electronic Data Interchange
EMD	Earnest Money Deposit
EOI	Expression of Interest
EPC	Engineering, Procurement & Construction
ERP	Enterprise Resource Planning
ERV	Exchange Rate Variation
ESI	Employee State Insurance
F&A	Finance & Accounts
F&I	Freight & Insurance
FCA	Free Carrier
FOB	Freight on Board
FOR	Freight on Rail
FY	Financial Year (from April to March)
GCC	General Conditions of Contract
GoWB	Government of West Bengal
GRN	Goods Receipt Note

GST	Goods and Services Tax
GSTIN	Goods Services Tax Identification Number
HoD	Head of Department
HR&A	Human Resource and Administration
IBR	Indian Boiler Regulation
ICB	International Competitive Bidding.
IFB	Invitation for Bids
IGST	Integrated Goods & Services Tax
IPR	Intellectual Property Rights
IWAI	Inland Waterways Authority of India
JICA	Japan International Cooperation Agency
JV	Joint Venture
LC	Letter of Credit
LD	Liquidated Damage
LLP	Limited Liability Partnership
LoA	Letter of Award
LoI	Letter of Intent
LR	Lorry Receipts
M&C	Materials & Contract
MoU	Memorandum of Understanding
MMTC	Metal & Mineral Trading Corporation of India
MSE	Medium and Small Enterprises
MSME	Micro, Small and Medium Enterprises
MSTC	Metal Scrap Trade Corporation Ltd.
MW	Mega Watt
NICSI	National Informatics Centre Services Inc.
NIT	Notice Inviting Tender
NSIC	National Small Industries Corporation
O&M	Operation and Maintenance
OEM	Original Equipment Manufacturer
OES	Original Equipment Supplier
OPEX	Operational Expenditure
PAC	Propriety Article Certificate
PAN	Permanent Account Number
PDI	Pre-Delivery Inspection
PECL	The Project and Equipment Corporation of India Ltd.
PF	Provident Fund
PGCIL	Power Grid Corporation India Ltd.
PO	Purchase Order
PPM	Parts Per Million
PR	Purchase Requisition
PRAYOG	Planning for Resources Arrangements to Yield Organization Goal
PSU	Public Sector Undertaking
PWD	Public Works Department
PWD SOR	Public Works Dept Schedule of Rate
QA	Quality Assurance

QBS	Quality Based Selection
QR	Qualifying Requirement
RBI	Reserve Bank of India
RC	Rate Contract
RFP	Request For Proposal
RFQ	Request For Quotation
RITES	Rail India Technical and Economic Service
RR	Railway Receipt
RVNL	Rail Vikas Nigam Ltd.
SBD	Standard Bid Documents
SCC	Special Conditions of Contract
SERC	State Electricity Regulatory Commission
SGST	States Goods & Services Tax
SOP	Standard Operating Procedure
SSC	Source Standardisation Committee
SSI	Small Scale Industries
STCI	State Trading Corporation of India Ltd.
TC	Tender Committee
TDS	Tax Deducted at Source
TIA	Tender Inviting Authority
TOR	Terms of Reference
TT	Telegraphic Transfer
UAM	Udyog Aadhaar Memorandum
WO	Work Order
WTL	Webel Technology Limited
YTD	Year to date

CHAPTER-1: INTRODUCTION

CHAPTER 1: INTRODUCTION

1.1 Statement of Policy

1.1.1 To meet Company's goal of generation of Electricity at the lowest possible cost, it is expedient to consolidate the instruction for effective procurement of goods, works and services at the most economical cost within the accepted standards of quality, quantity, delivery and service.

1.1.2 This Manual outlines WBPDCL's policy regarding procurement of materials/ equipment, spares and accessories as well as works and services including execution of works.

1.1.3 This Manual does not intend to address the Delegation of Powers (DoP) to carry out these functions as these are separately addressed by WBPDCL.

1.1.4 The basic objective of procurement management is to purchase Right Quantity and Quality of materials at Right Price from Right Source and at Right Time and Place to ensure uninterrupted generation and also to avoid unnecessary blockage of working capital. The procedure shall be based on transparency, equity and fairness and consistent with relevant laws of the land.

1.1.5 However, highest quality is not always the right quality rather right quality is one, which meets intended use at the right price. Similarly lowest price is not always the right price; price has to be related with the requisite quality for the intended use.

1.2 Scope and Applicability

This manual is applicable for all the existing units as well as upcoming units of Corporation including corporate office in the matters relating to procurement of raw materials, equipment, spares, accessories, consumable items, chemicals, construction, fabrication, repair, overhauling, renovation, installation, erection, excavation, dredging, all types of civil works, electrical and mechanical works, maintenance work of machinery and plant and also all outsourced works / service related job including labour supply job. However items stated above are not exhaustive but illustrative.

1.3 General Guideline for Procurement through PRAYOG

The procurement is to be done through PRAYOG (ERP). While the Procurement manual set the rules and policies which are subjective in nature, the process will be controlled by the business process logic configured in PRAYOG.

For transaction in PRAYOG (ERP), the Standard Operating Procedure (SOP) document shall be followed while making procurement. The SOP document is annexed hereof at **ANNEXURE-1.** However the following consideration shall be maintained in procurement process:

a) For every procurement, there must be a Purchase Requisition (PR) created in PRAYOG;

b) The PRs once approved are converted to Purchase Orders through another approval process;

c) Payments are made against receipt of goods / Services (acknowledged through Good Receipt Note [GRN] or Service Entry Sheet [SES]);

d) There are separate processes for procurement of items for common O&M activities and procurement of goods, services & projects to be capitalized leading to creation of asset.

e) Since procurement process in WBPDCL in general is being governed by PRAYOG (ERP), this procurement manual should be read wherever relevant, in conjunction with the PRAYOG (ERP), DOP as well as WBPDCL Policy & Procedure of Blacklisting & Debarment of agencies from Business Dealings.

f) All procurements shall be made following statutory taxes & duties applicable at the time of procurement (Details discussed in Clause 3.10)

1.4 Objectives of purchasing function

The objectives of the Purchasing Function are:

1.4.1 To maintain continuity of supply to support scheduled operation and maintenance and other ancillary needs of the organization.

1.4.2 To procure the materials at lowest possible overall cost based on pre-determined standards, technical specification and suitability i.e., meeting functional needs efficiently, without compromising with desired quality and service requirements to ensure efficient and effective performance.

1.4.3 To avoid duplication of purchases which result in waste, redundancy and obsolescence.

1.4.4 To keep the investment in inventory at the optimum level so as to meet both financial and operational requirements.

1.4.5 To develop reliable sources of supply which shall include alternate sources for critical materials for strategic reasons.

1.4.6 Development of Vendor shall also aim at reducing dependence on Original Equipment Manufacturer (OEM) or foreign suppliers through process of developing alternate sources of supply/ import substitution.

1.4.7 To critically evaluate the performance of suppliers/Vendors so as to weed out those, whose performance is not up to the mark and strengthen business relationship with those whose performance had been found consistently satisfactory.

1.4.8 To reduce lead-time of procurement and enter long term contracts for items of regular use.

1.4.9 To train and develop a professionally competent team of purchasing personnel, to attain above objectives.

1.5 Maintenance of Integrity

Employees involved in procurement process shall respect and maintain integrity of competitive bidding process on the following score:

a) Contract shall be awarded to the lowest bidder. However in certain Rate Contracts, bidders other than the lowest one may also be considered provided they agree to match with the lowest quoted price.

b) All the bidders shall be treated alike and information / clarification, if any, shall be given to all potential bidders.

c) Bid shall not be accepted after the announced bid closing date & time.

1.6 Definitions

Unless the context otherwise requires, the following words and expressions shall have the meanings / interpretations hereby assigned to them. These shall be read in conjunction with the list of abbreviations provided in this Manual:

1.6.1. "Alteration / Variation Order" shall mean an order given in writing by the authorised Officer of the Procuring entity or any other person so authorised by the Procuring entity to effect addition to scope or deletion from scope of the Contract.

1.6.2. 'Approved' means approval accorded in writing by the competent authority as per DOP on the proposal of procurement of the indenting department.

1.6.3. "Bid" (including the term 'Tender', 'offer', 'quotation' or 'proposal' in certain contexts) means an offer to supply goods, services or execution of works made in accordance with the terms and conditions set out in a document inviting such offers;

1.6.4. "Bid Security / Earnest Money Deposit (EMD)" means a security obtained from a bidder with the intention to avoid:

(a) The withdrawal or modification of an offer after the deadline for submission of bid.

(b) Failure to sign the contract or failure to provide the required security for the performance of the contract within stipulated time after an offer has been accepted; or

(c) Failure to comply with any other condition precedent prescribed.

1.6.5. "Bidder" (including the term 'Tenderer', 'Vendor', 'Contractor', 'Consultant' or 'Service Provider' in certain contexts) means any eligible person or firm or company and may also include a foreign company, cooperative society or any other body including Association of Person (AoP) or Body of Individuals (BoI) duly registered as per law of the Land. It may also include Joint Venture both incorporated (Company, LLP, Partnership) and unincorporated (Consortium, Strategic Alliance or Collaborator).

1.6.6. "Buy Back" When it is decided to replace an existing old item(s) with a new/better version, the Department may trade the existing old item while purchasing the new one by issuing suitable bidding documents for this purpose. The condition of the old item, its location and the mode of its handing over to the successful bidder are also to be incorporated in the bidding document. Further, the bidder should be asked to quote the prices for the item (to be offered by them) with rebate for the old item also.

All Buy Back items should be declared as scrap by the Scrap Committee constituted by the Corporation from time to time before considering those items as buy back items.

Provision shall be made in the Tender document specifying the schedule within which the prospective bidder may make inspection of the items offered under buy back. Further it shall specifically be mentioned in the Tender document that it would be the responsibility of the successful bidder to take such item from the premises / precincts of the procuring entity exclusively at their own cost and expenses. A Proforma for price Bid for such Buy Back Tender process is available at **ANNEXURE – 2.**

1.6.7. "Capital Expenditure (CAPEX)" means

(i) Expenditures incurred with the object of acquiring items that:

a. are held for use in the production or supply of goods or services, or for administrative purposes; and

b. are expected to produce future economic benefit, with a useful life in excess of one year.

Items of capital expenditure include plant and equipments, machinery, tools & tackles, computer equipment and software, office furniture, vehicles, buildings and improvements including leasehold improvements, land, etc.

1.6.8. "Chairman & Managing Director (CMD)" shall mean the Chairman and Managing Director of the WBPDCL.

1.6.9. "Competent Authority (CA)" means the concerned authority empowered to accord approval in any matter relating to procurement as per the Principles of Delegation of Power of the Corporation.

1.6.10. "Consultancy Services" covers a range of services that are of an advisory or professional nature and are provided by consultants. Consultant includes a wide variety of private and public entities, including transaction advisors, consulting firms, engineering firms, procurement agents, inspection agents, auditors, investment and merchant bankers, recruitment agencies, government agencies, non govt organization (NGO) and individual/ experts. These consultant can be engaged for help in a wide range of activities- such as policy advice, institutional reforms, management & engineering services, construction supervisions/ project management, feasibility studies, mine planning, social and environmental studies, identification of projects, preparation of DPR, development of computer hardware/ software services etc.

1.6.11. "Contract Agreement / Contract" shall mean the legally-binding formal agreement entered into between the Procuring entity and the Contractor as per the format specified in the Tender Document (and subsequent amendments thereof mutually agreed between Procuring entity and Contractor, if any) for execution of the defined Scope of Work on mutually agreed terms & conditions and which are in compliance with all the relevant provisions of Indian laws. This shall also include documents such as NIT, Instructions to Bidders, General Conditions of Contract, Special Conditions of Contract, Scope of Work, Technical Requirement Specification, Functional requirement Specification and agreed variations (if any) and relevant Annexure and Forms.

[Model Format of 'Contract Agreement' are annexed as **ANNEXURE – 3]**

1.6.12. "Contract Period" shall mean the time period during which the Contract Agreement governs the relations and obligations of the Procuring entity and the Contractor.

1.6.13. "Contract Price" shall mean the price or prices as specified in the Letter of Award/Work Order/Contract Agreement.

1.6.14. "Day" shall mean a period of 24 consecutive hours from midnight to next midnight.

1.6.15. "Effective Date" shall mean the date of commencement of contract period. It is the date of issuance of Letter of Award/Work Order or any other date as specified in the Letter of Award/Work Order.

1.6.16. "Engineer-in-Charge" shall mean the Engineering Officer appointed by the Corporation or his duly authorised representative who shall direct, supervise and be In-charge of the job/works/services for the purpose of any contract.

1.6.17. "EPC" stands for Engineering, Procurement and Construction. The engineering and construction contractor upon whom the job will be entrusted by the corporation will carry out the detailed engineering design of the project, procure all the equipment and materials necessary, and then construct to deliver a functioning facility or asset to the Corporation. Companies that deliver EPC Projects are commonly referred to as EPC Contractors.

Normally the EPC Contractor has to execute and deliver the project within an agreed time and budget, commonly known as a Lump Sum Turn Key (LSTK) Contract.

1.6.18. "e-Procurement" means the use of information and communication technology (specially the internet) by the Procuring Entity in conducting its procurement processes with bidders for the acquisition of goods (supplies), works and services with the aim of open, non-discriminatory and efficient procurement through transparent procedures;

1.6.19. "Financial Year" shall mean a period of twelve (12) consecutive Months beginning with April to next March as is customary in the Procuring Entity's country.

1.6.20. "Goods" includes all articles, material, commodity, furniture, fixtures, raw material, spare parts, instruments, machinery, equipment, vehicles, a group of machines comprising an integrated production process procured or otherwise acquired by the Procuring Entity. Further intangible product/assets like technology transfer (i.e., software etc), licenses, patents or other intellectual properties are also considered as goods.

Procurement of goods may include certain small work or some services, which are incidental or consequential to the supply of such goods, such as transportation, insurance, installation, commissioning, training and maintenance;

1.6.21. "Indenter" means the entity and its official initiating a procurement indent, that is, a request to the Procuring Entity to procure goods, works or services specified therein.

1.6.22. "Intellectual Property Rights (IPR)" refers to creations of the mind: Inventions; Literary and artistic works and symbols, names and images used in commerce. Intellectual Property is divided into two categories: Industrial property includes patents for inventions, trademarks, industrial design and geographical indications. Copyright covers literary works, films, music, artistic works and architectural design. Intellectual Property Rights are like any other property right. They allow creators or owners of patents, trademarks or copyrighted works to benefit from their own work or investment in a creation.

1.6.23. "Inventory" means any material, component or product that is procured for use at a later time.

1.6.24. "Joint Venture or Consortium" may be defined as any arrangement whereby two or more parties (i.e., any individual, company or organization) co-operate in order to run a business or to achieve a commercial objective. This co-operation may take various forms, such as equity-based or contractual JVs. (For Details refer Clause 3.8)

1.6.25. "Letter of Award (LoA)" shall mean intimation in writing by Procuring entity placing award of contract upon the successful Bidder towards execution of the contract on acceptance of the bid offered by the bidder following terms and conditions as enumerated in the Tender Document.

1.6.26. "Notice inviting Tenders" (including the term 'Invitation to bid' or 'request for proposals' in certain contexts) means a document and any amendment thereto published or notified by the Procuring Entity, which informs the potential bidders that it intends to procure goods, services and/or works;

1.6.27. "OPEX (Operation Expenditure)" - means expenditures required for the day-to-day functioning of the plants and different establishment of the Corporation, like

expenditure on manpower, repairs, maintenance spares, consumables, insurance and overheads fall under the category of Opex, or operational expenditure.

1.6.28. "Procurement" means acquisition of goods, works or services or any combination thereof by way of purchase, lease, license or otherwise by a Procuring Entity, whether directly or through an agency with which a contract for procurement, is entered into.

1.6.29. "Procurement Contract" (including the terms 'Purchase Order' or 'Supply Order' or 'Work Order' or 'Consultancy Contract' or 'Contract for Services' under certain contexts), means a formal legal agreement in writing relating to the subject matter of procurement, entered into between the Procuring Entity and the supplier, service provider or contractor on mutually acceptable terms and conditions and which are in compliance with all the relevant provisions of the laws of the country.

1.6.30. "**Procurement Process"** means the process of procurement extending from the assessment of need, evaluation of cost of procurement, decision to procure, selection of mode of procurement, invitation for offer; evaluation of the offer(s) received, choosing the right offerer (bidder) and awarding the contract and extends to execution of the contract till its closure.

1.6.31. "Procuring Authority" means the authority empowered under DoP who finally approves proposal for procurement of goods, works or services.

1.6.32. "Procuring Entity" means the Corporation and its subordinate offices (different units of Corporation) to which powers of procurement have been delegated. M&C Dept. is the Executing Department for any procurement process.

1.6.33. "Prospective bidder" means anyone likely or desirous to be a bidder;

1.6.34. "Rate contract" means an agreement between a Procuring Entity with one or more bidders, valid for a specified period of time, which sets out terms and conditions under which specific procurements can be made during the term of the agreement and include an agreement on price per unit. Under this contract quantities are not fixed. However, sometimes a minimum quantity is assured, and such contract is then known as Running Contract.

1.6.35. "Registered Vendor" means any vendor/supplier/contractor enlisted as registered vendor of the Procuring Entity.

1.6.36. "Registering Authority" means an officer not below the rank of DGM in the M&C dept. who will register eligible bidders for different categories of procurement after due approval of the competent authority.

1.6.37. "Reverse auction" (or the term 'Electronic reverse auction' in certain contexts) means an online real-time purchasing technique utilised by the Procuring Entity to select the successful bid, which involves presentation by bidders of successively more favourable bids during a scheduled period of time and automatic evaluation of bids.

1.6.38. "Scheduled Bank" means a bank included in the Second Schedule under the RBI Act, 1934.

1.6.39. "Service" means any subject matter of procurement other than goods or works, except those incidental or consequential to the service, and includes physical, maintenance, professional, intellectual, training, consultancy and advisory services etc. but does not include appointment of an individual made under any law, rules, regulations or order issued in this behalf;

1.6.40. "Standard Bidding Documents" (including the term 'Tender enquiry documents' or 'Request for Proposal Documents' – RFP documents in certain contexts) means a document issued by the Procuring Entity, including any amendment thereto, that sets out the terms and conditions of the given procurement and includes the invitation to bid.

1.6.41. "Subject matter of procurement" means any item of procurement whether in the form of goods or services or works or a combination thereof.

1.6.42. "Tender Inviting Authority (TIA)" mean the Engineer / Officer who is empowered by the procuring entity to publish Tender under his signature e.g. GM, GM (M&C), DGM (M&C), etc.

1.6.43. "Works" refer to any activity, sufficient in itself to fulfil an economic or technical function, involving construction, fabrication, repair, overhaul, renovation & modernization, decoration, installation, erection, excavation, dredging, and so on,

which make use of a combination of one or more of engineering design, architectural design, material and technology, labour, machinery and equipment. Supply of some materials or certain services may be incidental or consequential to and part of such works. The term “Works” includes (i) civil works for the purposes of roads, rail tracks, buildings, water supply, sewerage facilities, dams, tunnels and earthworks including ash pond and so on, and (ii) mechanical and electrical works involving fabrication, installation, erection, repair and maintenance of a mechanical or electrical nature relating to machinery and plants.

CHAPTER 2: PROCUREMENT FUNCTION

CHAPTER 2: PROCUREMENT FUNCTION

2.1 Key Activities of Procurement Function

Procurement of Goods, Works and Services is done with a view to make available requisite materials, works and services that organization decides not to provide internally. While initiation of procurement process, due diligence and care should be taken to ensure that:

2.1.1 All the procurements are made against the proper and duly approved Purchase Requisitions (PR).

2.1.2 Terms and conditions governing procurement shall be made known to supplier/vendor/contractor from the very beginning i.e. at the time of 'Notice for Inviting Tenders'. Terms and conditions shall be so formulated that they ensure delivery of materials, works & services at right time and place. Standard terms and conditions must be communicated to the bidders through Tender Documents. The methodology of loading for deviations in the offers with reference to standard terms and conditions shall also be indicated.

2.1.3 Selection and development of Vendors who are capable of meeting organization's needs.

2.1.4 Prepare and sign all purchase orders/ contracts so that the need of the organization is met within schedule. Further all pertinent terms and conditions related to purchase/works and services are clearly understood by the suppliers/agency/contractor and documented accordingly. The language shall not be ambiguous.

2.1.5 Monitor supplier's/contractors/vendors performance and related organization activities during tenure of contract to assume that performance is accomplished to the satisfaction of both the parties in accordance with what originally intended.

2.1.6 Renegotiate or terminate purchase orders/contracts, in case of change in the character of job in question due to reasons which could not be foreseen while placing order.

2.1.7 Review purchase specifications and assist operating departments in selection of required materials, works and services for standardization purposes and ensure their availability from competent suppliers/vendors.

2.1.8 Systematic evaluation of vendor's performance based upon parameters of price, quality, delivery and other attributes as necessary for the organization.

2.1.9 Protect the organization from all unnecessary or unauthorized commitment, which may result from inappropriate contract or discussions with the suppliers/ contractors/vendors.

2.2 Procurement Budgeting

2.2.1. In order to ensure planned procurement and to avoid repetitive emergency purchases, preparation of Procurement Budget with schedule of procurement shall be developed for all O&M procurement. It should be done separately for Centrally Procured and Non-Centrally Procured Items

for each financial year for expenditure to be booked as Capital and Revenue.

2.2.2. The budget will be prepared and approved against each Purchasing Group in PRAYOG (ERP).

2.2.3. The Procurement budget shall also be prepared for Non augmentation/ up-gradation projects (CAPEX/ REVENUE), and Renovation & Modernization projects including the works which are required to be executed on turnkey basis.

2.2.4. In preparing the Procurement Budget, the objective should be to ensure:

2.2.4.1 Technical justification is required in all the cases before initiation of the procurement action

2.2.4.2. Availability of right material at right time and right quantity for timely completion of activities,

2.2.4.3. To maintain appropriate inventory levels for proper, efficient and effective operation of the distribution facilities and to avoid repetitive procurement of the same item.

2.2.5. The approval for budget must be based on reports from PRAYOG (ERP) substantiating the reasons for budgetary provision.

2.2.6. The Procurement Budget shall be finalized keeping in view the prescribed norms, availability of budget provisions, stock position, pipeline quantities against pending orders and after considering the requirements of the User departments. The consolidated Procurement budget shall be prepared by Director (O&M) /ED(OS) for concurrence of the Director (Finance & Accounts) at Corporate Office.

2.2.7. Post approval of the budget, the purchase requisition against each purchasing group created through PRAYOG (ERP) will report on the status of budgetary allocation and year-to-date (YTD) budget consumption. This control will be used to keep the procurement within the approved budget. In case of emergent procurement exceeding the budgetary allocation special approval from competent authority may be taken.

2.2.8. Wherever the orders are placed for procurement of item(s) based on the budget provision in any financial year but actual supplies against such orders are made in the next Financial Year (FY), the budget provision for such supplies should again be made in the next FY.

2.3. Procurement Budgeting for O&M Requirements (Repair & Maintenance)

a) The O&M requirements shall be assessed by each Head of Department (HoD) by the beginning of the month of November for the next FY in advance and send through concerned DGM to the DGM (IC) of respective plant. DGM (IC) shall examine the requirement after discussion with respective user dept. and forward the consolidated statement of budget to respective GM (Plant).

b) Such consolidated requirements, after necessary verification by GM (Plant) be forwarded to Director (O&M) / ED (OS) at corporate office to formulate the Procurement Budget by the end of December.

c) The Procurement Budget shall be further converted into financial budget in consultation with Director (Finance & Accounts), by the end of January of the following year. The Procurement Budget shall be approved by the CMD by February. The Director (O&M) would be the concerned officer for obtaining the approval of the Procurement Budget and circulating the same to the Plants and/or Procurement department at Corporate Office in order to initiate the process of procurement of budgeted item(s).

d) No further administrative approval would be required for initiating the procurement action. However procurement required beyond the approved budget would require administrative approval of CMD.

e) The proposed Financial Budget shall be submitted to the Finance & Accounts department for consolidating the financial budget for the next FY.

2.4. Procurement Budgeting for Capital Requirements

a) No new works shall be sanctioned without careful assessment of the assets or facilities already available and time & cost required to complete the new works;

b) As budgetary resources are limited and granted on annual basis, adequate provisions should be ensured for works already in progress before new works are undertaken;

c) The construction period and sanctioned cost stipulated in the sanction of works shall not be exceeded as far as possible;

d) The competent authority should be kept informed of the progress of the work and likely variations in the completion cost of the work vis-à-vis the sanctioned estimate till their completion through regular periodical reports (preferably monthly);

e) Any additional work, not contemplated in the original project shall not be carried out without obtaining due approval from Director (O&M) / Director (Proj.), as the case may be. The GM (Plant) shall be responsible for preparation of the Capex requirements based on the availability of financing from State Electricity Regulatory Commission (SERC). The approval of these requirements shall be obtained from the CMD/BoD and Regulator wherever required.

f) The respective GM (plants) shall assess the requirement of new works/goods/services under their respective financing scheme keeping in view the eligibility requirements thereof, expected to be executed during the year. They shall also assess the requirement of funds against ongoing procurement of goods/services/ works already under execution.

g) GM(OS) or a designated DGM(OS) at Corporate Office shall prepare the capital budget by the beginning of the month of November for the next FY in advance. The GM (OS) or designated DGM (OS) shall consolidate the requirements and put up to Director (O&M) through Executive Director (OS). Director (O&M) will forward it through Director (Finance & Accounts) to CMD (Board if required as per DoP) for approval. GM (OS) or designated DGM (OS) shall be responsible to ensure that the process of approval of budget is completed by February end of the following year.

h) Similar procedure will be followed for purchases for Corporate Office like IT, HR&A etc which are in general non-O&M purchases and where the Budget will be prepared by respective ED/Director and approved by CMD.

i) For works already approved as per Clause 2.4(g) above, no further administrative approval would be required for initiating the procurement action. However goods/services/works required beyond the approved list would require administrative approval as per the DoP.

2.5. Procurement Budgeting for New Project / Expansion Project

Any new Project / Expansion project which has not been considered in the approved capital budget, being operationally necessary, proper procurement budget may be prepared for the same, subject to due administrative and technical approval accorded

by the respective authority as empowered under DoP. Sanction/ permission from State Govt., SERC, CEA shall also be obtained wherever required.

2.6. Procurement related Committee

2.6.1. Tender Committee:

A. Constitution:

Sl No.	Level of Award Approval Authority	Minimum level of TC Member	Approval of TC
(a)	DGM	Manager	Dy. General Manager / Senior Manager
(b)	ED/GM	Senior Manager	General Manager
(c)	Directors	Dy. General Manager	Directors
(d)	CMD/Board Committee/BoD	General Manager	CMD

Remarks:

1. Formation of Tender Committee shall be mandatory for contracts of value greater than Rs. 5 lakhs.

2. Any change in the members of the TC shall be approved by the same authority who has originally approved the constitution of TC :

    a. Subject to adherence of Policy Guideline ;

    b. Approval for constitution/change of members from a particular department shall be from Competent authority of the same department/plant;

    c. Under special circumstances, the authority approving the constitution of TC may allow a special invitee to be a part of the Tender Committee meetings.

3. Tender Committee shall have representatives from User department, M&C department and F&A department. In case the work involves engagement of

manpower, representative of HR&A department should be incorporated. Representative of IT department should be incorporated if the work/project involves any IT related matter.

In addition to above, in case estimated value is above Rs. 10 Crore and Tender is floated by corporate office, Director (O&M) & Director (Project) shall nominate one technical officer each (other than from indenting department) as a member of the TC.

In case estimated value is above Rs. 50 lakh and Tender is floated from plant, GM (Plant) shall nominate one technical officer (other than from indenting department not below the rank of DGM/Sr. Manager) as a member of the TC.

Where consultant is engaged, representative of consultant may be included in the Tender Committee.

The senior most member will head the Tender Committee.

B. <u>Function of TC</u>

The function of the TC is to assist the M&C department in finalization of QR and in evaluation of Tender. The TC shall also assess and recommend about standardization of different sources. (For details refer Clause 9.2.2)

2.6.2. Bid Opening Team:

A. In case of e-tender, Bid Opening Team shall comprise of 2(two) Engineers / Officers having DSC issued in their favour. One of them must be from M&C department. The other one should preferably be from F&A department.

B. For offline tender above Rs. 5 lakhs, Tender Committee shall act as Bid Opening Team. For tender below Rs. 5 lakhs, Bid Opening team shall be in the line of Sundry Item Procurement Committee as mentioned under clause 2.6.3 below.

2.6.3. Sundry Item Procurement Committee:

The committee consists of officers not below the rank of Assistant Manager from M&C Dept, HR&A Dept (if necessary), Finance Dept and User Department. Members of the committee will be nominated by General Manager (Plant). For contracts of value less than Rs 5 lakh, M&C Dept. may take the assistance of this committee for finalization of QR and evaluation of tender. This committee is also authorized to procure small value items through direct purchase/ spot quotation. However value of such purchase shall be limited to Rs. 1 lakh only.

CHAPTER 3: MODES OF PROCUREMENT AND GENERAL GUIDELINES FOR TENDERS

PART - I: DIFFERENT MODES OF PROCUREMENT & TYPES OF BIDDERS

PART - II: GENERAL GUIDELINE FOR ALL TYPE OF TENDERS

PART - I: DIFFERENT MODES OF PROCUREMENT & TYPES OF BIDDERS

3.1. Different Modes of Procurement

Different modes of procurement are used to suit various procurement circumstances and requirements. While procuring, offers from prospective bidders must be invited according to a procedure that achieves a balance between the need for the widest competition, on one hand, and complexity of the procedure, on the other hand.

Notwithstanding anything contained in this manual, for procurements financed by loans/grants extended by international agencies, like the World Bank, Asian Development Bank, JICA etc, the procurement procedures, as finalized and incorporated in the Articles of Agreements with such agencies for relevant loans/grants after consideration and approval of the Competent Authority are to be followed.

User department will initiate the purchase requisition along with proposed mode of Tender and authority empowered as per DOP will approve the same.

The mode of purchase of goods /works/services shall be decided with regard to the following relevant factors.

a) The estimated value of approved purchase requisition
b) Type of materials i.e. general purpose or specialized (proprietary or otherwise)
c) Standardized items (Single Source Standardization or Multi- Source Standardization)
d) Urgency of requirement
e) Delivery schedule for the suppliers/Period of Completion of Works/Services for the Contractor
f) Requirement is for product development or import substitution.

Based upon the above factors, or any other special consideration, one of the following modes of Tendering shall be adopted:

i) Open Tender:
   a) Domestic Competitive Bidding
   b) International Competitive Bidding
ii) Limited Tender
iii) Single Tender
iv) Sundry purchases

3.2. Open Tender:

Under this mode bid is open to all prospective eligible bidders. This is the most preferred mode of procurement to ensure wider competition and receiving best competitive price. It should be resorted to in all procurement unless the situation genuinely warrants adoption of other modes. It should normally be done in e-procurement mode. For a particular procurement if the available platform appears to be not suitable under any special circumstances, then traditional method may be adopted. However, reason for adopting traditional method should be recorded in writing while taking such decision.

Open Tender procedures should be adopted in the following situations:

i. Procurement exceeding the threshold of Rs 5 Lakhs (Rupees Five Lakhs)

ii. For requirements that are ordinarily available in the open market but it is necessary to evaluate competitive offers to decide the most suitable and economical option available; and

iii. When requirements are not available from known sources or sources are presently limited and need to be broad based. In such situations, even for procurements below Rs 5 Lakhs, Open Tender Mode may be used, if warranted.

Open Tender is adopted in both Domestic Competitive Bidding and International Competitive Bidding.

a) **Domestic Competitive Bidding (DCB):** Meant for domestic bidders only. Normally we should resort to DCB, unless situation warrants otherwise as mentioned in clause 3.2(b) below.

b) **International Competitive Bidding (ICB)**

ICB is aimed at inviting the participation of foreign firms in addition to domestic firms. In the absence of domestic manufacturing facility / capability in respect of specific equipment/ material/ service, foreign manufacturers / suppliers/ service provider may be allowed to participate in tendering process. However, normally foreign company will be allowed to participate in the bidding if it forms a consortium / joint venture with an Indian entity. For details see Chapter 12.

3.3. Limited Tender:

In this mode, tender is invited from limited numbers of pre-selected bidders.

Mode of procurement through Limited Tendering shall be resorted to only in the following circumstances:

a) When goods/works/services are not required to be procure from OEM/OES/ Single source (branded); and

b) The goods/works/services required is available only from a limited number of sources or a certain no of sources are already identified through source standardisation process (details in chapter 9); or

c) When the requirement of goods /works/services is urgent and desired schedule cannot be met through open Tender and the estimated value is within the range as approved under DOP.

3.4. Single Tender:

In this mode, tender is invited from a particular vendor.

In a planned procurement system, there should normally be no occasion to take recourse to purchase of goods/award of contract/services through Single Tender except in emergent, unavoidable and unforeseen circumstances. Therefore, invitation of bid from a single party should be resorted to, in the following cases with the approval of the competent authority as per the DoP:

a) Proprietary cases [Original Equipment Manufacturer (OEM)/ Original Equipment Supplier (OES)], or

b) Source standardisation cases, or

c) On Ground of Urgency, or

d) On any Other Ground

a) <u>Proprietary cases (OEM/ OES)</u>

i) Various spare parts, attachment and accessories etc. for the existing equipment need to be purchased from OEM/OES, unless alternative sources have been developed with proven performance and interchangeability. Such spares shall be treated as proprietary articles of OEM/OES.

ii) While raising the purchase requisition for spares a critical analysis shall be made as to whether the requisitioned spares manufactured by OEM/supplied by OES are their bought out items or not. If certain spares are their bought out items, efforts shall be made to buy from the market rather than buying from OEM/OES. This shall normally help to procure spares not only at cheaper rates but also within a short period. From OEM/ OES we shall normally buy spares which are their dedicated spares and even if bought out, sources are not identified.

b) <u>Source standardisation cases</u>

There are various items of spares of different equipments of plant which have been developed and marketed by various suppliers. Availability of such spares in right quality, quantity and time is of paramount importance for smooth running of power plant. Sometime it has been observed that items supplied by few suppliers failed to provide reliable and consistently good services. As a result our plant faces premature failure. It is therefore imperative to look for quality materials amongst available brands/ committed manufacturers of proven result. This can only be possible when standardization of equipments/spare parts is done based on its compatibility with the existing equipments and vendor assessment is done in a regular manner.

The source standardization for any item may be from a single party or multi-party, as deemed appropriate, keeping in view the nature & quality of item and number of acceptable vendor available. In case of availability of a material from multiple standardised sources, limited tender mode should be adopted.

For details regarding procedure of source standardization refer Chapter 9.

c) On Ground of Urgency

Procurement through single Tender basis on ground of urgency shall be resorted to only if there is certain break- down or likelihood of break-down and when it is necessary to restore normalcy of equipment promptly. Such urgencies cannot be met by observing the normal methods of procurement (Open /Limited Tender).

d) On any Other Ground

There may be a situation where user department may need a specific product only to meet certain specific requirement although there may be substitute available in the market.

Example may be a specific brand of "computer cleaner". User may not risk using any untested brand over very costly instruments and may insist buying a particular tested brand.

However procurement amount under such category should not exceed Rs 5 lakh.

3.5. Sundry Purchases

3.5.1. For small value procurement there is no need to follow detailed purchase procedure. It can be done through direct purchase/ spot quotation. However value of such purchase shall be limited to Rs. 1 lakh only.

3.5.2. Any item valuing more than Rs.5,000/- shall be accounted for through GRN in store records. After purchase, statement of particulars of purchase shall be submitted to the authority who authorized the purchase and his signature shall be taken thereon. In addition, a consolidated monthly statement shall be submitted for information to Head of the Department.

3.5.3. Powers of purchase under this category are to be used for a particular occasion. The requirement shall not be broken down into separate cases to avoid approval from higher authority.

3.5.4. This type of Tendering is without competition and this method allows negotiating the terms and conditions directly with the supplier(s) after obtaining the quotation from such supplier(s) indicating the terms and conditions of supply.

3.5.5. Sundry purchase shall be done by the Sundry Item Procurement Committee.

3.6. Specialised nature of tender procedures:

Certain specialised nature of tender procedures are narrated hereunder along with the circumstances when these are applied:

3.6.1. Expression of Interest (EoI)

Expression of Interest (EoI) may be resorted to in case of packages for specialized, expensive or technically complex contract, where details scope of work, appropriate financial involvement and modality and execution period cannot be finalized. EoI shall be issued to prepare a panel of Agency who are capable to accomplish the desired work. EoI shall be invited through press advertisement in leading national dailies, local dailies, corporation's website, Indian trade journal covering following areas:

(a) Nature of work to be executed with specifying the objective of work.

(b) Desired time frame which may be allowed to complete the work.

(c) Expected investment, if any.

(d) Evaluation process for short listing of vendors/EoI Responders.

(e) Other information which may affect the schedule of work during execution, if any.

3.6.1.1. Bidders views to be invited for methodology, Technology, Past experience Certificate, Audited Accounts, Manpower strength etc.

3.6.1.2. The following shall be mentioned in the EoI:

a) When it has been decided that RFP shall be issued to only eligible successful responder of EoI:

'Information in EoI is indicative only and is liable to change. The actual Scope of Work will be available in the Request for Proposal (RFP) document which will be issued to the eligible/ short listed bidders selected through this EoI. Only bidders short listed through this EoI will be eligible to respond to the RFP'.

b) When the Corporation is of the view that there is likelihood of further participation by many more bidders after the EoI stage, the Corporation may go for inviting open Tender/global Tender and in that situation the following statement shall be declared in the EoI document ab-initio thus treating the EoI as 'Non-committal EoI'.

'The Corporation may go for inviting open Tender/global Tender after EoI Stage'

3.6.1.3. The procedure of EoI consists of two stage bidding and includes the following, namely:

a. In the first stage of the bidding process, the Procuring Entity shall invite EoI bids containing the broad objectives, technical and financial eligibility

criteria, terms and conditions and schedule of dates (as referred below) for the proposed procurement etc without a bid price:

Sl. No	Particular	Date/Time
1.	Start date of issuance / sale of EOI document	
2.	Last date for Submission of Pre-Bid Queries	
3.	Pre-Bid Conference	
4.	Issue of Corrigendum	
5.	Last date for issuance / sale of EOI Document	
6.	Last date and time for EOI Submission	
7.	Date for opening of EOI	

b. On receipt of the Expressions of Interest, technical discussions/presentations may be held on the notified date with the short-listed bidders, which are prima facie considered technically and financially capable of supplying the material or executing the proposed work, giving equal opportunity to all such bidders to participate in the discussions.

c. During these technical discussions stage the corporation may also add those other stakeholders in the discussions who could add value to the decision making on the various technical aspects and evaluation criteria.

d. Based on the discussions/presentations so held, one or more acceptable technical solutions could be decided upon laying down detailed technical specifications for each acceptable technical solution, quality benchmarks, warranty requirements, delivery milestones etc., in a manner that is consistent with the objectives of the transparent procurement. At the same time care should be taken to make the specifications generic in nature so as to provide equitable opportunities to the prospective bidders.

e. Proper record of discussions/presentations and the process of decision making should be kept;

3.6.1.4. Evaluation of EoI Responses: For the purpose of short listing of successful EoI Responders, an evaluation committee shall be constituted by the competent authority. The said Committee shall evaluate the EoI responses on the following parameters (as in Table 1 below) and/or any other specific requisite criteria (like Manufacturing capabilities/Tie-ups, after Sales support infrastructure, Product/Services Support etc) typical to the nature of the goods/works or services required. The criteria and the weightage so assigned against each of the criteria/parameters may be decided in the manner as reflected in the Sample Table-1 hereinafter:

Table-1: Sample illustration of EoI eligibility criteria

Criteria	Weightage	Sub- Criteria	Break-Up of Weight
Past experience of the firm with similar requirements	60%	Number of years experience	20%
		Past Experience of studies of similar nature.	50%
		Past experience in carrying out studies in related sectors.	20%
		Studies carried out in India.	10%
Financial strength of the vendor	15%	Turnover figures of last three years	50%
		Net profit figures of the last three years	50%
Manpower with requisite skill	25%	Qualifications	30%
		Relevant Experience	70%

Weightage (out of 100) should be pre-decided and declared in EoI documents by the TIA (Tender Inviting Authority). The marking/grading scheme for allotting marks (out of 100) for various parameters should also be laid down.

3.6.1.5. Evaluation of EoI: The bidders should be evaluated for short listing, inter-alia, based on their past experience of performance in a similar context, financial strength and technical capabilities, amongst others.

Each bidder should be assigned scores based on the sum of marks obtained for each parameter multiplied by the weightage assigned to that parameter.

All bidders who secure the minimum required marks (normally 60 (sixty) per cent) should be shortlisted. The minimum qualifying marks should be specified in the EoI document. Alternatively, instead of weighted evaluation, the EoI document may specify a 'fail-pass criteria' with the minimum qualifying requirement for each of the criteria, such as minimum years of experience, minimum number of assignments executed and minimum turnover. Under such circumstances, all bidders who meet the minimum requirement, as specified, should be shortlisted. The short list should normally comprise at least three firms.

a. In revising the relevant terms and conditions of the procurement, if found necessary as a result of discussions with the shortlisted bidders, the Corporation may modify the scope of work as per requirement but care shall be taken that the fundamental nature of the procurement itself remains unaltered;

b. In the second stage of the bidding process, the Corporation shall invite bids preferably under electronic mode from all those bidders whose bids at the first stage were not rejected, to present final bid with bid prices in response to scope of work as mentioned in the EoI / revised scope of work and set of terms and conditions of the procurement;

c. Any bidder, invited to bid but not in a position to supply the subject matter of procurement due to modification in the specifications or terms and conditions, may withdraw from the bidding proceedings by declaring his intention to withdraw from the procurement proceedings with adequate justification;

d. If the Procuring Entity i.e. WBPDCL is of the view that after EoI stage, there is likelihood of further participation by many more bidders and to avoid getting trapped into a legacy technology, the second stage bidding may not be restricted only to the shortlisted bidders of EoI stage and it may be so declared in the EoI document ab-initio. Thereafter in the second stage, normal Open Tender Enquiry Electronic bidding may be done. Such variant of EoI is called 'Non-committal' EoI.

3.6.1.6. For participation against EoI, the bidder shall not be required to furnish EMD/Bid security, but EMD/Bid security in appropriate form to be asked at the time of issuance of RFP.

3.6.1.7. Post-qualification Methodology of EoI

a) In case of Post Qualification Methodology, the QR for bidders for a specific package shall be brought out explicitly in the bidding documents and as well as in the RFP published in Website.

b) The intending bidders must furnish the information in support of fulfillment of qualifying requirement, as fixed for the Tender along with their offer, failing which their offer will not be considered. This is also to be clearly spelt out in the bid documents of NIT. In case of any confusion regarding bidders eligibility based on the submitted information, TC may ask to submit further information for determining the QR compliancy of the bidder with approval of TIA within a specified period. In case the bidder fails to comply with the requirement of TC as aforesaid, their bid shall be considered as non responsive.

c) Each of the responsive technical proposals will be evaluated for the criteria prescribed in the RFP by awarding marks so as to make total maximum technical score as 100. The criteria and Weightage to each criteria or sub-criteria would depend on the requirements of each case and may be fixed

objectively. A model scheme of maximum marks is, however, proposed as under:

Details	Max. Marks
1. Experience of the firm	20
2. Methodology, work plan and understanding of TOR	25
3. Suitability of the Key personnel for the assignment	45
4. Capability for Transfer of knowledge/training	10
TOTAL	**100**

Note: If any of the criterion is not required, the marks can be adjusted against some other criteria. The criterion-wise marks breakup can be modified depending on nature and criticality of the job.

The weightage given to the firm's experience can be relatively modest, since this criterion has already been taken into account when short-listing the bidders. More weight shall be given to the methodology in the case of more complex assignments (for example, multidisciplinary feasibility or management).

It is preferred that selection of successful bidder shall be made by following the Cost Evaluation under Combined Quality Cum Cost Based System (CQCCBS). For detail of CQCCBS refer clause No.6.3.2.(I).

3.6.2. R F P (Request for Proposal)

RFP is invited when clear solution or specifications are not available with the procurement entity for its requirement. In RFP the offer consists of specifications that explain the solutions the organization is seeking.

Technical specifications proposed by the bidders are evaluated at the time of technical evaluation to assess viability of the solutions towards meeting the requirement. When technical efficiency matters more, at the time of price bid evaluation, quoted price is modified by some loading of price based on efficiency parameters given by the bidder in the proposed technical solution. As regards other procedures, it is similar to that of open NIT.

In our organization some of the open N.I.Ts (mostly of R&M and Project Dept) are in the nature of RFP.

3.6.3. R F Q (Request for Quotation)

A Request for Quotation (RFQ) is a document that an organization sends to one or more potential agency(ies) eliciting quotation for a product or service. It can even be made open to all eligible parties by making wide publication through due procedure–when the material or service required is not highly technical in nature and there is no dearth of potential agencies in the market.

Typically, an RFQ seeks an itemised list of prices for something that is well defined and quantifiable.

The RFQ shall contain the following:-

a. Information for quotationer
b. Instruction to quotationer
c. Itemised list of materials
d. Indicative quantity of requirement for the period specified (in case of rate contract explained hereunder)
e. Assured minimum quantity of purchase (in case of running contract explained hereunder)
f. Period of Contract [generally 1(one) year but not exceeding 2(two) years]
g. Techno-commercial qualifying requirement as decided by the Tender Committee depending on the probable volume of purchase, rate, etc.
h. Terms and Conditions
i. Proforma for quoting price (quotationer are required to submit quoted price in sealed condition)

3.6.3.1. Selection of successful bidder:

Technical evaluation of RFQ is same to that of NIT. For Price bid evaluation following methods are followed:-

a) When RFQ is floated for fewer items, say not more than 5 items or the items are disparate in nature and required in large quantities, bidders are selected item-wise on the basis of lowest quote. So there may be different bidders selected for different items. But this may be considered when such piece meal supply will not impact the objective of procurement.

b) When RFQ is for a large number of items, it may be difficult to manage the procurement process if different bidders are chosen for different items. In such cases price quote of each item quoted by the bidder is multiplied by the indicative quantity of requirement or minimum assured

quantity, as the case may be, of item to be purchased and then added up for all items to arrive at the total price quoted by the bidder. L1, L2, L3……bidders are decided on the basis of the said total price. The L1 bidder will then be asked to accept the lowest price quoted (by some other bidder) for those items in which his quotes are not the lowest. In case he agrees, contract will be executed with him for all the items. In case, the L1 bidder does not accept lowest quotes discovered for all items , such opportunity will be passed on to L2, L3 bidders and so on. Contract, in these cases, will be executed with whoever accepts to match the lowest quote for all items. If no one agrees, contract, by default, will be executed with the L1 bidder as per the rates quoted by him.

c) When it is felt that a single party is not capable to supply the total requirement for the entire designated period, the requirement may be split amongst eligible bidders (through negotiation, if required) in proportion to their capacities and parallel contract may be executed. Such splitting may also be done in case the required item is very critical in nature and banking solely upon one party may create crisis in case the party fails to supply. While splitting the requirement in such cases, L1 bidder should get preference in case of running contract (e.g., If minimum assured quantity is 100 items, L1 would get 60 items and L2 would get 40 items). In case of rate contract, the purchase should be done equitably from all the bidders. However, accepted rate for all would be the lowest quote discovered in the price bid evaluation.

d) The method of price evaluation shall clearly be mentioned in the RFQ notice beforehand and should not be invented after opening of price bid.

e) RFQ shall normally contain the following provisions:

The Corporation is at liberty to enter into parallel contracts with more than one party.

The corporation is at liberty to terminate the contract by giving one month's notice.

The supplier/ contractor shall maintain stocks and shall make deliveries against purchase orders from such stocks within specified period.

f) In case of single tender, i.e., when RFQ is invited from one part only, negotiation with the party should be done to obtain optimum rate and favourable term & conditions. Rate offered/agreed by the party to other organisations at that point of time need be verified to finalise the rate. In case of requirement of OEM item or when item of a particular manufactures is preferred, direct association with the manufacturer shall be tried out. In such arrangement manufacturer may be asked to pass on the potential saving in marketing cost to the procuring entity in the form of trade discount or otherwise.

g) In RFQ, EMD need not be insisted but before awarding contract, Contract Performance Guarantee (CPG) to the tune of 10% of the value of minimum assured quantity should be taken from the vendor(s).

h) The RFQ for running contact shall inter alia mentions the minimum assured quantity for each item and indicates maximum possible quantity that may be required during the contract period. In case of rate contract, only indicative quantity of requirement is to be given.

i) The RFQ process culminates into execution of rate contract(s) or running contract(s) with the selected party (ies). Rate contract is a contract for supply of specified items at agreed price with specified terms and conditions, over a designated period of time. Under this contract, the quantities are not fixed. Rate contract is not a commitment to deliver/execute certain quantity of goods/services/works. Neither is quantity mentioned in the rate contract nor is the minimum drawl guaranteed. It is an agreement to deliver specific items on demand over a specific period under certain terms and conditions at an agreed unit rate. After execution of the contract, purchase orders are issued time to time throughout the contract period depending on the requirement as and when it arises. Commitment arises as and when purchase order (PO) is issued. Once PO is issued it becomes valid and binding contract. RFQ notice in such cases mention an indicative quantity. The indicative quantity, at times, is used at the time of evaluation to arrive at the L1 rate. Such information shall in no way be construed as a commitment from the procuring entity to purchase that quantity and that should be clearly mentioned in the RFQ.

j) Running Contract is one under which, during the period of its currency of the contract the contractor engages to supply, and the other party to the contract to take, a specified quantity of materials, as and when ordered, at agreed unit rate, within a given period of the receipt of such order. The minimum assured quantity is mentioned in the rate contract and drawl thereof is guaranteed. In this case the RFQ notice shall mention the minimum assured quantity.

3.6.3.2. <u>Purpose of Rate/Running Contract:</u>

One of the reasons for higher inventories at power station is considerable long lead-time due to adherence of systems and procedures etc. If source rate/ running contracts are finalized at Corporate or at Station level, procurement lead-time shall substantially be reduced. An item, for which a rate contract is finalized, need of user department can be catered very efficiently and effectively even by keeping a low stock. It will also benefit the organization financially by distributing the cash-flow over a long period of time.

3.6.3.3. Items to be considered for finalization of rate/running contract:

a) Items which are consumed in bulk and which are in regular demands throughout the year and holding high inventory level for a longer period may not be feasible to optimize inventory cost;

b) Items with standard specification available off the shelf and there are many suppliers in the market;

c) Items are not subject to appreciable price fluctuations;

NB-1 : Rate contract is preferred over running contract unless it is felt that that specifying a minimum quantity would fetch better price or sufficient eligible bidders are not expected without such commitment and also approximate quantity of requirement over a specified period of time can be ascertained with some degree of certainty.

NB-2: Information like annual consumption value of item, frequency of issuance of such item from stores, present lead time, criticality of items, etc should be derived from PRAYOG(ERP) as these information will help in taking decision in respect of Rate/Running Contract.

NB-3: In PRAYOG(ERP), all rate/running contracts, will have an internal capping on total expenditure during the contract period and Release POs must be used to give effect to the capping

3.6.3.4. Identification of items to be covered under the rate/running contract:

Items like Cement, Office Stationeries, Chemicals, Lubricants, Petrol & Diesel, G.I. Pipes, Medicines, hiring of vehicles, Welding Electrodes, Packing (both Metallic and Non-Metallic), Fastens, Hand Tools, Cutting Tools and Abrasives, Bearings & Accessories, V Belts, Switches, Plug Tops and Misc. similar materials, Lamps, Florescent Tubes, Fuses, Printer Cartridges, Furniture, Household Goods, Liveries, Pest Control, Courier Service, maintenance contract, etc may be brought under Rate Contract.

This list is only exemplary and not exhaustive and many more items can be considered like Conveyor Belts, Personal Computers & consumables, Structural Steel, Safety Equipments, Personal Protective Equipments (PPE), etc.

3.6.4. Notice Inviting Information (NII):

Notice Inviting Information is basically a notice inviting all interested parties, having experience and credentials, to participate in a pre-tender meeting. Such interaction may provide an opportunity to know about latest technologies/solutions available in the market and thus help in adopting appropriate technology/solutions. The other purpose of such meeting is to assess technical & financial capabilities of the present market players to formulate appropriate QR and other terms & condition that suits to maximum number of prospective bidders (of course without comprising quality) before going for issuing proper NIT.

This route may be used in high value projects where technology is new and / or number of prospective bidders appears to be less.

3.6.5. **Government e-Marketplace (GeM)**

WBPDCL being a government of West Bengal Enterprise can also go for procurement of Goods & Services through Government e-Marketplace (GeM) i.e. GeM portal (https://gem.gov.in/) which has been introduced by the central government conforming to the e-Procurement system and duly notified vide memo no. 3876-F(Y) dated. 14.06.2018 of Addl. Chief Secretary GoWB, Finance Department, Audit Branch.

3.7. Different Types of Bidder

3.7.1. Domestic Bidder:

Domestic Bidder is a business entity or individual having business activity established under Indian Law. Such as a proprietary firm, partnership firm (registered under Partnership Act-1932), a private company, a public limited Company incorporated under Companies Act, Joint Venture Company incorporated under Companies Act including public Sector Companies.

3.7.2. Foreign Bidder:

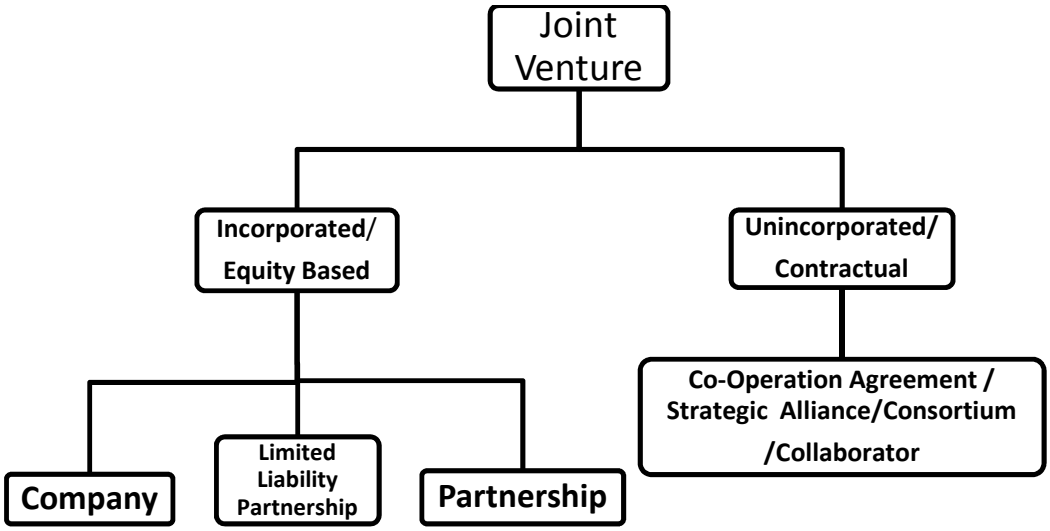
Foreign bidder is a company incorporated outside India and has place of business and business activity in India. Normally foreign company will be allowed as a bidder if it forms a consortium / joint venture with an Indian entity.

Note:- Authorized Dealers /Partners may be allowed to participate in the Bid with valid Manufacturer's Authorization Certificate, if there is a provision in this regard in the Tender document. The certificate of manufacturer has to be submitted by the bidder along with Bid.

3.8. Types of Joint Venture

The two options available for establishing a joint venture in India are:

(i) Equity Based Joint Venture; and
(ii) Contractual Joint Venture.



i. <u>Incorporated /Equity Based Joint Venture</u>:

An equity JV is an arrangement whereby a separate legal entity is created in accordance with the agreement of two or more parties. The parties undertake to provide money or other resources as their contribution to the assets or other capital of that legal entity. The key operative factor in such case is joint ownership by two or more parties. This structure is best suited to long-term, broad based JVs. The form of business entity may vary namely company, partnership firm, LLP.

a. Company:

JV would create a joint venture company ("JV Co"), under the Companies Act, 1956/2013 ("Act") and would hold the shares of such company in an agreed proportion. This arrangement can also be termed as Equity/Corporate JV. A limited liability company is the most preferred structure for joint venture entities in India. Companies in India are mainly of two types – private limited and public limited. There is no minimum share capital prescribed either for private limited company or public limited company. A private limited company must have at least two shareholders, while a public limited company must have seven shareholders. The only exception to this is a one-person company. The shareholders may be foreign citizens or foreign companies. Companies Act 2013 makes it mandatory that at least one director of every company is resident of India.

b. LLP (Limited Liability Partnership):

LLP Firms are partnership firms with limited liability of partners. An LLP Firm combines the convenience of a partnership firm with the limited liability feature earlier found only in a company.

An LLP Firm needs minimum two partners. It also requires minimum two Designated Partners out of which at least one should be resident of India. The two partners can also be appointed as Designated Partners. There is no requirement of minimum capital contribution to incorporate an LLP Firm.

c. Partnership:

A partnership firm created under the Partnership Act, 1932, is in many respects simpler than a company, and may perhaps be regarded as a halfway house between a corporate joint venture and a purely contractual arrangement. A partnership represents a relationship between persons who have agreed to share the profits of business carried on by all or any of them acting for all. A partnership JV or hybrid models are unincorporated forms of JV which represent the business relationship between the parties with a profit motive.

ii. <u>Unincorporated / Contractual Joint Venture:</u>

In a contractual joint venture, there is an agreement to work together which is commonly known as joint venture agreement. Parties to the contractual joint venture exercise some element of control in the joint venture. The contractual JV might be used where the establishment of a separate legal entity is not needed or the creation of such a separate legal entity is not feasible.

This agreement can be entered into in situations where the project involves a temporary task or a limited activity or is for a limited term. Unincorporated/Contractual joint venture generally exists in the form of cooperation agreement/ consortium/ collaborator.

a. Un-incorporated Joint Ventures - Co-operation Agreements / Strategic Alliances:

The most basic form of association is to conclude a purely contractual arrangement like a cooperation agreement or a strategic alliance wherein the parties agree to collaborate as independent contractors rather than shareholders in a company or partners in a legal partnership.

This type of agreement is ideal where the parties intend not to be bound by the formality and permanence of a corporate vehicle. Such alliances are highly functional constructs that allow companies to acquire products, technology & working capital to increase production capacity and improve productivity. Co-operation agreements / strategic alliances can be employed for the following types of business activities:

- Technology transfer agreements
- Joint product development
- Purchasing agreements
- Distribution agreements
- Marketing and promotional collaboration
- Intellectual advice

In such a JV the rights, duties and obligations of the parties as between themselves and third parties and the duration of their legal relationship will be mutually agreed by the parties under the contract. The contract will be binding on the parties and breach of it will entitle the

other party to seek legal recourse against the defaulter. A format of Deed of Joint Undertaking is annexed at **(ANNEXURE – 4)**. Even though no corporate vehicle is involved and the parties to the agreement are not partners in a legal sense, it is possible for them to be exposed to claims and liabilities because of the activities of their co-participants on a contractual or quasi-contractual basis.

Additionally, an unincorporated joint ventures may have significant tax issues if not structured properly as the Indian tax authorities may qualify such contractual arrangements as an "association of persons", a term not defined under the Income-Tax Act 1961, and only interpreted in case laws. If a contractual arrangement qualifies as an "association of persons", then the Indian tax authorities could tax such association of persons at the maximum marginal rate, which could be as high as 40% if any member of such "association of persons" is a non-resident.

3.8.1. Salient features of Joint Ventures

Joint Venture Bidders shall comply with the following requirements which shall be included in the Tender document:

a) Number of members in a Joint Venture shall not exceed 3 (three);

b) Subject to the provisions of clause (a) above, the Bid should contain the information required for each Member of the Joint Venture, viz. Financial capacity, Technical capacity etc. of each members.

c) Members of the Joint Venture shall nominate one member as the lead member (the "Lead Member"). Lead Member shall meet at least 50% requirement of Financial Capacity and at least 30% of Technical Capacity. The nominated Lead member shall remain unchanged during the entire period of project execution including the Defects Liability Period. The nomination(s) shall be supported by a Power of Attorney, as per the format at **(ANNEXURE- 5)** Signed by all the other Members of the Joint Venture. Each of the other Member(s) shall meet at least 30% of the required Technical Capacity and 20% of the required Financial Capacity If for some reasons the aforesaid composition relating to technical and financial capabilities of joint venture members including lead member needs to be changed, approval on a case to case basis, shall be obtained from the authority competent to sanction terms and condition of tender as per DOP. However, when the Joint Venture member is a Foreign Collaborator, the 20% financial capacity requirement can be waived.

   Further a Power of Attorney authorizing the signatory (Lead Member) to execute the Bid Documents including submission of the bid in the specified format **(ANNEXURE- 5)** shall also be submitted to the procuring entity by the members of the Joint Venture.

d) The Bid should include a brief description of the roles and responsibilities of individual members, particularly with reference to financial, technical and defect liability obligations.

e) The prescribed equity stake, roles and responsibilities of the nominated Lead Member shall remain unchanged during the entire course of project execution including the Defects Liability Period.

f) An individual Bidder cannot at the same time be member of a Joint Venture applying for a particular Bid. Further, a member of a particular Joint Venture Bidder cannot be member of any other Joint Venture Bidder applying for the same bid.

g) Members of the Joint Venture shall have to enter into a binding Joint Venture Agreement, substantially in the form specified at **(ANNEXURE – 6)** for the purpose of submitting the bid. The Joint Bidding Agreement, to be submitted along with the Application, shall, inter alia:

   i) Convey the intent to carry out all the responsibilities as the "Contractor" in terms of the agreement entered into for Works / Supply / EPC Agreement, in case the related job is awarded to the Joint Venture;

   ii) Convey the commitment(s) of the Lead Member in accordance with NIT / RFP, in case contract is awarded to the Joint Venture; and clearly outline the proposed roles & responsibilities, if any, of each member;

   iii) Commit the approximate share of work to be undertaken by each member;

   iv) Include a statement to the effect that all members of the Joint Venture shall be liable jointly and severally for all obligations of the Contractor in relation to the job awarded; and

   v) Convey the intent to form a Joint Venture Company under the Companies Act, 2013 with shareholding/ownership equity commitment(s) as specified under Tender Document if NIT requires Joint Venture bidder to be an incorporated one. Members of the Joint Venture shall have to enter into a binding Joint Venture Agreement in line with the specified format **(ANNEXURE-7)**, if the NIT so requires that LoA shall be placed upon the successful JV subject to formation of Joint Venture Company.

h) In case of incorporated Joint Venture (Equity Based), the shareholding commitments of all the members of the Joint Venture shall be such that the Lead Member and Other member(s) should hold at least 51% and 20%, respectively, of the paid up equity of the Joint Venture Company.

i) Except as provided under the NIT / RFP, there shall not be any amendment to the Joint Bidding Agreement format prescribed in this manual.

3.8.2. Salient features of Foreign Collaborator

Foreign collaboration is an alliance formed to carry on the agreed task collectively with the participation (role) of domestic and foreign entities. It is a strategic alliance

between one or more domestic and foreign entities. It is mandatory that one or more foreign entities must always collaborate with one or more domestic entities.

Before starting a foreign collaboration, both entities, for example, a domestic and foreign company must always seek approval (permission) from the governmental authority of the domestic country.

There are basically two forms of foreign collaboration. The collaboration may be either financial collaboration or it may be technical. In case of financial collaboration the approving authority is the Reserve Bank of India and in the case of technical collaboration the approving authority is department of Industrial Development in the Ministry of Industry, Government of India.

During an ongoing process of seeking permission, the collaborating entities prepare a preliminary agreement. According to this preliminary agreement, for example, the foreign company agrees to provide finance, technology, machinery, know-how, management consultancy, technical experts, and so on. On the other hand, domestic company promises to supply cheap labour, low-cost and quality raw-materials, ample land for setting factories, etc.

After obtaining the necessary permission, individual representative of a domestic and foreign entity sign the collaboration agreement. Signature acts as a written acceptance to each other's expectations, terms and conditions. The tenure (term) of the foreign collaboration is specified in the written contract.

PART -II: GENERAL GUIDELINE FOR ALL TYPE OF TENDERS

3.9. General Guide-lines for all types of Tendering

3.9.1. Clubbing of demands for the purpose of inviting Tenders for procurement of Goods:

When floating a Tender enquiry, due attention must be paid to the combination and bulking of demands, which may result in economy in purchase. Demands for same or similar types of materials from different indenting departments should be combined. It may sometime result in a little delay in initiating procurement action, which may be considered worth-while in view of cost involved. Due regard, however, need to be given to delivery schedule as indicated in purchase requisition. If certain demands are urgent, we may float Tender immediately without waiting for other requisitions to arrive.

3.9.2. Enquiry / Tender Register

An Enquiry / Tender Register shall be maintained in M&C Dept. (**ANNEXURE – 8).**

3.9.3. Time allowed to Bidder to quote

The time allowed to prospective bidder to submit the offer shall be reasonable, keeping in view the time required by the vendors to explore the market/work out most competitive price and preparation of offer. (Ref Table at Clause 4.2.5d)

3.9.4. Selection of day and time for submission and opening of Tender

The day selected for opening the Tender shall be a working day and if the day is subsequently declared as public holiday, Tender shall be opened on next working day (Tenders received upto the prescribed time on the next working days shall be treated as Tenders received in time) without any formal approval. However due to certain other reasons if Tenders are not opened on due date, they shall be opened on next working days with the approval of competent authority (Tenders received upto the prescribed time on original opening date shall only be treated as offers in time and opened). NIT shall specify both the date and time of opening of bid (In case of two-part bid, date and time of opening of Technical Bid shall be specified). In case of offline tender bid shall be opened 30 minutes after the last date and time of submission of bid. Entry relating to bid opening shall be made in Bid Opening Register (**ANNEXURE - 9**). In case of two-part bidding, date and time of price bid opening shall be decided and intimated immediately after completion of technical evaluation.

3.9.5. Late/delayed Tenders

In case of offline tenders received after due date and time shall be treated as late Tender and shall not be opened and shall be returned to bidders as it is. Such situation doesn't arise in case of online tender as the system doesn't allow bid submission after due date and time.

3.9.6. Validity of offers

a) Realistic validity of offer shall be specified in Tender enquiries/NIT. This period may be determined, keeping in view the nature of materials and post bid opening formalities involving evaluation and placement of order. Normally, a period of 120 days validity shall be specified. In case of complex equipment or turn- key projects validity period can be asked between 120-180 days (cases of two- part bidding)

b) Offers without validity or validity lesser than specified one should be ignored.

3.9.7. Extension of validity period:

a) Every effort shall be made to place the order on vendors before expiry of validity period of offers. In case due to certain unavoidable circumstances/extraordinary circumstances, order could not be finalized, bidder shall be requested well in time for suitable extension of validity period of their offers.

b) No proposal shall be put up for approval of competent authority unless confirmation especially from bidder is obtained to suitably extend the validity period of offer.

3.9.8. Splitting of order between two or more agencies:

a) In case the requisitioned item (s) is/are critical inputs for operation and maintenance of plants, it may become essential to operate parallel contract (s) to safeguard against non-availability of goods/services due to failure on the part of one agency to execute the order. The same may apply when goods /services is/are urgently required and single agency cannot supply/provide full quantity/service in time. Under these circumstances need may be felt to split requisitioned quantity between two or more agency and operate parallel contracts. Details are explained in Clause 3.6.3.1.

b) Notwithstanding the provisions under clause (a) above, the purpose of splitting, shall under no circumstances, be done for evading the provisions of e-Tender and/or for evading the financial powers of the sanctioning authority.

3.10. Guidelines on Payment of Taxes & Duties

a) In WBPDCL taxes, on procurement of goods & services, are considered as a cost whereas our primary sale i.e Electricity does not attract any indirect tax and therefore no input credit is available on the procurement to WBPDCL. On the other hand in GST regime the Taxes levied and paid have to reconcile online by both Vendor and Customer (WBPDCL) to comply with the GST laws. In addition Tax Deducted at Source (TDS) on GST will also be applicable for procurement after the prescribed date.

b) **Further, it is observed that most Tax related issues appear after award of Contract/Purchase Order due to different reasons. With this background all NIT documents must clearly mention appropriate conditions, as mentioned below, for payment of taxes during payment after award of contract.**

c) **For Contracts/Purchase Orders, where Bill of Quantity/ Material (BOQ/BOM) remain unchanged throughout the Contract Period/ Purchase Order, then any upward revision in rates of existing Taxes & Duties as well as any new tax/ Duty/ Levy if imposed after submission of bid will be borne by WBPDCL subject to verification of its applicability and correctness and similarly in case of downward revision in rates of existing Taxes & Duties, bidder shall pass on the benefit to WBPDCL.**

However, WBPDCL will not pay any additional tax or upward revision of any Taxes & Duties, emerging out of wilful or inadvertent or ignorant act of omission on the part of Vendor while mentioning it at the time of bid submission. In such situation the bidder has to adjust the base price accordingly to keep the total quoted price unchanged. However Tender **document shall have specific provision on this aspect to make the contract legally tenable.**

d) **For large Projects/EPC Contracts where the detailed BOQ/BOM is finalised after award of contract and L1 bidder is decided on the basis of** rate **quoted** inclusive of Tax **by the bidder at the time of bid submission, the total project cost/ contract cost (inclusive of Taxes & Duties) will remain fixed throughout the contract.**

Therefore in case of any increase in rates of existing Taxes & Duties during the currency of the contract the bidder has to adjust the base price to keep the landed price fixed vis-a-vis **in case of any decrease in rates of existing Taxes & Duties during the currency of the contract the same shall be at the cost of WBPDCL. However** Tender **document shall have specific provision on this aspect in respect of large Projects/EPC Contracts to make the contract legally tenable.**

e) **It must be mentioned in NIT that under GST regulation, taxes are levied on deductions under Liquidated Damage (LD). Such taxes will be charged extra by WBPDCL. The rate of such tax on LD would be as per laws applicable at the time of imposition of LD when a Debit Note/Invoice is raised by WBPDCL. This is because LD is a post delivery/performance event & is not part of initial price bid**.

3.10.1. GST unregistered vendor & Reverse Charge Mechanism (RCM)

Generally a Supplier of Goods or Services is a taxable person liable to discharge tax liability under the GST Act. However, in certain cases, GST Act 2017 specifies that instead of Supplier, the recipient of goods or services is liable to discharge tax liability. This is popularly known as 'Reverse Charge Mechanism' (RCM). Reverse Charge has been defined under section 2(98) of the GST Act 2017.

It is advisable not to enter into any contract with unregistered Supplier of Goods or Services.

RCM is applicable only when there is charge on supply. It means if the goods or services are exempted, nil rated or non taxable, RCM does not apply in such cases.

Recipient (WBPDCL) is required to pay either:

CGST and SGST or

IGST

depending on the location of supplier and place of supply. Tax is to be deposited using recipient (WBPDCL) GST Number.

WBPDCL is liable to pay tax under RCM on goods or services or both procured from an unregistered person. **(ANNEXURE -10).**

3.11. Common conditions for all types of Tenders

Common illustrative conditions required to be incorporated in all type of Tenders are:

a) Proper nomenclature with clear specifications, conforming to National/International Standards, if any; evaluation, testing and acceptance criteria (Requirement of Materials Analysis Report, performance test certificate, ISI or any other marking), if any; Quality Assurance Plan, Interchangeability certificate in case of spares etc.

   While procurement, the procuring authority shall avoid specifying brand name for a product when other brands of similar quality are available in the market.

b) If estimated value of any procurement is more than the value as stated below, preparation of bidding documents including technical specification, price schedules, conditions of contract shall be made in consultation with F&A department and approval of the CMD after vetting by the Director(Project)/Director(O&M)/Director(Finance) and Legal department :-

i. In case of Open Tender when estimated value is above Rs. 5 (Five) crore
ii. In case of Limited Tender when estimated value is above Rs. 1(one) crore
iii. In case of Single Tender (OEM/OES) when estimated value is above Rs. 2(two) crore

c) Requirement of Earnest Money Deposit, Contract Performance Guarantee, etc.
d) Delivery schedule for the Suppliers/Period of Completion of Works/ Services for the Contractor
e) Liquidated Damages, Cancellation/Termination of Order/Contract
f) Risk Purchases
g) Force majeure
h) Payment term
i) Payment of Packing and Forwarding Charges (in case of procurement of goods only)
j) Payment of Duties & Taxes
k) Requirement of Transit Insurance (in case of procurement of goods only)
l) Inspection - at vendor's premises or after receipt at destination (in case of procurement of goods only)
m) Inspection to be done by Engineers from Corporation or in special cases by third party.
n) Packing and Marking (in case of procurement of goods only)
o) Mode of Despatches with place of delivery (in case of procurement of goods only)
p) Demurrage and Wharfage charges
q) Guarantee/Warranty/Patent Rights
r) Requirement of installation, commissioning and training
s) Arbitration
t) Jurisdiction

CHAPTER 4:- INVITATION TO TENDERS

CHAPTER 4: INVITATION TO TENDERS

4.1 Approved NIT Cost Estimate

For procurements to be made , the NIT cost estimates shall be prepared by the indenting Department inconsideration with the following guideline :-

1. For preparation of estimates, last purchase should not be considered blindly rather it is imperative to take into consideration all relevant factors based on the prevailing realistic market rate of various inputs such as Labour, material, equipment etc. at the concerned locations. The estimates inter-alia should also include the basic price, fabrication charges, inspection fees, duties, packing, insurance, handling and transportation charges, applicable taxes or any other statutory levies and installation, erection, testing and commissioning charges, license fees, contingencies etc as applicable. The basis of such estimation needs to be duly recorded in the note sheet.

2. For big Projects like Turnkey contracts, before finalisation of contracts, the financial amount indicated in Techno-Economic clearance / Techno commercial feasibility reports should be duly analysed and updated before converting the same into a workable estimate.

3. Where there is no data regarding the price of any material/work, budgetary offer may be obtained from as many prospective vendors as possible through written communication.
   Budgetary offers from the reputed manufacturers/Contractor obtained by indenting Department for procurement of goods/works/services may be considered as a basis of estimate. Multiple budgetary quotations are preferable and to be obtained. However 90% of lowest budgetary offer should be considered.

4. For procurement of items from OEM / single Tender basis, budgetary offer from OEM supported by documentary evidence on supply price to other PSUs is required. A line of Confirmation from other Plants of WBPDCL on their last purchase price of similar item may also be referred to.

5. For Civil works viz. Building Works, Sanitary & Plumbing works and Road & Bridge works, current PWD Schedule of Rates should be followed. In cases, PWD schedule is not available, price to be taken from CPWD schedule and if it not even available in CPWD schedule price to be determined based on market survey.

6. However, in such jobs where prevailing labour rates (as per tripartite Memorandum of Settlement) are more than the labour component considered under PWD Schedule of rates, it is advisable to consider cost of material by following the rates as prescribed under PWD schedule rate and prevailing labour rate in the Plant may be considered while preparation of estimated value of related jobs.

7. It is always advisable to mention estimated cost in the NIT unless there is a cogent reason for not mentioning the same and reasons thereof should be recorded in the note sheet. Where despite all efforts estimated amount could not be determined with certainty, estimated cost may not be disclosed in the NIT.

4.2 Content of Tender Document:-

4.2.1 **Qualifying Requirements**:

Qualifying requirements shall be formulated taking into consideration the estimated cost of goods/works/services, technical importance and criticality, time frame for implementation and quality assurance plan. Basic objective of qualifying requirement is to appraise about the financial, technical, production capacities, past performance and management capabilities of prospective bidders. Following criteria should be considered as standard should be followed. However, tender committee may deviate to some extent from this if it is felt by the TC that such deviation is necessary to improve competition without compromising quality and market scenario demands such modification. Reasons for such deviation should be kept recorded and approved by the Competent Authority.

4.2.1.1 **TECHNICAL**:

The Bidder should have the experience of executing similar nature of job for which Tender has been invited. The value of said job experience should be as follows:-

Experience of having successfully completed similar works/supply during last 7 years ending last day of month previous to the one in which applications are invited should be either of the following: -

a. Three similar completed works/supply costing not less than the amount equal to 40% of the estimated cost.

or

b. Two similar completed works/supply costing not less than the amount equal to 50% of the estimated cost.

or

c. One similar completed work/supply costing not less than the amount equal to 80% of the estimated cost.

Note: In some cases, for example purchase of coal or related services, ash evacuation, etc, instead of cost, estimated quantity may be considered if procurement entity feels that by doing so bid will be more competitive.

Documentary evidence in support of work experience and fulfilling the requirement as spelt out in the Tender document must be submitted along with techno-commercial bid. These documents should be in the form of copies of Completion Certificates. However, the originals of these documents shall have to be produced by the bidder, as and when asked for.

Definition of “similar work” should be clearly defined.

4.2.1.2 **FINANCIAL:**

a) Average Annual financial turnover during the last 3 years, ending 31st March of the previous financial year, should be at least 30% of the estimated cost.

b) The Net worth of the bidders should be positive for each of the last 3 (three) preceding financial/ accounting years. Incase this criteria is felt too restrictive, the 3 (three) year criteria may be relaxed up to 1 (one) year.

c) In some cases, especially in O&M jobs, positive net working capital may be considered as a criterion.

d) For high value projects (higher than Rs 50 Crores) net worth should be not less than 100% of the paid up share capital. For proof of Annual turnover & Net worth any one of the following document must be submitted along with the bid:

   i. A certificate issued by a practicing Chartered cost accountant (with membership number and firm registration number), certifying the annual turnover.

   or

   ii. Audited balance sheet along with profit & loss account.

4.2.1.3 **COMMERCIAL:**

a. Bidder shall furnish EMD along with Bid. EMD shall be furnished as a part of 'Techno-Commercial Bid'. Any bid not accompanied by a proper EMD will be rejected.

b. The Techno-Commercial Bid should not have any price indication.

c. Any bid containing false statement will be rejected.

d. Bidders must quote clearly and strictly in accordance with the price schedule outlined in Bidding Documents, otherwise the bid will be rejected.

e. If the full quantity as per NIT is not offered by any Tenderer, its offered delivery schedule should match the proportionate delivery schedule for that quantity as specified in the Tender Document.

The Bidder must possess PAN, GSTIN and other documents towards compliance of applicable statutory obligations issued by appropriate Govt. Authority. PF code, ESI registration are must for jobs involving engagement of manpower in our establishment.

4.2.1.4 Every Tender Document must mention whether it is a "Zero Deviation Bid" if not so, then during evaluation of Techno-Commercial bid, if any infirmity is found, the bidder may be asked to clarify within Seven (07) days, failing which their offer will be liable for rejection without any further intimation. No further negotiation will be entertained.

4.2.1.5 Qualifying requirements once stipulated in NIT shall not be relaxed or altered under any circumstances. In case of poor response against specified qualifying requirements, Tender Committee shall review the same and may relax the criteria for the purpose of re-tendering. However, such relaxation should be aimed at increasing competition without compromising quality of the bidders required to undertake the given job.

4.2.1.6 **Process of Finalization of QR for NIT:-**

The indenting department will place a draft NIT document including QR, scope of work, special condition of contract etc. to the M&C department. M&C department with the assistance of TC will verify Draft NIT including scope of work, QR etc. taking into consideration all technical, financial and commercial aspects. Adherence to all related guidelines of the Corporation should be maintained in finalizing QR & scope of work. The QR and scope of work etc. with the observation and recommendation of TC will be placed before the competent authority by the M&C department for approval.

4.2.2 **Tender Fee:**

Tender fee which is non-refundable shall be decided in advance and incorporated in the Tender document in line with Table – A as mentioned hereunder.

TABLE - A

Sl No	Estimated Value of materials / equipment as per NIT	Cost of Tender Documents (INR)
1.	Upto Rs. 10 Lakhs	NIL
2.	Above Rs 10 Lakh upto Rs. 1 Crore	1000.00
3.	Above Rs 1 Crore upto Rs. 10 Crore	3000.00
4.	Above Rs 10 Crore upto Rs100 Crore	5000.00
5.	Above Rs100 Crore	10,000.00

In case of offline tender, tender document will be supplied by the procuring entity on receipt of tender fee. Tender document is not transferable and the bidder to whom the document has been issued can only respond.

Tender fee is not required for single and limited tender.

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4.2.3 **Earnest Money Deposit (EMD):**

EMD shall be decided in advance and incorporated in the Tender document. EMD shall be 2% of the estimated value.

For further details including exemption, forfeiture and refund refer Clause 5.2.1.4(i), (ii) & (iii) respectively.

4.2.4 **Publication of NIT:**

Existing system of press publication of NIT has been discontinued vide memo no. WBPDCL/DIR(O&M)/614 dated. 16.07.2018 and it has been decided that Tender notices are to be uploaded under the relevant tab of WBPDCL website. Tender documents, however, shall have to be uploaded at www.wbtenders.gov.in. Uploading of Tender notices at the WBPDCL website shall be carried out by the Nodal Officers of the respective power stations/ Corporate M&C Department, having due authorization.

4.2.5 **Bid Opening Date and Time:**

Tender document shall specifically contain Bid opening Date & Time following the under mentioned guidelines:-

a) Generally Bids shall be opened on working days except Saturday, Sunday and Holidays.

b) Generally, the last date for submission of bids and date of opening of the bids should be kept same, with a time lag of thirty (30) minutes between submission and opening of bids. The closing for submission of bids shall normally be 15:00 hours and opening of bids shall be at 15:30 hours on the same day and accordingly specified in the bidding document.

c) However as of now, for E-Tenders, the portal https://wbtenders.gov.in do not allow bid opening on the same day. So for E-Tenders all bids will be opened after 48 hrs of close of submission / upload of bids.

d) To speed the work the following general time limit is prescribed for submission of bid in case of open tender:

Sl. No.	Item	Where pre-bid not required		Where pre-bid required		
		Minimum period for submission of bid from the last date of publication (in days)	Maximum no. of days between date of publication to issuance of Letter of Award (LOA)	Minimum No. of days between the last date of publication and pre-bid meeting (in days)	Minimum No. of days between the pre-bid meeting and the last date of submission of bid (in days)	Maximum no. of days between date of publication to issuance of Letter of Award (LOA)
1	For supplies /works/ services with estimated values not exceeding Rs. 10 Lakh	7	12	NA	NA	NA
2	For supplies /works/ services with estimated values exceeding Rs. 10 Lakh upto Rs. 1 Crore	14	22	7	16	29
3	For supplies/works/services with estimated values exceeding Rs.1 Crore upto 10 Crore	21	29	14	16	38
4	For supplies/ works/ services with estimated values exceeding Rs. 10 Crore	21	29	21	16	52

e) For supplies/works/services, where scope of work and terms & conditions are clearly defined, there is no need of holding pre-bid meeting. This will save considerable time in finalizing the tender process.

f) For single tender, effort shall be made to finalise the deal as early as possible.

g) For limited tender, time for submission of bid may range within 3 to 21 days depending on the value of the work/supply/service and urgency of the requirement. Accordingly maximum no. of days between issuance of notice/request to issuance of Letter of Award (LOA) may range from 5 to 25 days. Pre bid meeting may not be required as technical and commercial capabilities of the bidders are supposedly known to the Procuring Entity.

h) It may further be specified in the bidding documents that in cases where any of the dates, as given above, are declared holidays, the next working day after the holiday will be considered. Such postponement of date will not have any impact on the other dates specified in the bidding documents.

4.2.6 **Content of bidding document:**

The bidding document shall contain the following:-

a. Information for Bidders
b. Instruction to Bidders (ITB)
c. Schedule of Quantity Including Detailed Specifications, Drawings, if any/ Schedule of Works/Services, General Conditions Contract Special Conditions of contract, if any;
d. General conditions of Contract (GCC)
e. Special Conditions of Contract (SCC)
f. Bid Forms & Price Schedules
g. Proforma of Terms and Conditions to be filled up and confirmed
h. Statement of Deviations
i. Bid Matrix **(**refer **ANNEXURE – 11**)
j. Forms of Contract
k. A declaration in **ANNEXURE – 11A** confirming submission of bid adhering to all provisions of NIT.

4.3 Extension of bid Submission and Bid opening date:

Every effort needs to be made to open the bids on bid opening date. However, due to certain unavoidable reasons, including poor response, the bid submission and opening date may be extended and such notification in the form of a 'Corrigendum' has to be notified in the same manner, as was the case of NIT. Such extension of both Bid Submission and opening date shall not be treated as Fresh Tendering.

4.4 Recourse on insufficiency of participating bidders:

Offers from at least 03 (three) vendors are mandatory to process the requirement of purchase of goods/works/services on Tendering. However, due to insufficiency of eligible bidders, following recourse may be adopted with the approval of the competent authority as per DoP:

Bid Submission date may be extended before declared bid opening time (maximum for one time), if it is anticipated that such extension may result in more participation of vendors. Otherwise re-Tendering (Fresh Tender) shall be resorted to cancelling the earlier tender.

Before undertaking re-Tendering, Qualifying Requirement (QR), Terms & conditions shall be reviewed by TC to explore the possibility of relaxing the same to certain extent for attracting more bidders. However, such revision in QR and Terms & Conditions shall not compromise the quality and requirement of goods/work/services to be procured. However such relaxation in QR and Terms & Conditions shall always be approved by the authority who is one step higher than the original approving authority.

Even after re-Tendering (with or without revised Qualifying Requirement and Terms & Conditions), if the number of participating bidders is less than 03 (three) then the Tender may be opened:

- after approval from the authority who is one step higher than the original tender approving authority in case the tender value is upto Rs. 1(one) Crore.

- after approval from CMD in case tender value is above Rs. 1 (one) Crore and upto Rs. 10 (Ten) Crore.

- After approval from BOD in case tender value is more than Rs. 10 (Ten) Crore.

CHAPTER 5 - DIFFERENT BIDDING SYSTEMS & PROCEDURE OF PROCUREMENT

CHAPTER 5 – DIFFERENT BIDDING SYSTEMS & PROCEDURE OF PROCUREMENT

5.1 Different Bidding Systems:

(i) Single-Stage:

a) One-Envelope Bidding Procedure

Bidders submit Bids in one envelope/digital envelope, as the case may be, containing both the Price Proposal and the Technical Proposal (if required). Evaluation is done in one step considering technical (if sought for) and price bid simultaneously.

b) Two-Envelope Bidding Procedure

Bidders submit two sealed envelopes/digital envelopes, as the case may be, simultaneously, one containing the Technical Proposal and the other the Price Proposal and the both are enclosed together in an outer single envelope/digital envelope, as the case may be.

Initially, only the Technical Proposals are opened at the date and time as fixed in Tender Document. The Price Proposals remain sealed and are held in custody by the Procuring Entity. The Technical Proposals are evaluated by the Procuring Entity.

The objective of the exercise is to allow the Procuring Entity to evaluate the Technical Proposals without reference to price. Bids of Bidders who do not conform to the specified requirements may be rejected as deficient Bids, with the approval of the competent authority.

Following competent authority's approval of the technical evaluation, the Price Proposals of technically qualified bidders are opened on the date & time as intimated to eligible bidders by the Procuring Entity.

(ii) Two-Stage Bidding Procedure

In the Two-Stage bidding procedure, Bidders first submit their Technical Proposals, in accordance with the specifications, but without prices.

The Technical Proposals are opened at the date and time as fixed in the Tender Document. The Technical Proposals are evaluated and discussed with the Bidders.

Any deficiencies, extraneous provisions and unsatisfactory technical features are pointed out to the Bidders whose comments are carefully evaluated. The Bidders are allowed to revise or adjust their Technical Proposals to meet the requirements of the Procuring Entity.

The objective of the exercise is to ensure that all Technical Proposals conform to the same acceptable technical standard and meet the technical solution required by the Procuring Entity. Bids of Bidders who are unable or unwilling to bring their bids to conform to the acceptable technical standard may be rejected as deficient bids.

After the evaluation of Technical Proposals and on approval by the competent authority, the second stage is to invite Bidders to submit Price Proposals and Revised Technical Proposals in compliance with the acceptable technical standard.

The Revised Technical Proposals and Price Proposals are opened on the date and time so fixed by the procuring entity.

In setting the date the Procuring Entity should allow sufficient time to Bidders to incorporate the changes involved in the Technical Proposals and prepare Price Proposals.

Note: Two Stage Bidding procedures should be adopted in case of procurement of high value equipments, machineries or in case of execution of technically critical projects where the specifications are generalized and each manufacturer/ supplier/ EPC contractor has their own unique product/ specification/ expertise requiring/ needing clarifications on many issues to facilitate techno-commercial evaluation on various parameters.

(iii) **Tender-Cum-Reverse auction Procedure**

In this method, after evaluation of technical bid, as usual, price bids are opened for the technically qualified bidders. Thereafter, without disclosing the name of the L1 bidder, reverse auction is conducted on a pre-scheduled date considering L1 price as the starting price. Only qualified bidders are allowed to participate. The starting price, bid decrement and bid life (stipulated time frame for displacing a bid) are announced before the start of the auction. Bidders can thereupon start bidding in an iterative process wherein bid of lowest bidder at any given moment and within the stipulated time frame (bid life) can be displaced by an even lower bid of a competing bidder. All bidders will see the current lowest quote. More than one bidder cannot give an identical price, at a given instant. The process ends when a price quote is not further displaced by another lower quote within the stipulated time frame (bid life). The last quote is then considered as the final L1 price.

This method can be used in all kinds of procurement (goods/works/service) especially where the estimated cost cannot be assessed with certainty.

5.2 Different Procedure of Procurement

PART – I – Procedure of Electronic Procurement (e-Procurement)

5.2.1 Electronic procurement (e-Procurement)

All tenders having estimated value above Rupees Five Lakh shall be invited through electronic Tendering process in order to achieve the objective of transparent and efficient Tendering process and to procure the services and materials at optimum prices. For this purpose, presently Company shall continue utilising the portal/application available at www.wbtenders.gov.in until the corporation develops its own portal. However, in respect of bid having complicated procedure, portal of reputed service provider like MSTC, m-junction etc. can be used.

5.2.1.1 Guidelines for online Open Tender

I. NITs are to be displayed on Company's website, since as a policy matter Corporation has discontinued press publication of NIT.

II. Single Stage two envelope and two stage bidding procedure, as the case may be, is followed in case of online open tender.

III. Tender documents shall contain all information & instructions as has been stated at Clause 4.2.6 and can be downloaded from the e-Tender Portal. The bidder has to submit scanned copy of document in support of deposition of cost of Tender documents while uploading their bid.

IV. Generally Bids quoted for part of items tendered for, will not be accepted. However Bids with part quotes, may be accepted, if there is provision in this regard in the Tender document, subject to fulfillment of the following conditions:

a) Bidder has quoted for minimum 50 % (or above) tendered quantity (both in terms of number of line items and value), where the total estimated Tender value is Rs 50 Crores or less;

b) In case total estimated Tender value is more than Rs 50 Crores the percentage of quoted quantity (both in terms of number of line items and value) will be minimum 30%.

c) If the offered quantity is found to be less than what has been prescribed at a & b above, then offer should be cancelled with forfeiture of Earnest Money.

V. Tender Documents can be downloaded only during the period specified in the NIT unless otherwise extended through proper notification for extension in corporation website.

5.2.1.2 Process

i. **Publishing of Tenders:** Notice inviting e-Tender shall be uploaded under the relevant tab of WBPDCL website indicating the name, designation and e-mail address of the designated officer who is to be contacted by bidders, as nominated by concerned In-Charge (M&C) for the particular Tender. Thereafter Tenders shall be published on the respective e-Procurement portal by authorised Official of M&C Dept of respective power plants and in case of corporate office, GM (M&C) or authorised official having DSC issued in their favour.

After creation of the Tender, a unique "Tender id" is automatically generated by the system. While creating/publishing the Tender, the "bid openers" are identified. For access to e-Tender portal any 02 (two) DSC holders have to operate and one of them must be from F&A wing. The downloading of the Tender may start immediately after e-publication of NIT and can continue till the last date and time of bid submission. The bid submission shall generally start from the next day of e-publication of NIT. However, when there is a provision for pre-bid meeting, bid submission should start after uploading of reply to the pre-bid query in the e-procurement portal.

ii. **Registration of bidders on portal:** In order to submit the bid, bidders have to register themselves online, as a one-time activity, on the e-Procurement portal with a valid DSC. Registration should be in the name of the bidder, whereas DSC holder may be either the bidder himself or a duly authorised person. Bidders will have to accept, unconditionally, the online user portal agreement which contains all the terms and conditions of NIT including commercial and general terms and conditions and other conditions, if any, along with an online undertaking in support of the authenticity of the declarations regarding facts, figures, information and documents furnished by the bidder online.

iii. **Pre Bid meeting:** The procuring entity on the schedule date meant for Pre Bid meeting with the prospective bidders provide suitable reply to the queries raised by the prospective bidders before and/or at the time of pre-bid meeting and a minutes of the meeting shall be drawn up and if required, necessary amendments/clarifications shall be issued. Such amendment(s)/ clarification(s)/ minutes of meetings shall form the part of the Tender documents and shall invariably be uploaded at portal before the start of bid submission period.

iv. **Bid submission:** The registered bidders will submit their techno-commercial bids and price bids online complying all eligibility conditions, other terms and conditions of Tender document to be read along with the clarifications and amendments issued in this respect, if any. No conditional bid shall be accepted.

To enable system generated techno-commercial and price comparative statements, such statements should be asked to be submitted in Excel formats or the format as would be specified in NIT.

Bidders will have to upload self attested scanned copies of documents required for eligibility and all other documents as specified in NIT under his digital signature.

The bidder shall furnish a declaration under his digital signature that no addition/ deletion/ corrections have been made in the downloaded tender document being submitted and it is identical to the tender document appearing on the portal in the prescribed format in **ANNEXURE-11A**.

In case of any correction/ addition/ alteration/ omission in the Tender document, the procurement entity is entitled to treat the bid as non-responsive and may summarily reject the bid.

In addition to above, the bidder will have to give a separate undertaking online that if the information/declaration/scanned documents furnished in respect of eligibility criteria are found to be wrong or misleading at any stage, they will be liable to punitive action including rejection of bid.

The bidder may modify, revise or withdraw his bid after submission prior to deadline prescribed for submission of bid. Such modification, revision or withdrawal shall have to be online and digitally authenticated.

v. EMD (DD/BC/BG/PO) and Tender fee (demand draft/banker's cheque/pay order) shall be submitted in the electronic format online (by scanning) while uploading the bid or as per instruction as may be enumerated under tender document. This submission shall mean that EMD and Tender fee are received electronically.

For the purpose of realization of cost towards Tender Fee & EMD, the bidder shall send a sealed envelope superscripted with the Tender number, name of work containing the demand draft/banker's cheque/pay order/Bank guarantee, as the case may be, in original to the designated officer through post or by hand so as to reach by the time of tender opening. Non-receipt of original document relating to Tender Fee and EMD within the stipulated time may lead to rejection of the bid.

However, offline method of receipt of any fee etc. towards tender will discontinue as soon as process of on-line receipt/payment of tender fees etc is implemented by the Corporation.

vi. In case of exemption of EMD, the scanned copy of the original document in support of exemption will have to be uploaded by the bidder during bid submission and the original document shall be produced for verification before 48 hours of bid opening date, failing which the bid shall be summarily rejected.

5.2.1.3 **Validity of Bid / Offer**

Refer clause 3.9.6.

5.2.1.4 Earnest Money Deposit (EMD)

i. Earnest Money Deposit (EMD) for Procurement of Goods / Works / Services:

a) Amount of Earnest Money shall be 2% of the estimated value and the absolute value of EMD shall be mentioned in the Tender document. Earnest Money shall be in the form of Online Bank Transfer/ Crossed Bank Draft /Pay Order / Banker's Cheque of any scheduled Bank incorporated in India, drawn in favour of WBPDCL payable at Kolkata, or by Bank Guarantee as per WBPDCL's Format (**ANNEXURE – 12**) with validity upto 6 (six) months from the due date of Tender submission (i.e., the last date of submission of bid) and with a claim period of another 3 (three) months. No Claim of interest on EMD shall be entertained by the corporation.

b) SSI Units registered with NSIC/ MSME department, are exempted from depositing Earnest Money. Small-scale industries seeking such exemption must enclose valid registration certificate from appropriate Govt. Authority. However such exemption is applicable only for supply contracts and not for work contracts.

ii. Forfeiture of EMD

Earnest Money submitted will be liable to forfeiture on the following grounds:-

a) For failure of Tenderers to accept the order / LOI / LOA placed within the validity period of their offer,

b) Any bidder withdraws/varies his offer after closure of bid.

c) If the bidder does not accept the arithmetical correction of its bid price.

d) For failure to submit contract performance guarantee within stipulated date.

e) If the acceptance of order is not received within the stipulated period.

f) On providing false or incorrect information in respect of qualifying requirement or any other information.

In case of bidders who have been allowed EMD exemption and if does not execute the awarded job, necessary action under the provisions of Corporation's Blacklisting Policy may be initiated.

iii. Return of EMD

EMD furnished by all unsuccessful bidders should be returned without any interest, after the Letter of Award is placed upon the successful L1, but not later than 30 (thirty) days from the placement of Order / LoA. EMD of the successful bidder should be returned after receipt of contract performance guarantee (CPG), if any, as called for in the contract. However instead of returning, it can be converted into initial CPG provided the balance amount is remitted in the same form.

However, in case for any justified reason, if the Tendering authority has decided to cancel the Tender process , EMD if any, shall be returned to all bidders within 30 days from the date of decision of cancellation of Tender.

5.2.1.5 Bid opening and Evaluation

a) The technical bids shall be opened online by the Bid Opening Team (Refer Clause 2.6.2), having registered DSC issued to the members of the team by using simultaneous log on facility at the time and date specified in the Tender documents.

b) Bid documents are downloaded and evaluation as to the fulfilment of Qualifying Requirement and other criteria by the bidders is done following guidelines as enumerated under clause 6.3.1.1.

c) After finalisation of the technical bid sheet, M&C Dept. will upload the 'pdf' format of technical bid evaluation sheet mentioning therein list of bidders whose bids are 'Accepted' or 'Rejected'. This also includes the Price bid opening date & time. A system generated 'SMS' intimation will be forwarded to all the successful bidders.

d) Price bid will be opened by the Bid Opening Team (Refer Clause 2.6.2), on the specified date and time to find out the L-1 bidder. A comparative chart along with summary sheet will be generated online through the system itself to decide L-1. M&C Dept with the assistance of TC, will upload this 'price bid summary sheet' in the system after verification of correctness of the same.

e) In tender-cum-reverse auction, with the opening of price bid, only the lowest price is displayed in the e-procurement platform without disclosing the name of the L1 bidder. Reverse auction is held thereafter on prescheduled date amongst technically qualified bidders. L1 price is fixed as the starting price and lowest price arrived at the end of the reverse auction is considered as the final L1 price. "wbtender.gov.in", the e-procurement portal being used by the corporation has provision for conducting tender-cum-reverse auction.

f) Generally negotiation with L1 bidder is not permissible unless recommended by TC and approved by the plant GM (in case of plant) and Director of user department (in case of Corporate Office).

5.2.1.6 **Clarification of Bids**

The procuring entity may, at its discretion, ask the technically qualified bidder for the clarification of their bids. The request for the clarification and the response shall be in writing. However, generally no post bid clarification at the initiative of the successful bidder shall be entertained.

Bidders must ensure that all documents uploaded on e-Tender portal as files or zipped folders, contain valid files and are not corrupt or damaged due to any processing at bidder's PC system like zipping etc. It shall be the responsibility of bidder himself for proper extractability of uploaded zipped files. Any error/ virus creeping into files/folder from client end PC system cannot be monitored by e-Tender software/server and will be bidder's responsibility only.

In case of internet related problem at bidder's end at the time of bid submission, it is the bidder's responsibility to have backup internet connection. In case there is a problem at the e-procurement system (in the server, leased line, etc) due to which all the bidders face a problem during critical events (such as problem at the closing hour of bid submission), and this is brought to the notice of Corporation by the bidders in time, then Corporation may promptly re-schedule the affected event(s).

5.2.1.7 **Shortfall document:**

Any requisite document not uploaded by the bidder or any additional document which may be required by the Tender Committee for technical evaluation can be asked for by the procuring entity for submission of the same by the bidder offline within shortest time but before 48 hours of Price Bid opening time. However, such opportunity, shall not be extended in case the Tender Committee otherwise considers the bid as non-responsive. If the bidder fails to submit required documents within stipulated time, WBPDCL reserves the right to cancel that bid unilaterally.

5.2.1.8 **Award of contract:**

Award of the contract is presently done offline through a system of ERP and efforts shall be made for uploading of a scanned copy of award on the website of the Corporation with reference to corresponding NIT**.**

5.2.2. Guidelines for online Limited Tendering

i. Agencies/vendor/contractor registered/enlisted with any of the units of the Corporation and having valid user ID and password issued in their favour by the Corporation/any of the units of the Corporation and who are prima-facie qualified for the particular supply/service may be invited in the limited e-Tendering process and shall utilize the portal/application available from www.wbtenders.gov.in for submission of bid until the corporation develops its own portal in this regard. NIT addressing specified vendors shall be published in the official website of the company. Also NIT should be served upon the specified vendors by post/email/or any other mode of communication.

ii. The process of Limited e-Tendering consists of Single Stage One digital Envelop bidding procedure. The digital envelope contains both the Price Proposal and the Technical Proposal. As registered/enlisted vendors are

invited for online limited tender, in most of the cases the technical and financial capacity of the vendors are known to the procurement entity. Therefore, provision for technical proposal can be dispensed with in such cases and bid evaluation is done solely based on price proposal.

iii. Tender Fee is not required but EMD is required. In respect of EMD provisions are similar to that of online open tender.

iv. Other procedures of online limited tender are similar to that of online open tender to the extent applicable.

PART - II - PROCEDURE OF PROCUREMENT OF GOODS/WORKS / SERVICES THROUGH OFF-LINE MODE

5.3 Process of procurement through single Tender

i. The User Department shall initially raise the purchase requisition for procurement through single Tender process justifying the reason for preferring single Tender over open/limited Tender.

   a. If the requisition is for procurement of spares from OEM/OES then such requisition for single Tender shall be duly supported with the following certificate from any official in the rank of HoD and above of that department.

      "This is to certify that the spares covered under this requisition are required for use for the equipment manufactured/supplied by the proposed vendor and as such these are declared as proprietary spares".

   b. If the requisition is for procurement of material on any other ground then such requisition for single Tender shall be duly supported with the following certificate from any official in the rank of HoD and above of that department

      "The item (s) & its Manufacturer indicated in the referred requisition only will meet our requirement and no other make shall be suitable. Hence the item(s) requisitioned may be procured from them on single Tender basis".

   c. If the requisition is for procurement of material on ground of urgency then the Competent Authority inter-alia shall consider reasonableness of such ground of urgency.

ii. Such proposal of procurement shall be forwarded before the competent authority mentioning therein the estimated value of such procurement for approval. Competent Authority may approve such proposal after obtaining necessary vetting from the Finance Department.

iii. For all such proposal a Purchase Requisition mentioning reasons for procurement through single Tender must be recorded and approved by competent authority in PRAYOG (ERP).

   However when it is not possible to initiate PR in PRAYOG (ERP) in view of urgency of work, any official of the rank of HoD and above of the User Department shall mandatorily initiate PR in PRAYOG (ERP) within 24 hours of starting of work.

iv. After obtaining necessary approval from Competent Authority, M&C department of respective plant/Corporate Office shall initiate the process of inviting Enquiry from the supplier/vendor recommended by User Department and approved by the Competent Authority.

v. Such Tender inquiry along with Bidding document shall be sent to manufacturer / vendor / accredited distributor / contractor through courier /e-mail / speed post / by hand and in the same way offer shall be received.

vi. The Bidding documents shall consist of:

a) Tender Enquiry
b) Bill of Materials including detailed specification and special conditions
c) Terms and Conditions
d) Price Bid (based on line item wise BOQ)
e) Date by which offer to be submitted

vii. EMD may not be insisted from such bidder. However, performance guarantee may be insisted.

viii. Since decision has to be taken on single Tender, such bidder shall specifically be asked to provide copies of recent orders from any Units of the Corporation, Govt. department or private organization of repute (e.g Generating Station having capacity of more than 210 MW of state Utilities as well as of Private Power Generating Companies like Tata Power, CESC, Reliance Power etc.) for the items/jobs/services being requisitioned. Such data shall help in establishing reasonability of rates and faster decision.

ix. If the bid is received from authorized distributor, letter from manufacturer authorizing the distributor to furnish offer and rate certification from the manufacturer may be obtained.

x. Negotiation as to the terms and conditions and price is allowed in case of Single Tender.

5.4 Process of procurement for Open tender (Offline)

i. **Issuance of Bid Documents**

a) After approval of PR & mode of Tender, Notice Inviting Tender is sent by M&C department to IT department for web publication. Sufficient sets of Bid Documents shall be made ready, duly serial numbered, so that issuance of bid document can commence as soon as requests starts pouring. Each set of bid documents shall contain requisite criteria of standard bidding document as enumerated in Clause 4.2.6 as per requirement.

Bid documents are issued to those prospective bidders who furnish necessary Tender fee as required under Clause 4.2.2.

b) Proper record in the form of 'Tender Document Sale & Receipt Register' incorporating details shall be kept in format mentioned in **ANNEXURE – 13**.

c) **Pre-Bid Meeting:** Refer Clause 5.2.1.2 (iii) as applicable to online open tender. The only difference is minutes of pre-bid meetings/Clarifications/Amendments will be uploaded in the Corporation's website instead of e-procurement portal.

d) The bid shall contain no interlineations, erasures or overwriting except as necessary to correct errors made by the bidder in which case such corrections shall be signed by the person or persons signing the bid.

ii. Receipt of Bids / Tender documents in Open Tender (Off-Line)

a) Single stage two envelope or two stage bidding procedure are followed. Techno-Commercial Bid and Price Bid are to be submitted in separate sealed envelopes.

i) **Envelope-I:** Name of the Item, Tender No., Due Date and Time of Tender Submission and the words "Envelope-I & Earnest Money" should be clearly written on the front side of the envelope. This envelope shall contain only the Earnest Money and the item wise offered quantity (wherever applicable). Amount of Earnest Money should be strictly as prescribed in the NIT. In case of any shortfall, the offer will be treated as cancelled and in that case Envelope -II & III of the Bid shall not be opened.

ii) **Envelope -II:** Name of the Item, Tender No., Due Date and Time of Tender Submission and the words "Envelope-II &Techno-Commercial Bid" should be clearly written on the front side of the envelope. This envelope shall contain Price Schedule in unpriced condition and complete Commercial & Technical Offer, mentioning offered quantity within stipulated delivery schedule of the Tender. It shall contain all the information/documents relating to QR, literature, drawings and other documents as mentioned in the NIT. In case of any deviation in the Techno Commercial offer of the bid, WBPDCL reserves the right to reject the offer and not to open the price bid.

iii**) Envelope-III:** Name of the Item, Tender No., Due Date and Time of Tender Submission and the words "Envelope-III & Price Bid" should be clearly written on the front side of the envelope. This envelope shall contain complete Price Schedule (with rates offered).

iv) All the above three envelopes shall be placed in a 4th Envelope and shall be submitted properly sealed superscribing "Tender No., Item, Due Date & No. of Envelopes inside". Bidder shall mention his name on the envelope and affix his seal. In case of two-stage bidding only envelope – I & II are submitted in the first stage. Price Bid (Envelope – III) is sought at a later stage, i.e., after techno-commercial evaluation and qualified bidders are asked to submit price bid.

b) All Tender documents shall have to be docketed and entry thereof shall be maintained in 'Tender Document Sale & Receipt Register' **(ANNEXURE- 13)** by an official authorised by M&C Deptt. prior to dropping the same in the Tender Box. The Official concern shall also issue receipt as an acknowledgement. The time and date

of receipt of the Tender will have to be mentioned in the receipts. “Content Not Verified” shall also be written on the receipt as the documents are received in sealed condition. Tender papers/documents received by the docketing officer within scheduled time shall be kept in the Tender Box after observing formalities as above & thereafter Tender Box shall be sealed by an Officer authorised by M&C dept. Bids received by post upto the last date and time shall be docketed in the register and kept in the Tender Box before being sealed.

c) Bid received up to stipulated time and date only would be accepted. Bid will not be received beyond the stipulated time and date as stipulated in the NIT.

iii. Process of Opening of Bid /Tender Documents in Open Tender (Off-Line)

a) Bid opening team member initiate the process of opening of Bid on scheduled date & time in presence of bidders or their authorized representatives.

b) Signatures of the bidders/or their authorized representatives present at the time of bid opening shall be obtained.

c) Bids received shall be serially numbered. If there are 5 bids against a particular Tender enquiry, then these bids should be numbered as 1/5, 2/5, 3/5, 4/5 and 5/5. The number should be written on all the envelopes (i.e., Envelope – I, II & III) for identification.

d) Offers shall be opened only when minimum prescribed offers are received.

e) First, sealed Envelope-I containing Earnest Money and Item wise offered quantity (wherever applicable) will be opened. Information related to offered quantity is required at this stage to ascertain as to whether the value of EMD so furnished is proportionate to the value of the offered quantity. This is applicable where tenderers are allowed to offer part of the tendered requirement.

f) The Envelope-II containing Techno-Commercial Bid will be opened only if value of the Earnest Money is not below the prescribed one. After opening of the Techno-commercial bid, all the papers submitted in respect of each bid shall be serially numbered (in the manner – 1/10, 2/10, 3/10.....10/10, where total number of pages is 10). The envelope containing those papers shall not be destroyed and kept tagged with the bid papers. Bid Opening Team members shall put their initials on all the envelopes. M&C dept. with the assistance of bid opening team (same as TC in respect of Tender above Rs. 5 lakhs and Sundry Item Procurement Committee in case of Tender upto Rs 5 lakhs) members will thereafter evaluate the techno-commercial bid and will prepare a summary sheet. Evaluation procedure is mentioned in the next chapter. All bid opening team (TC or Sundry Item Procurement Committee) members will put their signature on the sheet and obtain signature of the bidders/their authorised representatives thereon.

g) Envelope-III containing Price Bid will be kept in safe custody of the M&C Dept. It will be opened after completion of Techno-Commercial Evaluation. In case of deviation from the stipulated clauses of Tender specification, Envelope-III of the respective bidder will not be opened. In case of two-stage bidding, as stated earlier, price bid is received at a later stage.

h) Price Bid shall also have to be opened in the presence of the bidders. Therefore, techno-commercially qualified bidders shall be informed about the date and time of opening of the price bid. Here also, signatures of the bidders/or their authorized representatives present at the time of bid opening shall be obtained. Price Bid opening procedure is same as that of techno-commercial bid opening as explained above. After opening the bids a comparative statement showing rates quoted by each bidder is prepared and bidders are identified as L1, L2, L3..... on the basis of lowest to highest quoted price. The statement shall be signed by all the bid opening team (TC or Sundry Item Procurement Committee, as the case may be) members and signature of the bidders/their authorized representatives present shall be obtained on the said statement. The comparative statement shall then be handed over to M&C dept.

5.5 **Process of procurement for Limited tender (Offline)**

Only single stage one envelope mode is followed. Tender enquiry is sent to chosen bidders by hand/post/e-mail etc. Notice may also be published in website/office notice board. There is no tender fee in limited tender. Bidders have to submit their bids in a single sealed envelope containing original EMD instrument, price bid and other requisite documents as mentioned in tender enquiry. For receipt of bids and opening of bids, procedure narrated in open tender (off-line) method shall be followed to the extent applicable.

CHAPTER-6: BID EVALUATION

CHAPTER-6: BID EVALUATION

6.1. Purpose

The purpose of bid evaluation process shall be to determine which of the bids received are responsive and thereafter compare the responsive bids against each other to select the lowest evaluated bid. If any license or clearance documents specified in the Bidding Document are found to be missing, the bidder shall be asked to submit it within a reasonable time specified by the Tender Committee before finalization of the Evaluation. Such communication shall be given in writing.

6.2. Responsive Bids

"Responsive bids" shall mean "substantially responsive bids". Bids are substantially responsive where:

a) The bidders fulfil the conditions of eligibility and qualification, if any laid down in the Bidding Document.

b) The bids comply with the terms and conditions set out in the bidding documents, and are complete with the required information and duly filled in forms prescribed in the bidding documents;

c) The bids respond to the terms, conditions and technical specifications detailed in the bidding documents without "material deviation or reservation".

6.2.1. A material deviation or reservation is one:

a) Which affects in any substantial way the scope, quality or performance of the assignment under bid; or

b) Which limits in any substantial way and is inconsistent with the bidding documents, the Procurement Agency's rights or the bidder's obligations under the contract; or

c) Whose rectification would affect unfairly the competitive position of other bidders presenting responsive bids.

6.3. Bid Evaluation

6.3.1. Bid evaluation in general cases, shall be done in the following two stages:-

i). Techno-Commercial Bid Evaluation

ii). Price Bid Evaluation

Techno-Commercial Bid Evaluation means verification of bidders eligibility in accordance with the tender criteria (technical, commercial and financial). It also includes evaluation of viability of the technical solution proposed (wherever it is sought for) by the bidder for the work in question. Bidders who meet the tender criteria and who offers a viable technical solution (if sought for) are treated as

technically qualified. If there is any apparent infirmity in the proposed Technical solution, bid should not be rejected without giving opportunity to the bidder to explain his case. Price Bid of technically qualified bidders are only taken into consideration.

Generally price is the sole criteria for placement of award amongst the techno-commercially qualified bidders. However, in some cases, where technical efficiency matters more, quoted price is modified by some loading of price based on efficiency parameters given by the bidder in the proposed technical solution.

Example:

Job: Renovation of ESP to attain PPM not exceeding 50 PPM.

Condition precedent for Evaluation of Price in respect of responsive bid :

Lowest guaranteed PPM value offered by any Bidder shall be considered as the Base value. Any guaranteed PPM value offered by other bidders in excess of the Base Value, the quoted price of such bidders shall be subjected to loading of Rs. 2,00,000/- per PPM (Loading Factor=LF) in excess of the base value of PPM for evaluation of price for selection of L1 Bidder.

Participating Bidders (A)	Guaranteed PPM Value offered (B)	Base PPM Value (C)	Deviation of PPM value from Base PPM value (D)=(B-C)	Price Quoted against Offered guaranteed PPM value (E)	Loading of Price for deviation (F)=LF X (D)	Evaluated Price (G)= (E+F)	Rank of Bidders (H)
A	40	40	40-40 = 0	80,00,000	2,00,000 X 0 = 0	80,00,000	**L2**
B	45	40	45-40 = 5	69,00,000	2,00,000 X 5 = 10,00,000	79,00,000	**L1**
C	48	40	48-40 = 8	72,00,000	2,00,000 X 8 = 16,00,000	88,00,000	**L3**

6.3.1.1. Techno-Commercial Bid Evaluation:-

I. M&C department, with the assistance of TC, shall evaluate eligibility of the bidders on technical, financial & commercial and other aspects w.r.t tender criteria and prepare a **Comparative Statement of Tenders (CST)/Bid Summary Sheet** in respect of the techno-commercially qualified bidders.

II. Before finalization of **Comparative Statement of Tenders (CST)/Bid Summary Sheet,** M&C department may consult the Legal department if there is any legal issue. M&C department, if felt necessary, i.e if any critical issue arises in course of evaluation by TC, may also consult concerned departments to settle the issue.

III. After preparation of CST/ Bid Summary Sheet, M&C department will submit the same along with TC's observation/recommendation to the competent authority for approval. Thereafter the following recourses shall be adopted upon due concurrence of the competent authority:-

a. Rejection of Tender process

In case of rejection of the entire tender, system generated "SMS" intimation (for online tender) will be forwarded to all the bidders. For offline tender such information may be send by e-mail/post. The reason for such rejection shall be uploaded in the corporation's website for information to the participating bidders and all concerned, or

b. Opening of price Bid

I. Qualified bidders shall be informed about the date & time of opening of price bid by the M&C department. Bidders not qualified shall also be intimated accordingly stating reasons for rejection of their bids.

II. Price bid shall be opened by Bid opening team members on the scheduled date & time.

III. In tender-cum-reverse auction, after discovering lowest price reverse auction is conducted to find out the final lowest price.

Note: In case of offline mode qualified bidders shall be informed to remain present on the schedule date and time of price bid opening.

6.3.1.2. Price Bid Evaluation

After completion of process of opening of price bid, the M&C department, with the assistance of TC, shall evaluate the Bids and prepare a comparative statement of Price Bid indicating therein the rank of bidders in the form of L1, L2, L3 …. , on the basis of lowest to highest quoted price.

A. **Preliminary Examination of Quotes:-**

The M&C department, with the assistance of TC, should examine the quotations to determine whether same are complete in all respects, and check for any computational errors and if such errors persists the same shall be rectified on the following basis:

i. If there is a discrepancy between the unit price and the total price that is obtained by multiplying the unit price and quantity, the unit price shall prevail and the total price shall be corrected.

ii. If there is a discrepancy between amounts written in figures and words, the amount shown in words shall be considered for evaluation.

B. **Comparative statement of Price Bid shall be prepared on the following score:-**

I. The basis of cost evaluation shall be on the landed price inclusive of GST/Taxes, Duties, Freight, Insurance and other elements that may be incurred to bring the goods/receive the service/works at the point of delivery/execution. Following statement shall be incorporated in the NIT:

"Bidder must mention GST/Taxes, Duties, Freight, Insurance and other elements impacting the Landed Cost of each line item and lowest bidder will be determined on the basis of total Landed Cost"

II. Evaluation of the price bids will take into account the Landed cost of the material / equipment at the final destination.

III. For the purpose of evaluation, the landed cost will be arrived at by adding all the elements of the Ex-Works / basic price plus GST and other statutory levies, freight & insurance charges. So unit landed cost will be (i) Ex-works price inclusive of P&F Charge + (ii) F&I charges +(iii) GST etc.

IV. Any variation, upward or downward, in existing taxes & duties or any new levy introduced subsequent to bid submission will not be considered for comparison of bids.

V. Comparative statement of Price Bid shall be prepared indicating all elements of unit landed prices of all the bidders and L1, L2, L3 and so on.

VI. No price preference will be allowed to any Tenderer based on the size of the industry or its geographic location except MSME and SSI.

VII. Co-operative Society will not be considered with separate status.

C. Before finalization of Comparative statement of Price Bid, M&C department may consult the Legal department if there is any legal issue. M&C department, if felt necessary, i.e if any critical issue arises in course of evaluation by TC, may also consult concerned departments to settle the issue.

D. After preparation of Comparative statement of Price Bid, TC shall through M&C department recommend any of the following for concurrence of the competent authority:

i. If the L1 bid value is within the range of -20% to +5% of the estimated value then TC may directly recommend for Placement of Award to the L1 bidder.

ii. If L1 bid value is 5-20% above the estimated value then TC may recommend for negotiation.

iii. If the L1 bid value obtained in any Tender process is found to be very high (i.e above 20% of estimated value of such Tender) then TC may seek justifiability of the quoted price from L1 Bidder.

a) If TC finds L1 price to be justifiable, then TC may recommend for Placement of Award to the L1 bidder.

b) If TC finds L1 price to be unjustifiable, TC may recommend for negotiation with the L1 bidder or cancellation of the Tender.

c) If negotiation fails, then TC may recommend for cancellation of the Tender otherwise TC may recommend for Placement of Award to the L1 bidder.

d) If the L1 bid value is 80% or less than the estimated price, additional performance security @10% of the Tendered amount in the form of Bank guarantee from any scheduled bank shall be obtained from the L1 bidder before issuance of Work Order. Where the estimated price is not disclosed in the NIT, this clause will not be applicable.

e) If the L1 bid value is low to such an extent that it is, in the opinion of TC is unworkable, then TC may even recommend for cancellation of the Tender.

6.3.2. In certain special cases where quality of the bidder is of utmost importance, the following methods of evaluation can be used:

I. <u>Combined Quality Cum Cost Based System (CQCCBS):</u>

This method of selection shall be used for highly technical projects where weightage needs to be given to higher technical standards, while finalizing the prices. This method of evaluation is generally used in case of EoI and selection of consultant.

Evaluation process under CQCCBS

a. Under CQCCBS, the technical and financial proposals will be allotted certain percentage of weightages.

b. Proposal with the lowest cost may be given a financial score of 100 and other proposals given financial scores that are inversely proportional to their prices.

c. The total score, both technical and financial, shall be obtained by weighing the quality and cost scores and adding them up.

d. The proposed weightage for quality and cost shall be specified in the RFP.

e. **Highest Points Basis**: On the basis of the combined weighted score for quality and cost, the bidder shall be ranked in terms of the total score obtained. The proposal obtaining the highest total combined score in evaluation of quality and cost will be ranked as H-1 followed by the proposals securing lesser marks as H-2, H-3 etc. The proposal securing the highest combined marks and ranked H-1 will be invited for negotiations, if required and shall be recommended for award of contract. Example of ascertaining H1:

As an example, the following procedure can be followed. In a particular case of selection of bidder, it was decided to have minimum qualifying marks for technical qualifications as 75 out of total 100 marks and the Weightage of the technical bids and financial bids was kept as 70:30.

Suppose 3 proposals, A, B & C were received. The technical evaluation committee awarded them 75, 80 and 90 marks respectively. The minimum qualifying marks were 75. All the 3 proposals were, therefore, found technically suitable and their financial proposals were opened. The Tender Committee examined the financial proposals and evaluated the quoted prices as under:

Proposal	**Evaluated cost**
A	Rs.120.
B	Rs.100.
C	Rs.110.

i). Using the formula LEC / EC, where LEC stands for lowest evaluated cost and EC stands for evaluated cost, the committee gave them the following points for financial proposals:

A : 100 / 120 = 83 points

B : 100 / 100 = 100 points

C : 100 / 110 = 91 points

In the combined evaluation, thereafter, the evaluation committee calculated the combined technical and financial score as under:

Proposal A: 75x0.70 + 83x0.30 = 77.4 points.

Proposal B: 80x0.70 + 100x0.30 = 86 points

Proposal C: 90x0.70 + 91x0.30 = 90.3 points.

The three proposals in the combined technical and financial evaluation were ranked as under:

Proposal A: 77.4 points: H3

Proposal B: 86 points: H2

Proposal C: 90.3 points: H1

Proposal C at the evaluated cost of Rs.110 was, therefore, declared as winner and recommended for negotiations/approval, to the competent authority.

II. Quality Based Selection (QBS):

QBS is a method based on evaluating only the quality of the technical proposal and subsequent negotiation of the financial term and the contract with the highest ranked bidder. This method is used for selection of consultant.

This method of selection may be used under the following circumstances:

a) the outcome of the assignment will have high impact and hence it is essential to engage most qualified consultant. As for examples capacity building program etc.

b) the assignment is very complex or highly specialized where it is difficult to define scope of work with accuracy. Examples are reforms related studies, high precision scientific work etc.

c) the assignment that can be carried out in substantially different ways such that financial proposal may be difficult to compare.

Procedure of Evaluation of the Quality

a) WBPDCL shall evaluate each technical proposal taking into account criteria as prescribed in the RFP:

i. the consultant's relevant experience for the assignment,
ii. the quality of the methodology proposed,
iii. the qualifications of the key staff proposed and
iv. Capability for transfer of knowledge.

b) Each of the responsive technical proposal will be evaluated for the criteria prescribed in the RFP by awarding marks so as to make total maximum technical score as 100. The criteria and weightage to each criteria or sub-criteria would depend on the requirements of each case and may be fixed objectively. A model scheme of maximum marks is, however, proposed as under:

Details	Max. Marks
1. Experience of the firm	20
2. Methodology, work plan and understanding of TOR	25
3. Suitability of the Key personnel for the assignment	45
4. Capability for Transfer of knowledge/training	10
TOTAL	**100**

Note: If any of the criterion is not required, the marks can be adjusted against some other criteria. The criterion-wise marks breakup can be modified depending on nature and criticality of the job.

c) The weight given to the firm's experience can be relatively modest, since this criterion has already been taken into account when short-listing the consultant. More weight shall be given to the methodology in the case of more complex assignments (for example, multidisciplinary feasibility or management studies).

6.3.3. Negotiations

Post bid negotiation should be avoided as far as practicable. In case it is felt essential it should be done with L1 bidder only. Negotiation with L2, L3 etc bidders is not permitted unless there is express provision for the same in the N.I.T.

6.3.4. Remedy available in case L1 backs out/ withdraws offer:

If L1 bidder backs out / withdraws offer whether before or after issuance of LOA/ work order, there should be re-tendering in a transparent and fair manner. The authority may in such a situation call for limited or short notice Tender, if so justified, in the interest of work and take a decision on the basis of lowest Tender.

6.4. Miscellaneous Provisions:

6.4.1. Discounts

A discount normally is the deduction from offered prices, list prices or from invoice total, which is offered by bidder due to variety of reasons and is expressed as percentage. Discount may be simple and chain discount.

6.4.1.1. Cash Discount/ Settlement Discount

The bidder, for payment earlier than usual 30 days credit as standard payment, offer early payment/ settlement discount. Such discounts are usually called cash discount, a term which is correctly used for discount for immediate payment rather than credit. This discount may usually range between 0.5% to 2% and motivate a Procuring Entity to avail it. This discount since, conditional and being financial transaction, is not considered for the purpose of working out evaluated price.

6.4.1.2. Trade Discount

Trade discounts are given by the manufacturer to their distribution channel. This discount is also offered to major customers, like us, as such direct sales help the manufacturer to reduce their marketing expenses. This discount is normally expressed as percentage of price list. Since our purchases shall mostly be from manufacturers, efforts shall be made to obtain maximum of this discount. Sometime manufacturers may insist dealing through their distributors/ dealers only. Under such circumstances, being a major customer we should insist the manufacturers/ distributors to pass on some percentage of discounts

to the Corporation. This discount is considered for the purpose of working out evaluated price.

6.4.1.3. Quantity discount

Bidders on large order or for large customer like us offer quantity discounts. Suppliers are benefited from larger orders, which enable them to reduce their direct and indirect cost. If this discount is unconditional, not only it has to be availed but also considered while working out the evaluated price.

Some-time quantity discounts are conditional and offered for buying a quantity larger than what is contained in Tender enquiry or offer the discount for supply of entire quantity in one lot as against requirement of staggered deliveries. Before accepting such discount a comparative study of advantages of discount and disadvantages of higher inventory holding cost, availability of space and possible loss of materials due to limited shelf life, has to be done. If the advantages are more only then such quantity discounts shall be considered. Further, the conditional quantity discounts are not considered for the purpose of working out evaluated price.

6.4.2. Pre-award Conference

When the rupee value of purchase and criticality of order execution is substantially high, then pre-award conference with techno-commercially evaluated lowest bidder can be arranged as recommended by the Tender Committee and with the prior approval of competent authority, immediately before award of contract/order. In such conference, apart from Tender Committee members, representative of Quality Assurance, if any or other representative from concerned department can participate.

Bidder would be also requested to bring his team of related experts. Pre-award conference is a vehicle, used to ensure that provisions of Tender documents/proposed contract are fully understood and implemented. Major issues to be discussed are:

- All important terms and conditions
- Delivery or operation schedule including staggered deliveries
- Invoicing procedures and documentation.
- Quality plan and modalities of stage inspection and/ or final inspection before despatch
- Mode of despatches, selection of carrier, place of delivery etc to ensure faster deliveries.
- Guarantee/ Warranty
- Packaging and marking to ensure safer deliveries.
- Modalities of insurance claims and replacement towards non-delivery/damages/ rejections.

CHAPTER -7: PLACEMENT OF AWARD AND POST AWARD ISSUES

CHAPTER -7: PLACEMENT OF AWARD AND POST AWARD ISSUES

7.1. Placement of Purchase Orders:

Upon recommendation of TC, competent authority approves the placement of order with the concurrence of finance department. The next step in the purchasing process is to communicate the decision to the bidder (s) by issuing a Purchase Order.

Prior to the expiry of the period of bid validity, the successful bidder will be notified (briefly indicating therein relevant details such as quantity/scope of work/service completion period, order value, specification of the job/ goods ordered, prices and so on) in writing by a registered letter or any other acknowledgeable and foolproof method that the bid has been accepted. Legally, communication of acceptance of successful bidder's offer is considered complete as soon as the Purchase Order is submitted to postal authorities. In the said communication, the successful Tenderer is to be instructed to furnish the required performance security within a specified period i.e generally 14 days or as decided by the order issuing authority.

All performance liabilities will be counted from the date of issuance of LOA and that should be clearly mentioned in the LOA itself. In some cases, performance liability is counted from some other date (i.e., from the date of fulfilment of some conditions precedent). Needless to say that this has to be mentioned in the LOA.

7.2. Letter of Intent (LOI)

In some cases of procurement, where issue of regular Purchase Order relating to goods/works/service is pending, Letter of Intent may be faxed or sent through courier to successful bidder (s) as advance intimation for booking of an order and planning for production/intimation/mobilization for start of execution of work/services. Need for issue of a LOI may also be felt due to imminent expiry of validity period. Letter of Intent does not constitute a definitive contract but signifies a genuine interest in reaching the final agreement subject to due diligence, additional information, or fulfilment of certain conditions. LOI shall only be issued if the same is specifically mentioned in the NIT and it shall further state that formal order shall be sent in due course.

7.3. Powers for Signing of Purchase Orders

Purchase Order/Contract shall be signed by the concerned authority as empowered under the Delegation of Powers of the corporation.

The authorized executive must verify the following before issuance of the Purchase Orders/contracts:

7.3.1. That the purchase proposal or Tender Committee's recommendations have been concurred by Finance and approved by competent award approving authority.

7.3.2. That proper Budget Allocation for expenditure exists.

7.3.3. That deviation, exceptions if any, have the approval of competent authority.

7.3.4. That contract is legally enforceable and there is mutual consistency in clauses framed.

7.3.5. Since the approval process is online after implementation of PRAYOG, approving authority need not be required to sign the printed copy of the Purchase Order by himself. In such event executives not below the rank of DGM can act as authorised signatory in printed purchase orders as long as those are approved by competent authority as per DoP. In case of Note sheet based approval, similar privilege will be available, though as an exception.

Also with implementation of PRAYOG, the concept of Release POs has been introduced. Such release POs against approved contract can be approved by Officers as per their DoP empowerment.

7.4. Signing of Contract Agreement

I. In respect of a turnkey contract / W.O. / LoA / LoI / AMC for any project / works/ services including any civil works of contract value in excess of Rs. 50,00,000/- (Rupees Fifty lakhs only), the concerned vendor/contractor must submit contract agreement in non-judicial stamp paper of appropriate value duly filled in all respect to the order issuing authority for acceptance before commencement of works / Services and claiming advance amount, if any, as per provisions of the contract but not later than 30 (Thirty) days from the date of issuance of LoA.

II. The said agreement (to be submitted in duplicate) will be duly signed by both authorized representative of WBPDCL (Engineer-in-Charge of the job contract or any other officer authorized by the competent authority) and vendor/authorized representative of vendor.

III. One such copy of agreement, on acceptance should be invariably be given to respective head of Accounts department of plant/ Corporate offices and Legal Department at Corporate Office.

7.5. Communication

i) Unless otherwise stated in any Purchase Order or Contract, all notices to be given under any Contract shall be in writing, and shall be sent by personal delivery, airmail/speed post, courier or e-mail to the address of the Supplier or the Contractor, as the case may be, with the following provisions:

a) Any notice sent by e-mail shall be confirmed within 2(two) working calendar days after dispatch except as otherwise specified in the Contract.

b) Any notice sent by airmail/speed post or courier shall be deemed (in the absence of evidence of earlier receipt) to have been delivered within 3(three) working calendar days after dispatch except as otherwise specified in the Contract. In proving the fact of dispatch, it shall be sufficient to show that the envelope containing such notice was properly addressed, stamped and conveyed to the

postal authorities or courier service for transmission by airmail/speed post or courier.

c) Any notice sent by email shall be deemed to have been delivered on the date of its dispatch. Notice sent by hand shall be considered delivered on the date of receipt.

ii) Notices shall be deemed to include any approvals, consents, instructions, orders, documents and certificates to be given under the Contract.

7.6. Receipt Tolerance

7.6.1 The suppliers are expected to deliver exact quantities of material as specified in the Purchase Order.

But wherever quantities of commodities supplied are in Weights, Volumes or in Lengths (i.e., unit of measurements in Kg, Litre, Metre etc) and the supplier has made supplies in excess or short, a receipt tolerance must be set against Item Master. If the commodities are supplied in accordance with the tolerance set, the Purchase Order/work order/turnkey contract shall automatically be treated as amended to that extent and no separate amendment will be necessary.

7.6.2 All Plants will use a common tolerance value for a list of items approved by Corp. OS Cell in discussion with Plants.

7.7. Extension/ Repeat Orders

Generally issuance of extension/repeat orders shall be avoided except under the following circumstances:-

a) Where the original order has scope for extension of repeat order and performance of the vendor is satisfactory.

b)When Tender is delayed due to non-receipt of sufficient bids or other reasons beyond the control of the authority.

Wherever applicable, processing for extension/ repeat order shall start at least one month prior to the expiry of the existing order.

CHAPTER - 8: CONTRACT MANAGEMENT

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8.1 Contract Management

A contract can only be said to be effectively managed, if the objective of entering into the contract is fully met. Therefore the purpose of contract management is to ensure that the contract delivers the desired outcomes as per the terms and conditions of the contract. It also ensures that the payments made to the contractor match the performance. Implementation of the contract should be strictly monitored and notices issued promptly whenever a breach of provisions occurs. Monitoring should ensure that contractor adhere to contract terms, performance expectations are achieved (such as timely deliveries, quality of goods supplied, adherence to proper procedure for submitting invoices, and so on) and problems identified, if any, shall be resolved in a timely manner. Normally, the following issues are handled during this phase:

i. Amendments to the contract;
ii. Operation of the option clause;
iii. Safeguards for handing over Procuring Entity materials / equipment to contractors;
iv. Monitoring of supplier/contractor performance;
v. Delays in performance of the contract;
vi. Breach of contract, remedies and termination of contract;
vii. Dispute resolution;
viii. Payments to the contractor and handling of securities;
ix. Contract closure upon completion;

8.2 Amendment to the contract:

Once a contract has been concluded, the terms and conditions thereof should not be varied. No amendment to the contract should be made that can lead to a vitiation of the original Tender decision or bestow an undue advantage on the contractor. However, due to various reasons, where changes and modifications becomes inescapable, the same may be carried out with the prior approval of the Competent Authority [As per Sl. No. 11(a) under Table-A3 of DoP] on due concurrence of Finance Dept.

Variation, other than ERV and statutory variations should not exceed the monetary limit of variation that is specified in the N.I.T document. Variation having monetary implication is not allowed if it is not specified in the N.I.T document.

An amendment can concern any of the clauses of the contract i.r.o Supply/ Works/Service Contract:

A. Supply Contract

i. Increase or decrease in the quantity required, exercise of quantity option clause;
ii. Changes in schedule of deliveries and terms of delivery;
iii. Changes in inspection arrangements;
iv. Changes in terms of payments and statutory levies; and
v. Change due to any other situation not anticipated.

B. Works Contract

After finalization of Tender process, the scope of work should not be increased during period of execution. No additional/supplementary/substitute items should be considered beyond the already approved scope of work & estimate. Where the accepted bid rate is less than the estimated amount put to Tender, the scope of work should not be increased to allow expenditure upto the administrative approved amount. However routine & minor deviations may be considered with the approval of competent authority if the same are absolutely essential for execution of work as per the already approved plan & design.

Following are the clauses where amendment may takes place:

i. Increase or decrease in the quantity of any works included in the contract;
ii. Omission of any such works which should have been included in the scope of work but omitted inadvertently.
iii. Changes in the levels, lines, position and dimensions of any part of the works.
iv. Additional Work of any kind necessary for the completion of the Works; and
v. Change of the specified sequence or timing of construction of any part of the works.

Where the scope of work is a very complicated one and the original scope of work as published in the NIT has inherent fluidity in respect of engineering, design etc., i.e. the nature of work is such that the scope of work cannot be given a rigid shape at the time of Tender and necessity of change therein normally crop up during the execution of the work, the scope of work can be amended after the issuance of work order without exceeding the monetary variation limit as specified in the DoP.

In the contrary, where the scope of work is a firm one, it should not be increased during period of execution.

There shall be adequate justification in writing for undertaking any variation in works. Once it is decided that a variation is required, the instruction should be issued promptly to minimise any adverse effect on the overall works.

Valuation of Variations i.r.o Works Contract

Variation instructions for modified, new or additional work involving extra cost shall be valued as per the procedure set out in the relevant clauses of the contract. Following are the steps to be taken by the Engineer-in-Charge:-

a. If the item is available in the BOQ, then BOQ rate is applicable.
b. If the item is not available in the BOQ, then suitable rates (considering prevalent market rate) should be tried and agreed upon by the procuring entity in consultation with the contractor.
c. In case there is disagreement over rates between procuring entity and the contractor, an independent third party may be engaged by the procuring entity for arriving at the rate. The independent third party shall preferably be a government body/ government undertaking/ a government authorized agency.

8.3 Option clause

8.3.1 Operation of Option Clause

Option clause shall be exercised exclusively for supply/works wherein the scope of work is a firm one and variations are to be made in volume without any change in the scope of work.

Under this clause, the Procuring Entity retains the right to place orders for an increase/decrease in quantity/works up to a specified percentage of the originally contracted quantity/works at the same rate and terms of the contract, during the currency of the contract.

This clause alongwith its extent should be part of the Bid Document and the contract. Ideally upward / downward revision of contract value shall be within 25% of the original value. Approval should be taken from the Competent Authority (who originally approved the Tender) to exercise the option clause. In case the recalculated value of the contract goes beyond the delegation of powers of the original Competent Authority, approval of the Appropriate Competent Authority as empowered under DOP may be obtained.

The provision of the option clause in the NIT may be in the following lines:-

"The Procuring Entity reserves the right to increase/decrease the ordered quantity/works by up to 25 per cent (Twenty-five per cent) at any time, till final delivery/completion date (or the extended delivery/completion date of the contract), by giving reasonable notice even though the quantity/works ordered initially has been supplied/executed in full before the last date of the delivery/completion (or the extended delivery/completion period)."

No such order for increase in supply/service is allowed after expiry of the contract period.

8.3.2 Conditions Governing operation of option clause :

The following points must be kept in mind while operating the option clause:

In case of decrease in the ordered quantity, it would be fair to allow the firm to supply work-in-progress or goods already put up for inspection;

Increase in the ordered quantity shall not be made if there is a declining trend in the price;

The option clause may normally be exercised after receipt of 50 (Fifty) per cent quantity but if the delivery period is going to expire and other conditions are fulfilled, it can be exercised even earlier;

The option clause shall be exercised during the currency of the contract in such a way that the contractor has reasonable time/notice for executing such increase in supply/works. The option clause can also be exercised even if the original ordered quantity is completed before the original last date of delivery. The

delivery/execution period for additional supply/works shall be in line with the terms of the delivery/execution period of the original order.

The quantum of the option clause will be excluded from the value of Tenders for the purpose of determining the level of Competent Authority for the original Tender;

This provision can also be exercised in case of PAC/single supplier OEM cases.

8.4 Safeguards for Handing over Procuring entity materials / equipment to contractors:

For performance of certain contracts, Procuring Entity may have to provide stores, drawings, documents, equipment and assets (such as accommodation, identity cards and gate passes, and so on) to the contractor. In certain situations, the contractor may also be supplied with electricity, water, cranes, weighing facilities, accommodation etc on payment/hire basis. As a measure of transparency, the possibility of provision of such resources by Procuring Entity may be declared in the Tender document. When no such provision is there in Tender document such facilities may be provided to bidder upon his request only on chargeable basis as per availability.

Before the final payment or release of CPG, a certificate may be taken from the concerned Department that the contractor has returned all documents, drawings, protective gear, material, equipment, facilities and assets provided, including all ID cards and gate passes, and so on, in good condition. Further, it should be certified that payment/reimbursement from the contractor has been received for usage of electricity, water, crane, accommodation, weighing facility, and so on.

8.5 Monitoring of supplier / Contractor Performance

Procuring Entity shall monitor the contract periodically to ensure that the contract is executed as per the terms and conditions of the contract. Special care should be taken to ensure quality and achieving each and every interim milestone so that the entire works/supply is completed in time. Engineer-in-Charge should regularly update Hindrance Register. He should keep close coordination with HR&A, Stores, Finance and other departments so that the works/supply is not affected on account of delay/lapses on the part of the procuring entity. Some common natures of delay/lapses observed on the part of the procuring entity are as follows:

a) Delay in issuance of Gate Pass;
b) Security clearance;
c) Release of bills of the Contractor;
d) Receiving materials at stores;
e) Delay in inspection;
f) Handing over of site;
g) Getting shut down; etc.

8.6 Delay in Performance of contract

8.6.1. Delivery Period

The period for delivery of goods or execution of works and completion of any allied service(s) thereof (such as installation and commissioning of the equipment, operators' training, and so on) are to be properly specified in the contract with definite dates and these shall be deemed to be the essence of the contract. The delivery period/period of execution stipulated in contracts should be specific and pragmatic.
In case of items such as raw material which is delivered throughout the year, a delivery schedule of the monthly rate of supply should be specified. It is usual in such cases that there is a slight deviation from such monthly rate of supply. It should be clarified in such cases that the variation in the periodic rate of supply beyond +/- 10 (Ten) per cent in any calendar month; or +/- 7(seven) per cent cumulative in any calendar quarter; or +/- 5(five) per cent cumulative in any calendar year would be considered as delay in delivery attracting imposition of LD.

In case of delay in execution/completion of the works, imposition of LD should be considered as per terms of the contract. The penalties proposed for identified lapses for omission or commission must be disclosed in the Tender documents in clear monetary terms.

8.6.2. Terms of delivery (for Goods only)

Terms of delivery (FOR, FOB, CIF, and CFR, and so on), inter alia, determine the delivery point of the ordered goods from where the Procuring Entity is to receive/collect the goods. It also decides the legal issue as to when the 'titles of the goods' have passed to the Procuring Entity. The delivery period is to be read in conjunction with the terms of delivery, therefore the delivery is taken to have been made at the time when goods reach the delivery point as per the delivery terms. Thus, terms of delivery should be clearly mentioned in the NIT.

8.6.3. Extension of delivery/completion 8.8.3

Contractor shall be required to adhere to the delivery schedule/period of completion of works specified in the purchase order and, if there is delay in supplies/completion of work, LD shall be levied wherever there is failure by the Contractor.

Extension of the delivery date amounts to amendment of the contract. Such an extension can be only done with the consent of both parties (that is, the Procuring Entity and Contractor). No extension of the delivery date/completion date is to be granted suo moto unless the supplier specifically asks for it. However, in a few cases, it may be necessary to grant an extension of the delivery/completion period suo moto in the interest of the administration. In such cases, it is legally necessary to obtain clear acceptance of the extension letter from the contractor.

No correspondence should be made with the contractor after expiry of the contract period or towards the end of it, which has the legal effect of condoning the delay/breach of contract.

When it is necessary to obtain certain information regarding past performance, it should be made clear that calling for such information is not intended to keep the contract alive and that it does not waive the breach and that it is without prejudice to the rights and remedies available to the Procuring Entity under the terms of the contract. The last line of such a communication should therefore be:

"This letter is issued without any prejudice to Procuring Entity's rights and remedies under the terms and conditions of the subject contract and without any commitment or obligation."

If at any time during the currency of the contract, the contractor encounters conditions hindering timely delivery of goods/execution of works, he shall promptly inform the concerned officer in writing. He should mention its likely duration and make a request for extension of the schedule accordingly. On receiving the contractor's communication, the Procuring Entity shall examine the proposal and on approval from the Competent Authority, may agree to extend the time period, with or without imposition of LD and with or without exercise of denial clause (as defined in Clause 8.6.6 below), for completion of the contractor's contractual obligations.

When delay occurs on account of contractors fault, extension may be allowed on the basis of request from contractor if the procuring entity considers other options like termination, risk purchase etc will cause further delay. However all such extension order should be without prejudice to the rights of imposition of LD by the procuring entity and this should be clearly mentioned in the Notice for extension. To take care of complex legalities brought out above, extension of the delivery/completion period when granted should only be done in writing in the laid down format given in **ANNEXURE- 14.**

8.6.4. Delay in supplies/works for which contractor is not responsible

Normally, in the following circumstances, the contractual period needs to be re-fixed to take care of the lost period, without imposing any penalty to the Contractor:

i) Cases where delay occurs in approving the sample/design/drawing etc. by the Procuring Entity though submitted by the Contractor on time;

ii) Where extension in the delivery period is granted on account of some omission on the part of the Procuring Entity which affects the due performance of the contract by the Contractor.

8.6.5. Force majeure clause

Conditions beyond control of either parties like war, hostility, acts of public enemy, civil commotion, sabotage, serious loss or damage by fire, explosions, epidemics, strikes, lockouts or acts of God come under the legal concept of Force majeure. Delays in performance of contractual obligations under influence of Force majeure conditions are

condonable by the other party without any right to termination or claim for damages, provided, notice of happening of any such event is given by the affected party to the other within 30(thirty) days from the date of occurrence. Execution of work/ supply of goods shall be resumed as soon as practicable after such event has come to an end or ceased to exist. However if such event continues for a period exceeding 120 days(for works)/ 90 days(for goods), either party may at its option terminate the contract without any financial repercussion on either side by giving notice to the other party.

8.6.6. Denial clause

Where the delay in delivery/execution is due to default on the part of the contractor, the Procuring Entity should protect himself against extra expenditure during the extended period by stipulating a denial clause (over and above levy of LD) in the letter informing the contractor for extension of the delivery/completion period. In the denial clause, any increase in statutory duties and/or upward rise in prices due to ERV are to be borne by the contractor during the extended delivery period, while the Procuring Entity reserves his right to get any benefit of a downward revisions in statutory duties and ERV.

8.6.7. Hindrance Register

It is a vital document in connection with execution of any work. It should be maintained in prescribed Format (**ANNEXURE –15**) at work site by Engineer-in-Charge. Various hindrances encountered during the course of execution should be recorded in the Hindrance register on day to day basis.

It should be signed by the Engineer-in-Charge. Contractor or his authorised representative is also required to put his signature. In case the contractor or his representative refuses to sign, the same shall be recorded in the register and the incident of such refusal should also be communicated in writing to the Contractor.

8.6.8. Liquidated damages

Compensation of loss on account of late delivery/completion (notionally/actually) where loss is pre-estimated and mutually agreed to is termed as LD. Law allows recovery of pre-estimated loss provided such a term is included in the contract and there is no need to establish actual loss due to late supply/execution of work.

Time schedule of delivery/completion shall be essence of the order. If the contractor fails to execute the order in full or part thereof within the fixed period or any time repudiate the contract before the expiry of such period, the Corporation may, without prejudice to any other right or remedy available, recover damages for breach of contract and to safe-guard its interest, the following sample clause may be included in the GCC.

'In the event of any delay in the supplies of ordered materials/execution of works beyond the stipulated delivery/completion schedule including any extension permitted in writing, the Corporation reserves the right to recover from the

contractor a sum equivalent to 0.5% of the value of delayed supply/work for each week of delay and part thereof subject to a maximum of 10% of the total value of order.'

Performance LD

In the event of non attainment of functional parameters/ guarantees stipulated in the NIT, the contractor shall be liable to levy of liquidated damage. The quantum of such performance LD along with LD for delay shall not exceed 10(ten) percent of the contract price.

LD for Milestone delay

Milestones shall be pre-defined in the NIT and delay in attaining the milestones by the contractor shall lead to imposition of intermediary Liquidated damages @0.25% per week of delay upto the maximum extent of 5(Five) Percent of the Contract price.

The total/aggregate LD (LD for Delay + Performance LD + LD for Milestone Delay) leviable in a particular contract shall not exceed 15(Fifteen) Percent of the Contract price. This clause shall specifically be included in GCC/SCC.

However no LD for milestone delay will be charged if the project is completed within the stipulated time provided such milestone delay does not hamper scheduled execution of any other related projects/activities thereby causing loss or damage to the employer.

8.6.9. Waiver of LD

There should normally be no system of waiver of LDs either in whole or in part for delay in supplies/works attributable to the Contractor and it may strictly be an exception rather than a rule. For an extension of the delivery/completion date with waiver of LD in whole or in part, justifications should be recorded in consultation with finance dept. and approval of the Competent Authority should be obtained.

8.7 Breach of contract, remedies and Termination

In case the contractor is unable to honour important stipulations of the contract, or gives notice of his intention of not honouring or his inability to honour such a stipulation, a breach of contract is said to have occurred. Mostly, such breaches occur in relation to the performance of the contract in terms of scheduled execution/inability to supply the required quantity or quality.

This situation will not allow the Procuring Entity to cancel the contract straight away without serving a notice to the contractor and considering the reply, if any, given by the contractor within the stipulated time.

A model communication which may be issued by the Procuring Entity before termination is given at **(ANNEXURE – 16)**.

8.7.1. Termination or Cancellation of Contract

The Competent Authority may terminate a contract in the following cases:

a. Cancellation of contract for default on the part of Contractor

i) If the contractor fails to deliver any or all of the requisite materials/ execute whole or part of the works within the time period(s) specified in the contract, or any extension thereof granted; and/or

ii) If the contractor fails to perform any other obligation under the contract within the period specified in the contract or any extension thereof granted.

b. Termination of contract for insolvency

If the contractor (or any Member of the JV, consortium/collaborator if applicable) becomes bankrupt or becomes otherwise insolvent or undergoes liquidation or loses substantially the technical or financial capability (based on which he was selected for award of contract), the contract may be terminated without compensation to the contractor, provided that such termination will not prejudice or affect any right of action or remedy which has accrued or will accrue thereafter to Procuring Entity.

c. Termination of contract for Procuring Entity's failure/convenience

After placement of the contract, there may be an unforeseen situation compelling Procuring Entity to cancel the contract. In such a case, a suitable notice has to be sent to the contractor for cancellation of the contract, in whole or in part. The notice shall also indicate the date from which the termination will become effective. This is not Procuring Entity's legal right – the contractor has to be persuaded to acquiesce. Depending on the merits of the case, the contractor may have to be suitably compensated on mutually agreed terms for terminating the contract. Suitable provisions to this effect should be incorporated in the Tender document as well as in the resultant contract.

However, it is advisable to obtain legal advice before cancelling the contract.

8.7.2. Recourse available to procuring entity in case of Termination under clause 8.7.1 (a) & 8.7.1 (b)

If the contract is terminated in whole or in part, recourse may be taken to any one or more of the following actions:

a) Forfeiture of the performance security;

b) Risk Purchase: Upon such terms and in such manner as it deems appropriate, goods undelivered or works unexecuted may be procured/executed adopting alternative recourses at the sole risk and cost of the contractor. The additional cost over and above the contracted price incurred for procurement of undelivered goods / execution of the unexecuted portion of works shall be charged to the Contractor.

However, the contractor shall continue to fulfil the contract to the extent which is not terminated.

8.8 Payments to the contractor and Handling of securities

It should be ensured that all payments due to the contractor, including release of the Performance Security, are made on a priority basis without avoidable delay as per the Tender/contract conditions. Before the payment is made it shall be ensured that the payment matches the actual performance. Proper procedures for safe custody, monitoring and return of Bank Guarantees and other instruments may be followed. Before making final payment or before releasing the performance bank guarantee, a "No Claim Certificate" (**ANNEXURE - 17**) shall be obtained from the contractor to prevent future claims. Whenever a bank guarantee is released following due procedure and safeguards, acknowledgement thereof should also be taken from the contractor.

8.9 Dispute Resolution

8.9.1. If any dispute(s) or difference(s) of any kind whatsoever arise between the parties hereto in connection with or arising out of any contract, the parties hereto shall negotiate with a view to its amicable resolution and settlement. In the event no amicable resolution or settlement is reached within a period of 30 (thirty) days from the date on which the dispute(s) or difference(s) arose, either party shall give a notice to the other party, of such intention to invoke Arbitration within 14 (fourteen) days from the expiry of the aforesaid period of 30 (thirty) days within which amicable resolution could not be reached.

Such dispute(s) or difference(s) shall be referred to and settled by:

(a) If the contract value is of Rs. 10 crores or below, a Sole Arbitrator to be mutually appointed by both the parties;

(b) If the Contract value exceeds Rs 10 crores, an Arbitral panel comprising of 3 (three) arbitrators will be constituted. Both the parties shall appoint one arbitrator each. The third Arbitrator shall be appointed by both the Arbitrators who shall act as the Presiding Arbitrator.

8.9.2. If a party fails to appoint the Sole Arbitrator within 30 (thirty) days from the receipt of a request to do so from the other party or in the case of Arbitral Tribunal, the appointed Arbitrators fail to agree upon the Presiding Arbitrator within 30 (thirty) days from the date of their appointment, the appointment of Sole Arbitrator or Presiding Arbitrator, as the case may be, shall be made upon request of either party by:

(a) the High Court (in case of a domestic arbitration) or

(b) the Supreme Court of India (in case of International Commercial Arbitration) or

(c) any person or Institution designated by such Court referred to above at Clause (8.9.2 a) & (8.9.2 b) above.

8.9.3. The Arbitration clause can be invoked at any time during the currency of the contract or after the expiry/ termination or closure of the contract.

8.9.4. The arbitration proceedings shall be in accordance with the prevailing Arbitration laws of India as amended or enacted time to time.

8.9.5. The existence of any dispute(s) or difference(s) or the initiation or continuance of the Arbitration proceedings shall not permit the parties to postpone or delay the performance by the parties of their respective obligations pursuant to the Contract.

8.9.6. The seat of arbitration shall be Kolkata, West Bengal, India.

8.10 Suspension/Banning of Business Dealings:

For suspension / Blacklisting / Debarring any supplier / Contractor or person who is supplying goods and/or providing services like engineering, construction, erection, commissioning, etc, procedures as laid down under the WBPDCL's Policy & Procedure of Blacklisting and Debarment of Agencies from Business Dealings shall be followed **(ANNEXURE- 18)**.

8.11 Identification of Surplus Material

All the materials including equipments and parts for which payment has been made by the Procuring Entity but remain unused after the completion of the project/contract shall not be treated as Surplus and considered to be the property of the Procuring entity.

However any plant and equipments which remain unused after the completion of the project/contract and for which no payment has been made by the procuring entity shall be treated as Surplus material provided a joint inspection team consisting of officials of the procuring entity and representative of the contractor shall identify such surplus material. Such identified surplus material shall be duly certified/approved by the Engineer-in-Charge/CA and be treated as a property of the Contractor.

8.12 Closure of contract

While making the final payment to the contractor and before releasing the CPG, it should be ensured that there is nothing outstanding from the contractor, because it would be difficult to retrieve such amounts after releasing the bank guarantee/final payment. Before the bank guarantee is released a "No Claim Certificate" may be taken from the contractor as per the format given in **ANNEXURE – 17**. At least in contracts [above Rs. 25 (Rupees Twenty Five) lakh], it should be ensured that before the release of the bank guarantee (final payment, if there is no bank guarantee), the following reconciliations should be done across Departments involved in the execution of the contract:

8.12.1. Materials Reconciliation

The stores and/or the indenter should confirm that all materials ordered in the contract and paid for have been received in good condition and there is no shortfall.

Procuring entity shall confirm that all works ordered in the contract and paid for have been successfully accomplished by the contractor and there is no shortcoming. Full reconciliation of all raw material, part, assembly provided to the contractor by the procurement entity should be done including wastages and return of scrap/off-cuts.

8.12.2. Reconciliation with the user department

Besides material/works reconciliation, the user Department should certify in writing that the following activities (wherever applicable) have been completed by the contractor, to the Department's satisfaction, as per the contract:

I. Achievement of performance standards of material/equipment supplied/job executed;
II. Installation and commissioning, if any;
III. Support service during the warranty period and / or defect liability period;
IV. Training of operators/maintenance staff, if there is a provision in the Contract;
V. Return of all documents, drawings, protective gear, material,
V. equipment, facilities and assets loaned to contractor; and return of all ID cards, gate passes to HR&A department
VI. Support during annual maintenance contract (if it was part of the contract).

8.12.3 Payment Reconciliation

Process of release of Contract Performance Guarantee shall be initiated only after receipt of "No Claim Certificate" from the concerned Contractor and after payment reconciliation made by the concerned officials of the procuring entity on the following score:-

i. LD;
ii. Price reduction enforced on account of shortfall in performance of material/equipment/standards of works executed, if any;
iii. Variations/deviations from the scope of the contract;
iv. Overpayments/duplicate payments, if any;
v. Services availed from Procuring Entity and vacation thereof such as accommodation, electricity, water, security, transport, cranes and other machinery, and so on,
vi. Demurrage, insurance premiums or claims, customs duties, and so on;
vii. Material/works reconciliation;
viii. Price and exchange rate variations;
ix. Statutory duties paid on behalf of the contractor by Procuring Entity; and
x. Inspection charges or loss of material in testing.

xi. Compliance all the applicable labour laws in regard to payment of workers (e.g. Contribution of PF, ESI, payment of wages, bonus, etc as per relevant laws)

On completion of all activities against a contract, the purchase file should be preserved for future reference.

8.13 Security / Guarantee:

8.13.1 Advance Payment Security

a) Advance Payment to the Contractor may be made for facilitating mobilization of resources in order to initiate the supply or works. However, provision of mobilization advance should essentially be need based and only for selected supply/works.

b) If the advance is to be given, it should be expressly stated in the NIT/Bid Documents indicating the amount, rate of interest and submission of Bank Guarantee.

   Advance Payment to the contractor may be made against furnishing of security in the form of Bank Guarantee by the Contractor in line with the Model Format of Advance Bank Guarantee enclosed at **ANNEXURE – 19.**

c) The Bank Guarantee taken towards security of mobilization advance shall be at least 110% of the advance.

d) The advance payment may be released in stages depending upon the progress of the work and mobilization of required equipments etc.

e) The Mobilization Advance should not be paid in full at one except in special circumstances for the reasons to be recorded.

f) Where there is provision for interest free mobilization advance, a clause should be incorporated in the NIT and the contract agreement to the effect that on termination of contract due to default of the contractor, the 'mobilization advance' would be deemed as interest bearing advance at an interest rate of .....% (to be fixed depending on the prevailing rate at the time of issue of NIT) to be compounded quarterly.

g) There should be a provision in the contract for adjustment of advance progressively at the time of payment of bills and concomitant release or reduction of related BG.

8.13.2 Contract Performance Guarantee (CPG)

Contract Performance Guarantee (CPG) is sought towards guarantee for satisfactory execution of order/contract and fulfilment of terms and conditions contained therein. Wherever applicable, it shall be made clear to the bidder through relevant condition of the contract that the amount of CPG shall be forfeited if the contractor fails to execute the order and fulfil the terms and conditions. The CPG can be set off by the Procuring Entity against its claims on the contractor on the said order/contract or any other order/ contract(s).

The validity period of CPG should cover the entire period of supply/execution of job and where there is a defect liability period, till expiry of such period plus 3 months claim period thereafter.

I. The successful Tenderer will have to deposit CPG as security, in the form of Demand Draft/ Pay Order/ Banker's Cheque /Bank Guarantee for satisfactory execution of the order, and for guaranteed performance of the supplied item/ executed works or services. The amount shall be equivalent to 10% of the ordered value and it shall be deposited within 30 (thirty) days from the date of issuance of Purchase Order/ Work Order, or within the offer validity period, whichever is earlier. In case the guarantee is given in the form of Bank Guarantee (BG), then it should be issued from any Scheduled Bank.

II. EMD of successful bidder may be converted into initial CPG provided the balance amount is remitted in the same form.

III. No CPG shall be required for individual supplier/contractor having order value upto Rs. 100,000/-.

IV. CPG may also be insisted in case of single tender and waiver will be given only in exceptional cases with the approval of Competent Authority. When the ordered value is above Rs. 50 lakh, CPG in the form of Bank Guarantee only shall be acceptable.

V. Even SSI units are not exempted from submitting the CPG for the materials / works/services to be supplied/to be executed as per terms specified in N.I.T.

VI. Contract Performance Guarantee (CPG) can be released after successful execution of PG Test / completion of supply or works or after expiry of defect liability period in line with explicit provision in this regard under the Contract.

[Model Format of EMD and Contract Performance Guarantee are enclosed at **ANNEXURE – 12 & ANNEXURE – 20** respectively]

8.14 Materials & Workmanship (for Goods only)

In power stations, failure of spare or other materials may prove to be very costly to the Corporation and at time may result in loss of power generation. It is therefore important to ensure that goods acquired from the suppliers conforms desired quality and free from defects and faults in material, workmanship and manufacturing. A suitable sample clause, as under, shall be included in GCC.

'Supplier shall fully warrant that the stores, equipment and component supplied against the purchase order shall be new and first quality, according to the specifications and shall be free from defects (even concealed faults, deficiency in design, materials and workmanship)'

8.15 Inspection / Checking / Testing (for Goods only)

In order to ensure that goods are supplied strictly as per the specifications contained in the purchase order, all incoming materials need to be inspected. Inspection may be carried out at supplier's works and/or at destination after receipt of materials at Stores. Even if pre- despatch inspection is carried out, final inspection has to be done at Stores to ensure that right materials have been despatched and there are no damages during the process of transportation. Requirement of Material Analysis Report, Performance Test, IBR Certification and submission of relevant certificates, ISI marking, Interchangeability Certificate, Guarantee/Warrantee shall clearly be spelt out in Tender enquiries and purchase orders. Inspection at supplier's works may be carried out by officials of the Corporation or by hiring the services of third party. Suppliers may also be advised to provide their in-house inspection report.

The specimen clause in this regard is included in General Conditions of Contract (GCC):

'All materials/equipment to be supplied against this purchase order shall be subject to inspection/checking/testing by the Corporation or its authorized representative at all stages and places, before, during and after the manufacture. All these tests shall be carried out in the presence of authorized representative of the Corporation. Supplier shall notify the Corporation for the inspection of materials/equipment when they are ready, giving at least 10 days notice. The material/equipment which does not meet the specifications shall be rejected and returned to the supplier for repair/modification etc. or for replacement. In such cases all expenses including to- and- fro freight, re-packing charges, transit insurance etc shall be to the account of supplier.

Inspection by the authorized representative of the Corporation or failure of the corporation to inspect the material/equipment, shall neither relieve the supplier of any responsibility or liability under this purchase order in respect of such material/equipment nor be interpreted in anyway to imply acceptance thereof by the Corporation. Whenever specifically asked for by the Corporation, the supplier shall arrange for inspection/testing by Institutional Agencies such as Lloyds Register of Industrial Services, Boiler Inspectorate, RITES etc. In such

cases, vendor shall adhere to the inspection/testing procedures laid down by such agencies. All expenses including inspection fees shall be to the suppliers account unless agreed to the contrary and specified in the purchase order.'

8.16 Interchangeability (For Goods only):

All similar materials and removable parts of similar equipment shall be interchangeable with each other. A specific confirmation in this regard must be obtained from the supplier along with the invoice for the supply of materials. Since specifications of all the materials, especially spares are generally not provided by the manufacturer/supplier and it is also not possible to carry out the inspection of all such spares to ascertain that right spares have been supplied, a confirmation from the supplier shall be obtained to the effect that spare when replaced shall fit in the equipment.

8.17 Approval of samples before manufacturing bulk supplies (For Goods only):

If an item is manufactured to the specific requirements of the Corporation, it is prudent to ask for the sample for approval before the bulk quantity is manufactured. A written confirmation regarding acceptance of sample shall be made and sample (s) so approved are kept in Stores to facilitate inspection/checking when bulk quantities are received. The requirement of sample shall be spelt out both in Tender enquiry and P.O.

8.18 Removal of Rejected Goods and Replacement (For Goods only):

Upon receipt of materials at destination and inspection by user department, if full material or part is rejected (rejections may be due to wrong supplies, sub-standard supplies or damages in transit), the details of rejection including reasons, shall immediately be communicated to the supplier to arrange supply of suitable replacement and also removal of rejects at the cost of the suppliers. In order to safeguard the interest of the Corporation, following specimen clause shall be incorporated in GCC:

a) **If upon delivery, the material/equipment is found not in conformity with the specifications stipulated in the purchase order, whether inspected and approved earlier or otherwise, those shall be unacceptable to the Corporation or its authorized representative. A notification to this effect shall be issued to the supplier, normally within 30 days from the date of receipt of materials at Stores.**

b) **Supplier shall arrange for suitable replacement and remove the rejected goods within 30 days from the date of notification issued to them and must express their intent to do so within 15 days from the date of notification issued.**

c) **External damages or shortages that are prima-facie the results of rough handling in transit or due to defective packing shall be intimated within a fortnight of the receipt of the materials, spares etc. In case of internal defects, damage or shortages of any internal parts due to bad handling in transit or defective packing, which cannot ordinarily be detected on a superficial visual**

examination, should be intimated within 3 months from the date of receipt of these articles. In either case the damaged or defective materials should be replaced by the supplier free of cost to the Corporation.

d) **If no steps are taken within 15 days of receipt of intimation of defects or such other reasonable time as Corporation may deem proper to afford, the Corporation may in case of urgency, without prejudice to its other rights and remedies, arrange for repairs/rectification of the defective materials or replace the same and recover the cost incurred from the deposits such as EMD, and performance guarantees or other monies available with the company or by resorting to legal action.**

e) **However, if any advance payment had been made by the Corporation for the goods so rejected on technical ground, rejected materials shall be returned to supplier after receipt of suitable replacement supplies.**

8.19 Sub-letting, Assignment and Approval of Sub-Vendor:

The supplier/contractor shall not, save with prior consent in writing of the Corporation, sublet, transfer or assign the order or any part thereof or interest therein or benefit or advantage thereof in any manner, whatsoever, provided any such consent shall not relieve the supplier from any obligation, duty or responsibilities under the provisions of order/contract awarded by the corporation.

Sub-vendor approval:

a) Provision should be provided in NIT and maximum level of sub-vendor engagement should be mentioned in the said NIT which shall not exceed 3rd level.

b) Prior approval should be taken from Procuring entity before appointment of sub-vendor.

c) Sub-vendor should be validly registered in Corporation's registered vendor list or otherwise the sub-vendor has to fulfil some definite criteria which should be mentioned in the NIT for that particular job.

8.20 Ensuring Spare Parts, Oil & Lubricants for maintenance of equipments procured (For Goods only):

In order to ensure timely and efficient maintenance of equipment, availability of quality spares shall be essential. The following specimen clause, as such, is incorporated in the GCC to serve the purpose.

'Wherever applicable, the supplier shall furnish to the Corporation, item- wise price list of spares required for a period (period to be specified in the NIT/ Contract) of operation and maintenance of the ordered equipment. The supplier shall also furnish undertaking to supply the spares as per the price list provided during the period specified. The supplier shall also furnish necessary

instructions, and drawings to identify the spare part numbers and their location as well as an interchangeability chart. The supplier shall recommend the quality of oils and lubricants required to be used for uninterrupted operation for a period (period to be specified in the NIT/ Contract) of the equipment supplied against the order.'

8.21 Supplier's/Contractor's Liability

Supplier/Contractor shall accept full responsibility and indemnify the Corporation and shall hold the Corporation harmless from all acts of omission and commission on their part, on the part of their agents, their subcontractors and employees in execution of the purchase order/Works/Service contracts.

8.22 Delivery/Works Schedule:

The bidders are expected to offer delivery/execute works as per the schedule indicated in the NIT. In case of any deviation, bidders are expected to offer their best, realistic and firm delivery/execution schedule. Procuring Entity may accept such deviation provided it doesn't affect the overall performance of the contract.

Date of delivery of goods shall be considered as the date of despatch i.e. dates of RR/PWB/LR/AWB/Bill of lading unless price/cost term connotes delivery at destination. Where price/cost term connotes delivery at destination, the date of receipt of goods shall be considered as the date of delivery. In case, pre-despatch inspection is involved, bidder shall be advised to take into account 15 days notice to Corporation to depute inspection engineer. Delivery period as such be inclusive of time taken for inspection.

8.23 Banking Instruments for Import

Import is regulated by the Directorate General of Foreign Trade (DGFT) under Ministry of Commerce and Industry, Department of Commerce, Government of India. Authorised dealers (Issuing Bank), while undertaking import transaction, should ensure that the imports into India are in conformity with the Export Import Policy in force and Foreign Exchange Management.

Importer should follow normal banking procedures and adhere to the provisions of Uniform Customs and Practices for Documentary Credits (UCPDC) while opening Letters of Credit for import into India.

8.23.1 Letter of Credit (LC):

A letter of credit is a written undertaking given by the Procuring Entity's bank (the issuing bank) on behalf of and at the request of its customer (the applicant i.e. procuring entity) routed through the agency of the issuing bank in the seller's country (advising bank) to the seller that it (issuing bank) guarantees to pay the seller for the goods within a specified time provided that the conditions laid down in documentary credit are fully satisfied. LC can be established by any scheduled Commercial banks under R.B.I.

8.23.1.1 Reasons for Using LC:

In international trade, Procuring Entity and seller being located in different countries may not know each other well. The two countries will have different legal systems, currencies, trade and exchange regulations. Due to this fact both the Procuring Entity and Seller, need some conditions to be fulfilled, to suit their requirements, before releasing the payments and goods respectively. The Procuring Entity and seller want the following:

i. Seller would want:

a) To be paid as soon he ships the goods

b) Assurance that he will be paid by the Procuring Entity or his bank as per contractual obligations.

c) Convenience of receiving payments in his own country.

ii. Procuring Entity would want:

a) To pay for the goods only after they are shipped by the seller.

b) An assurance that seller will ship the goods ordered for and deliver them in time.

8.23.1.2 Basic Forms of Letter of Credit (LC):

Basic forms of LC as applicable to WBPDCL are enumerated below

a) Irrevocable letter of credit.
b) Confirmed letter of credit (only in exceptional cases).

8.23.1.3 Irrevocable Letter of Credit:

When the issuing Bank gives a definite, absolute and irrevocable undertaking to honour its obligations, provided the beneficiary complies with all the terms and conditions, such a credit is known as an irrevocable letter of credit. That means that the letter of credit cannot be amended, cancelled or revoked without the consent of the parties to the letter of credit. This gives the beneficiary definite protection.

8.23.1.4 Confirmed Letter of Credit:

A confirmed letter of credit is one when another Bank in the beneficiary's country adds its confirmation at the request of the issuing Bank. This undertaking of the confirming Bank to pay/negotiate/accept is in addition to the undertaking of the issuing bank.

8.23.1.5 Payment through Letter of Credit

The letter of credit mechanism works as follows:

a) Procuring Entity requests the issuing bank to open an LC.
b) Issuing Bank conveys LC through advising bank.
c) Advising bank advises the credit to beneficiary.
d) Beneficiary after complying with terms and conditions against stipulated documents gets the value either from the Advising bank or confirming bank as per the terms of LC.
e) After passing on the value, negotiating Bank (beneficiary's bank) claims reimbursement from the issuing Bank or confirming bank as per the terms of LC.
f) Ultimately Bank recovers the amount from the applicant. It is the definite commitment of issuing Bank to reimburse to the advising bank whether applicant provides the value of negotiation or not.

8.23.1.6 Essential Elements of LC:

Following essential elements are to be clearly stipulated while opening LC:

a) Type of LC
b) Name and address of applicant and beneficiary
c) Amount of credit and currency
d) Validity of LC
e) Latest shipment date (delivery date as per contract)
f) Basis of delivery (FOB/FCA/CIP/CIF)
g) Contract No. and date
h) Shipment from ……. To ……
i) Consignee
j) Part shipment allowed/not allowed
k) Documents required to be produced by the beneficiary for release of payment from LC
l) LD Clause, if any
m) Any other special instructions.
n) Transhipment allowed/Not allowed

8.23.1.7 Documents to be Provided by the Seller:

Shipping documents as defined in the LC are to be provided to the Advising Bank by the Supplier as proof of dispatching goods as per contractual terms so that the supplier gets his payment from LC. The advising Bank forwards these documents to issuing bank and also to the Procuring Entity for getting the goods/stores released from Port/Airport. Such documents include:

a) Bill of Lading / Airways Bill
b) Original Invoice
c) Packing List
d) Certificate of Origin from Seller's Chamber of Commerce
e) Certificate of Quality and current manufacture from OEM

f) Dangerous Cargo Certificate, if any.
g) Insurance Policy of 110% if CIF/CIP contract.
h) Certificate of Conformity & Acceptance test at PDI, signed by Procuring Entity's and Seller's QA Deptt.
i) Phyto-sanitary/Fumigation Certificate.
j) Performance Bond/Warranty Certificate
k) Authenticated signature of the supplier or his authorised representative should be available with the bank and verified by them before releasing LC payment.

The above details should form part of the contract.

8.23.1.8 Extension of LC

Following points should be checked before initiating the case for extension of LC by Procuring entity.

a) Extension of delivery date in the contract and corresponding amendment in LC for latest date of shipment.

b) Contract Performance Guarantee (CPG) extension.

c) Onus of charges for LC extension.

Approval of Director (F&A) should be obtained prior to extension of LC.

8.23.2 Direct Bank Transfer (DBT):

Direct Bank Transfer is a process under which a supplier may request the procuring Entity to directly remit the payment to its designated bank by wire transfer. Direct Bank Transfer shows high degree of trust between parties. DBT shall be made upon receipt of goods at site within such reasonable time as specified in the contract subject to submission of following document:

a) Bill of Lading / Airway Bill
b) Original Invoice
c) Packing List
d) Certificate of Origin from Seller's Chamber of Commerce
e) Certificate of Quality and current manufacture from OEM
f) Dangerous Cargo Certificate, if any.
g) Insurance Policy of 110% if CIF/CIP contract.
h) Certificate of Conformity & Acceptance test at PDI, signed by Procuring Entity's and Seller's QA Deptt.
i) Phyto-sanitary/ Fumigation Certificate.
j) Performance Bond/Warranty Certificate

The above details should form part of the contract.

After obtaining the above documents, concern GM authorizes Corporate Finance department for Direct Bank Transfer.

8.23.2.1 Advantages Of Direct Bank Transfer over LC:

Following advantages accrue in comparison to payments through LC:

a) Payment released only after receipt of goods.
b) Payment to be made only after full satisfaction to the quality, quantity etc.
c) Cost-effective-inexpensive compared to LC.

DBT mode of payment is advisable in cases where contract value do not exceeds the maximum permissible limit as declared by RBI from time to time.

8.23.2.2 Specified Time Limit and Delivery Schedule

At present LC is opened after getting confirmation in regard to readiness of material. The normal delivery schedule for spares procurement in case of LC and DBT, payment terms should be as follows:

- LC Payments :-Ideally 6(six) months from the date of signing of contract which will include :

  Obtaining export license and giving notification of readiness for opening of LC by seller – 45 days.

  Obtaining Foreign Exchange Release and opening of LC through Director (F&A) by Procuring Entity – 15 days

- Validity period of LC – upto 180 days. The LC will be opened three months prior to the expiry of delivery period only. In case the spares under procurement are in large quantity or their technical production cycle is long as specified by the seller in the Tender enquiry, then the LC shall be opened in a staggered manner depending on the delivery schedule.

  DBT Payments shall be made within six months from the delivery of material/execution of works.

CHAPTER -9: SOURCE STANDARDISATION

CHAPTER - 9: SOURCE STANDARIZATION

9.1. Standardization:

For efficient operation and maintenance of power plant, timely availability of materials of required quality at reasonable price is very important. Failure of small items of MRO (Maintenance, Repair and Operating Supplies) may prove very costly and result in spoiling very high value equipment, increasing cost of maintenance and sometime even affecting power generation. For example, in the area of plant consumable, for almost every item quite a number of cheap products have been developed and being marketed by various suppliers. Many of them have failed to provide reliable and consistently good services. Corporation cannot afford pre-mature failures. It is therefore imperative to look for quality materials amongst available brands/ manufacturers. Standardization helps to select reasonably and consistently required quality materials from the various alternatives available in the market.

9.2. Procedure for Standardization:

9.2.1. As and when user departments feel the necessity of standardizing sources/ makes of certain items due to difficulties in getting requisite quality materials, they shall initiate a proposal for standardization of source (s) of supply of those items. The proposal shall indicate in details as to why source/ make standardization of proposed items is necessary. Such proposal needs to be approved by General Manager/ Head of Unit in case of plant and concerned Director in case of corporate office.

9.2.2 There shall be a Standing Source Standardization Committee in each plant and in corporate office comprising engineers not below the rank of Manager drawn from all Engineering Deptts. Representatives of Finance Deptt & M&C Deptt. of equivalent status are also required. Member of the M&C Deptt will be the co-coordinator. At plant level, GM (plant) shall constitute such committee and at corporate level it shall be done by the Director empowered by CMD.

9.2.3. After approval of competent authority to consider source standardization of certain proposed items, the Source Standardization Committee (SSC) shall undertake the source standardization exercise on the following basis:-

a) Past experience / data available with regard to performance of products of different reputed manufacturers.
b) Consultation with other power station of the Corporation and obtaining feedback in this regard.
c) Collection of data from other reputed power organizations like WBSEDCL, WBSETCL, NTPC, NHPC, PGCIL, BHEL etc.
d) By referring data available from the past open Tender (NIT).

9.2.4 If necessary, sources under considerations, who are renowned manufacturers, may be asked to provide samples or extend the facilities of deputing their competent officials along with samples for trial/ discussions with committee members.

9.2.5 In the process of standardization of sources, if required, committee may recommend for assessment of supplier's works for technical capabilities, process of quality assurance and availability of testing facilities, financial strength, turnover, etc. In order to carry out this assessment committee/nominated officials may visit the supplier's works.

9.2.6 As far as possible, committee shall look for multi-source standardization. However, in exceptional cases, single source standardization may also be recommended.

9.2.7 After assessment of potential sources for standardization, plant level committee shall prepare the recommendations and send it to the corporate office through respective GM (Plant) for approval. Corporate level SSC likewise will do the same exercise and recommend cases of source standardization in respect of proposals of corporate departments.

9.2.8 As the standardization will have an organization-wide effect, the recommendations from plants will be further reviewed by corporate level SSC. The Director empowered by CMD will approve the final standardized sources both for corporate office and plants.

9.2.9 Sources standardized shall remain valid for a maximum period of three (3) years and be reviewed in such a manner that by the time its validity expires, new standardization, based upon the experience ranging three years period, is approved and in place to ensure smooth procurement. Addition and deletion may be done on six (6) monthly basis.

9.2.10 A copy of approval of source standardization for various items once finalized for any unit or for corporate office must be circulated to other units of WBPDCL for their reference or similar action. This exercise will provide support to the efforts for source standardization for maximum items.

9.2.11 Procurement from standardized source(s) shall be done following due procedure of limited or single tender as the case may be. For items required frequently, procuring entity should enter into rate/running contract with single/multiple standardized source(s).

CHAPTER -10: SOURCE SELECTION, REGISTRATION AND EVALUATION OF VENDORS

CHAPTER -10 : Source Selection, Registration and Evaluation of Vendors

10.1 Registration / Enlistment of Supplier / Contractor / Vendor

10.1.1 The purpose of the registration of supplier/vendor/contractor is to limit the procurement time taken due to the repeated verification of qualification of bidders for similar procurements and to ensure a continued pool of suitably qualified suppliers/vendors/contractors of goods, works (including turnkey contracts) and services. It is a system of general prequalification signifying the capability of a bidder to handle a particular type of contract and volume of contract. This process can be adopted for all the items which may be prescribed by the corporation from time to time. It shall be made clear in the notification for registration of supplier/vendor/contractor that registration by itself do not guarantee that the contracts for goods, works (including turnkey contracts) and services would be awarded to the registered suppliers/vendors/ contractors.

10.1.2 The vendor registration process shall be carried out both at corporate office as well at Plants for the centrally and non-centrally procured Items respectively.

10.1.3 Vendor registration shall be done either through vendors recommended by user department or on application of vendors received pursuant to advertisement / notification at corporation website, introduction letter, sourcing journal and yellow pages or equivalent sources.

10.1.4 The process of registration shall only be applicable for domestic bidders.

10.1.5 In case of regular supplier/vendors, the vendors shall be evaluated based on the performance of their previous orders mainly related to quality of good supplied/ works executed, meeting the delivery / completion schedule of the purchaser as called for and also the price quoted during the period under review.

10.1.6 Tender committee will evaluate based on the feedback received from User Dept. and the past performance of the vendor and will finally conclude whether the vendor should be kept in the registered list or not. This evaluation of vendors should be done periodically at least once in three years or at any time for any particular vendor(s) as the CA may feel it necessary.

10.1.7 In case of new vendors, the Tender committee will see the requisite facility/capability, technical expertise, financial status, their customer list and should also seek the appropriateness of the end product/services intended to be provided.

10.1.8 The vendor evaluation should be a dynamic process with provision to induct new competent vendors and de-list the vendors, who have not performed.

10.1.9 Approval for enlistment/de-enlistment of vendors based on recommendation of Tender committee shall be given by GM at Plant level and concerned Director at Corporate level.

10.1.10 In due course, the process of online Vendor Registration through PRAYOG shall be implemented. In such case the stipulations as mentioned in Clause 10.3 below or as amended from time to time will be followed.

10.2 **Source Selection:**

In addition to the reliable sources of supplies, who have already established their credential with Corporation & it's different Units, possibilities shall further be explored on regular basis to identify efficient and reliable vendors in the market. Such information can be obtained through:

a) Various power stations of different State's PSU, Central PSU and reputed Private Organization in Power Sectors.
b) Suppliers catalogues, Trade Directories.
c) Trade Journals and Trade Exhibitions.
d) Information provided by prospective suppliers (Introductory letters, sometime along with technical literature).
e) Professional Consultants.
f) Information provided by various user/indenting departments.
g) Response received against Open Tender Enquiries (Notices for Inviting Tenders).
h) Press advertisement for enlisting of vendors for various categories of materials, if felt necessary by the CA.

10.2.1 Selection of right sources of Vendors:

While selecting right sources of Vendors, care shall be taken in the following aspects:

10.2.1.1 Quality Product/Services

Proper analysis shall be made when procurement of any item which is / are required to be purchased i.e. quality offered by the supplier and quality delivered. Whether supplier can make to the standard? What facilities they may provide if stage inspection or pre-dispatch inspection is done at their works?

10.2.1.2 Delivery

Delivery means delivery of requisitioned items by the Supplier within stipulated time in terms of delivery schedule as per order. Whether the supplier agrees to deliver the materials in phases to enable respective units of Corporation to keep down investment in inventory? It is generally expected from a reliable source not only to adhere to agreed delivery period but also to deliver prior to stipulated delivery period when there is crisis.

10.2.1.3 Services

Services mean anything, which helps to strengthen relationship between buyer and seller and facilitate smooth flow of goods. Good services may also include the provision of technical assistance and expert advice, before and after sale, information about new technical development. For equipment and machinery, after sale services are important which includes:

i) An efficient network to provide after sale services;

ii) Ready availability of quality spares at reasonable cost and

iii) Training facilities for Corporation's personnel for operating and maintaining the equipment.

10.2.1.4 General Efficiency

The supplier should not only have sufficient and proper manufacturing capacity but also related experience in producing the required materials. They should have sufficient and experienced manpower and maintain good labour relations. Financial position of supplier obviously affects their capabilities to respond to purchaser's needs. They should have economical and financial infrastructure to execute the orders in time.

10.3 Vendors Registration & Enlistment

10.3.1 Vendor Registration is basically a codification process as Vendors needs to be codified in ERP for:

i. Submission of EMD
ii. Placement of Purchase Order/Contract

10.3.2 Since codification is required for submission of EMD, where only basic information of the Vendor is necessary, user department will have to send registration request to Vendor Registration Team of Corporate Office. The Team will make due diligence and validate the Vendor to be registered by PRAYOG (ERP) Master Data Management (MDM) Team.

10.3.3. For submission of EMD the registration request will be reviewed by Vendor Registration Team of Corporate office against some basic requirements like Name, Address, Mobile No., PAN, GSTIN etc as per standard format and each registration have to be completed within 72 hours between Monday to Friday.

10.3.4. If such Vendor is found to be non-compliant during evaluation of bids it has to be communicated to MDM Team either by Vendor Registration Team or by concerned purchasing group

10.4 **Online Enlistment of Vendors through PRAYOG:**

10.4.1 Vendors are required to register themselves in order to make them eligible for consideration towards enlistment for Source Standardisation.

10.4.2 For this purpose, an advertisement in newspapers, corporation's website and notice board of all the units of the Corporation may be published, inviting online Application as per the prescribed application form **ANNEXURE – 21.**

10.4.3 In order to ensure satisfactory response, a copy of press advertisement shall also be sent to reputed manufacturers/their sole distributor or dealers and also circulated at different units of corporation for display in the appropriate notice board, inviting them to get themselves as registered vendors of Corporation's units.

10.4.4 Such information may also be sent to NSIC and State Industry Department inviting their registered parties to apply for registration.

10.4.5 The fee for online registration shall be Rs.2,000/- which may be changed by the authority in future.

10.4.6 It shall be made clear in the notification for registration of supplier/ vendor/ contractor that registration by itself do not guarantee that the contracts for goods, works (including turnkey contracts) and services would be awarded to the registered suppliers/vendors/contractors.

10.4.7 No formal application may be insisted upon for registration from Central and State Public Sector Undertaking.

10.4.8 The evaluation of the applications will be done off-line by Tender Committee.

10.4.9 The committee will also set the areas, goods and nature of services with reference to which, Vendors will be enlisted.

10.4.10 The vendors who had met qualifying requirements including evaluation of their credential against earlier Open Tender Advertisement (NIT) for

procurement of specific items may also be advised for enlistment, if they so desire.

10.4.11 In this regard a specific clause shall be provided in NIT like :

"Those vendors who meet qualifying requirements and respond against this Tender may also be considered for enlistment as approved vendors of Corporation, which shall be valid for a period not exceeding three years provided they register themselves after complying necessary formalities."

10.4.12 Credential of vendors seeking registration need to be verified to ascertain their credibility with regard to financial standing i.e. annual accounts, capacity, reliability bonafides IT PAN, Documents related to compliance of statutory tax, Solvency Certificate from bank, past performance, quality assurance system, testing facilities and managerial capabilities.

10.4.13 The online application will be managed in PRAYOG (ERP) SRM (Supplier Relationship Management) Module attaching scanned copies of the supporting documents. The application will have a WAPPR (Waiting for Approval) status.

10.4.14 The system will generate a temporary registration ID against which supporting documents are to be uploaded and physically submitted by the Vendor for enlistment process as mentioned, the status of qualified vendors will be changed to REGISTERED status in PRAYOG (ERP) SRM.

10.4.15 The conditions for pre-mature termination of registration of vendors/ contractors shall be governed following Clause 10.8 and will be similarly managed in combination of off-line and on-line mode in PRAYOG (ERP) SRM resulting appropriate status of the vendor.

10.5 **Enlistment Status:**

10.5.1 The vendors approved for enlistment for one and more categories of materials shall be allotted a Registration Number and shall be issued a Vendor Registration Certificate (**ANNEXURE – 22**) by GM (M&C) which shall be valid for a period of three years from the date of registration of Vendor. However, all such registered vendors shall submit a declaration during each financial year of their tenure of registration that their credential based upon which they are registered with the Corporation has not been degraded as per Prescribed Format (**ANNEXURE – 23**).

A specimen Format of CHECK LIST (**ANNEXURE – 24**) shall be prepared on the basis of documents received from Vendors before processing the issue of registration / renewal of registration in favour of any vendor.

10.5.2 In PRAYOG (ERP) SRM, vendor will have any of the following status:

- WAPPR : Waiting for approval
- REGISTERED
- UNREGISTERED
- BLOCKED
- RENEWAL AWAITED

10.6 **Renewal of Registration:**

Renewal of registration shall be done for a further period of three years based upon the performance of vendors during the last three years. Vendors seeking renewal shall submit a fresh application form **(ANNEXURE-21)**, four months prior to expiration of the validity of registration, duly filled in, along with necessary documents like current IT PAN, Recent Documents related to compliance of statutory tax, balance sheet etc. Renewal fee of Rs.2,000/- or as decided by the authority from time to time shall be remitted in the form of Demand Draft.

10.7 **Consideration of fresh applications for registration:**

Fresh application for registration from vendors shall be considered on continuous basis but evaluation for registration shall be made by the respective committee bi-annually.

10.8 **Pre-mature Termination of Registration:**

Premature termination of registration of vendor may be done on the following circumstances:

a) The performance of vendor is rated below the minimum acceptable level during the evaluation process and no improvement is observed in spite of a notice to this effect.

b) Vendor fails to execute the order.

c) Vendor no longer has the technical staff or equipment considered necessary for production of requisite materials/ failed to execute work without interruption.

d) Vendor is declared bankrupt or insolvent or its financial position has become unsound and in case of public limited company, it is wound up or taken into liquidation.

e) Vendor fails to furnish any document when called for.

f) Registration of vendor is cancelled by any unit of Corporation or by another PSU or Government department. However such agency may be allowed to continue the job awarded to them which is under execution.

g) The integrity of vendor is suspected.

Respective M&C Dept. shall initiate the process of pre-mature termination of registration of any vendor before Tender Committee detailing the reason for such termination. The Tender Committee after necessary examination forward its recommendation to the competent authority for his approval. M&C Dept. shall act in accordance with the approval of the competent authority.

10.9 **Revocation of Pre-mature Termination of Registration:**

Pre-mature termination can be reviewed and revoked by competent authority, if the CA is of the opinion that disability already caused to Vendor is adequate in the circumstances of case. Such review may be carried out on specific representation from the vendor with categorical assurance of not repeating the circumstances under which registration was terminated.

10.10 **Vendor Performance Evaluation System**

10.10.1 Systematic evaluation of vendor shall be done through 'vendor appraisal', which is done before Tendering. Vendor rating in numerical terms shall be assessed after tendering process and placement of orders. Vendor appraisal is the assessment of their potential performance whereas rating is the measurement of actual performance. After having appraised, the vendor registration is done. A specimen format of Vendor appraisal sheet is enclosed as **ANNEXURE 25.**

10.10.2 Vendor rating summarizes the actual performance, which includes attributes like quality, delivery, services/adherence to commercial terms and conditions etc.

10.10.3 The aim of performance rating shall be:

To provide purchaser with objective information, upon which judgment relating to source selection is based.

To enable purchaser to provide information to the vendor pertaining to their performance. This helps them to improve their performance, if required and also to the purchaser to discontinue business dealing with those vendors, who do not improve to requisite level in spite of feed- back.

10.10.4 Determination of attributes and assignment of weightage.

10.10.4.1 We may not consider price as an attribute in view of the fact that most of our purchasing is based on competitive bidding and price can simply be compared.

10.10.4.2 However quality of products, timely delivery and services including adherence to commercial and contractual conditions are important attributes. For us, supply of quality product as per order specification is very important, as cost of failure of a part/material is very high in an operating unit.

Equally important is availability of materials when needed. Non- availability of a critical spare/material may even result in loss of generation. In fact timely delivery is the first step towards 'Just- In- Time' inventory model. In view of this both quality and timely delivery are assigned equal weightage of 40 each in scale of 100 point measurement.

10.10.4.3 Another important area of procurement process is adherence of commercial/contractual conditions by the vendors. We may assign weightage of 20 to this attribute i.e. 10 each to pre-order and post order phases.

10.10.4.4 In view of above the weightage table shall be as under:

Sl No	Attributes	Measurement criterion	Weig-htage	Remarks
1	Quality performance	Technical rejection	40	Rejections due to damages in transit shall not be considered
2	Delivery performance:			
a)	Time schedule delivery	Ratio of contracted delivery to actual delivery	20	Date of dispatch shall be considered. Part of week shall be reckoned as full week
b)	Quantity schedule	Deviation in quantity supplied	20	Shortages due to transit loss or damages shall not be considered and + or – 5% deviation in supplied quantity also not to be considered
3	Commercial & Contractual performance			
a	Pre-award performance	Response to Tender enquiries and subsequent queries/clarifications, Extent to match special Commercial terms, Deviation to General terms etc	10	
b	Post award performance:	Deviation sought to P.O. terms, compliance of Dispatching and invoicing instructions, After Sales Services etc	10	

10.10.4.5 Calculation of vendor rating shall be as under:

a) *Quality performance ={(1 – Rejected Quantity)/ Supplied quantity} X Weightage (40)*

b) *Time schedule performance = (Contracted Delivery period in weeks/ Actual delivery period or contracted delivery period in weeks, whichever Is higher) X Weightage (20)*

c) *Quantity schedule Performance = (Quantity received (acceptable)/ Quantity ordered X Weightage (20)*

d) *Pre-Award Performance and Post-Award performance are to be marked 10 each as referred in Table above at Clause 10.10.4.4.*

10.10.4.6 On the basis of score against each attributes vendor rating shall be arrived at and minimum qualifying percentage shall be as under:

(ii)Attributes Minimum percentage score

a) Quality 60%
b) Delivery 60%
c) Commercial/contractual performance 50%
d) Based on points scored against the above attributes, vendors shall be categorized as under.

(iii) Vendor Rating Points scored (%)

a) Outstanding 80 and above
b) Very good between 70-80
c) Good 60-70
d) Unacceptable Less than 60

10.10.4.7 A positive feedback i.e. appreciating their efforts for maintaining quality, delivery and services including adherence to commercial and contractual terms and conditions may be furnished to those vendors who are rated 'Outstanding' and 'Very Good'. Such appreciation may work as a motivating force for future performance.

As regards vendors rated as 'Good' they shall be advised to improve upon their performance so that they can further develop themselves and climb to the category of 'Very Good' vendor.

Performance of these vendors should be reviewed periodically and slippage, if any, in the rating should immediately be high-lighted so that they may not fall to the category of 'Unacceptable' rating and thus become unacceptable vendors.

The vendors falling under category of unacceptable shall be issued warning/notice and if they do not perform to the expectation, business dealings shall be discontinued and their registration shall be terminated.

10.10.5 As far as possible the reports for decision support for Vendor evaluation must be obtained from PRAYOG.

CHAPTER -11: APPOINTMENT OF CONSULTANTS

CHAPTER-11 : APPOINTMENT OF CONSULTANTS

11.1. Brief Procedure on Selection of Consultants

11.1.1 For selection of the consultants, normally, the Procuring Entity i.e. WBPDCL shall adopt two stage procedures. In the first stage, the Procuring Entity shall identify the likely sources on the basis of formal or informal enquiries and by inviting Expression of Interest (EOI) through advertisement. On the basis of responses received, Consultants meeting the requirement will be short listed for further consideration. In the second stage, the short-listed consultant will be invited to submit (Request for Proposals or RFP) their Technical and Financial Proposals. The consultant shall be selected based on evaluation of their Technical and Financial bids, the details of which are provided under clause 11.3 of these guidelines.

11.1.2 The selection of consultant shall follow any of the following methods; as considered appropriate:

1. Quality and Cost Based Selection (QCBS): Under normal circumstances, this method of evaluation shall be used.

2. Combined Quality-Cum-Cost Based System (CQCCBS): This method of selection shall be used for highly technical projects where weightage needs to be given to higher technical standards, while finalizing the prices, as per clause 11.3.12 below.

3. Quality Based Selection (QBS): This method of selection may be used under the following circumstances:

   (i) The outcome of the assignment will have high impact and hence it is essential to engage most qualified consultant. Examples are national policy formulation: capacity building program etc.

   (ii) The assignment is very complex or highly specialized where it is difficult to define scope of work with accuracy. Examples are country specific study; reforms related studies, high precision scientific work etc.

4. Cost Based Selection (CBS): This method of selection may be used for the assignments of following nature: (i) assignment where any experienced consultant can deliver the services without requirement of specific expertise. Examples are traffic surveys, market surveys etc. and (ii) cost of which shall not exceed Rs. Ten lakh.

11.1.3 **Selection by direct negotiations**

The selection by direct negotiations/nomination is permissible under exceptional circumstance such as (a) for tasks that represent a natural continuation of previous work carried out by the firm, (b) in case of emergency situation, situation arising after natural disasters, situations where timely completion of the assignment is of utmost importance, (c) situations where the execution of assignment may involve use of proprietary techniques or only one consultant has requisite expertise. Such selection may normally be restricted to a financial ceiling of Rs. Five lakh.

11.1.4 Function of TC for selection of Consultant

For all cases having financial implications of more than Rs. Five lakh, Tender Committee as defined under clause 2.6.1 shall carry out the consultant selection procedure. M&C department with the assistance of the Tender Committee shall be responsible for all aspects and stages of the consultant selection i.e. issuance of EOI, evaluation of EOI, short-listing of consultants, deciding Terms of Reference, issuance of RFP, evaluation of technical and financial proposals, negotiations and final selection of the consultant. Even in case of selection of consultant by direct negotiations having financial implication of more than Rs. Five lakh, the Tender Committee shall negotiate with the consultant on technical and financial aspects.

11.1.5 Forms of Contracts

Various forms of the contracts may be entered into by the Corporation with the consultant depending upon the nature of the assignment. Following are various forms of Contracts:

(i) Lump sum contract;

(ii) Time based contracts;

(iii) Success fee based contract;

(iv) Percentage contract;

(v) Indefinite delivery contract.

i) **Lump Sum (Firm Fixed Price) Contract:** Lump sum consultancy contracts are used mainly for assignments in which the content and the duration of the services and the required output of the consultants are clearly defined. They are widely used for simple planning and feasibility studies, environmental studies, detailed design of standard or common structures, preparation of data processing systems, and so forth. Payments are linked to outputs (deliverables), such as reports, drawings, bills of quantities, bidding documents, and software programs. While lump sum consultancy contracts are easy to administer because payments are due on clearly specified outputs, it is essential that the terms of payments for these consultancy contracts are linked with the output and the time frame within which each of the defined activities are to be completed. This type of contract shall normally be used by Procuring Entity for hiring services of the consultant under this guideline.

ii) **Time-Based Contract:** This type of contract is appropriate when it is difficult to define the scope and the length of services, either because the services are related to activities by others for which the completion period may vary, or because the input of the consultants required to attain the objectives of the assignment is difficult to assess. This type of contract is widely used for complex studies, supervision of construction, advisory services, etc. Payments are based on agreed hourly, daily, weekly, or monthly rates for staff (who are normally named in the contract) and on reimbursable items using actual expenses and/or agreed unit prices. The rates for staff include salary, social costs, overhead, fee (or profit), and, where appropriate, special allowances. This type of contract shall include a maximum amount of total

payments to be made to the consultants. This ceiling amount should include a contingency allowance for unforeseen work and duration, and provision for price adjustments, where appropriate. Time-based contracts need to be closely monitored and administered by the Procuring Entity to ensure that the assignment is progressing satisfactorily and that payments claimed by the consultants are appropriate.

iii) **Retainer and/or Contingency (Success) Fee Contract:** Retainer and contingency fee contracts are widely used when consultants (banks or financial firms) are preparing companies for sales or mergers of firms, notably in privatization operations. The remuneration of the consultant includes a retainer and a success fee, the latter being normally expressed as a percentage of the sale price of the assets.

iv) **Percentage Contract:** These contracts are commonly used for architectural services. They may be also used for procurement and inspection agents. Percentage contracts directly relate the fees paid to the consultant to the estimated or actual project construction cost, or the cost of the goods procured or inspected. The selection is made based on two stage bidding. The final selection is made among the technically qualified consultants who have quoted the lowest percentage while the notional value of assets is fixed. It should be borne in mind that in the case of architectural or engineering services, percentage contracts implicitly lack incentive or economic design and are hence discouraged. Therefore, the use of such a contract for architectural services is recommended only if it is based on a fixed target cost and covers precisely defined services.

v) **Indefinite Delivery Contract (Price Agreement).** These contracts are used when a Procuring Entity needs to have "on call" specialized services to provide advice on a particular activity, the extent and timing of which cannot be defined in advance. These are commonly used to retain "advisers" for implementation of complex projects (for example, dam panel), expert adjudicators for dispute resolution panels, institutional reforms, procurement advice, technical troubleshooting, and so forth, normally for a period of a year or more. The Procuring Entity and the firm agree on the unit rates to be paid for the experts, and payments are made on the basis of the time actually used. The consultant shall be selected based on the unit rate quoted by them for providing the services.

11.2. Invitation of Expression of Interest

11.2.1 Where the estimated cost of work or service is upto Rs.5 lakhs preparation of long list of potential consultants may be done on the basis of formal or informal enquiries from other Departments or organizations involved in similar activities, and Association of Consultancy Firms, etc.

11.2.2 In addition to 11.2.1 above, where the estimated cost of the work or service is above Rs. 5 lakhs, except in cases of nomination or where direct negotiation is carried out, an advertisement called "invitation for Expression of Interest" (EOI) shall be published in the Corporation's Website. Advertisement in Newspaper, if required, may be done after due approval from Competent Authority. Attention of known

reputed consultants may also be separately drawn wherever possible. Advertisement must include, besides the broad scope of work or service, inputs to be provided by the Procuring Entity, eligibility and the pre-qualification criteria to be met by the consultants and consultant's past experience in similar work or service, the last date of submission of EOI, how to get copy of EOI document, contact information of the Procuring Entity with name of contact person etc. Adequate time should be allowed for getting responses from interested consultants.

11.2.3 EoI Document

a. The Procuring Entity shall prepare an EoI document. The EoI document shall contain following information:

   i) **Invitation to EoI:** It shall include a Print Out of the Advertisement published in the Corporation's Website when the Advertisement is published in corporation's Website only. However when the EoI Advertisement is published in the Corporation's Website as well as in the Newspaper , copy of the advertisement obtained either from the Corporation's Website or Newspaper whereby consultants are invited to submit their EoI shall serve the purpose.

   ii) **Brief about objectives and scope of work:** This may include brief description about objective of carrying out the assignment, broad scope of work and expected deliverables of the assignment. This may also include the place of execution of the assignment.

   iii) **Instructions to the Consultants:** It may include instructions regarding nature of job, inputs, if any, to be provided by the User Department, submission requirement; requirement of bid processing fees, if any; last date of submission; place of submission; and any related instruction;

   iv) **Pre-qualification Criteria:** This may clearly lay down the prequalification criteria which shall be applied by the Procuring Entity including consultant's past experience in similar work or service, for short listing the consultants.

   v) **Formats for submission:** This section shall specify the format in which the consultants are expected to submit their EOI.

b. The Procuring Entity shall ensure that the EOI document is available in the related Portal of the corporation to the interested consultants.

11.2.4 Short List of Consultants

a. The Procuring Entity shall evaluate the consultants for short listing, inter-alia, based on their past experience of handing similar types of projects, strength of their manpower and financial strength of the firm.

b. The Procuring Entity may assign scores to the response of each consultant based on weightages assigned to each of the criteria in EOI. Normally, the following weightages may be used for such evaluation:

Criteria	Weightage	Sub- Criteria	Break-Up of Weight
Past experience of the firm with similar requirements	60%	Number of years experience	20%
		Past Experience of studies of similar nature.	50%
		Past experience in carrying out studies in related sectors.	20%
		Studies carried out in India.	10%
Financial strength of the vendor	15%	Turnover figures of last three years	50%
		Net profit figures of the last three years	50%
Manpower with requisite skill	25%	Qualifications	30%
		Relevant Experience	70%

c. The Procuring Entity shall shortlist all the consultants who secure the minimum required marks [normally 50% or any other mark as decided by the Competent Authority]. The minimum qualifying requirement shall be specified in the EOI document.

d. Alternatively, the Procuring Entity may specify in the EOI document minimum qualifying requirement for each of the criteria i.e. minimum years of experience, minimum number of assignments executed, minimum turnover etc. Under such circumstances, the Procuring Entity shall apply pass-fail test, and shortlist all the consultants who meet the minimum requirement as specified.

e. The shortlist shall normally comprise at least three firms.

11.2.5 Cost Based Selection

a. For small assignments, where the Procuring Entity decides to select the consultant based on CBS method, the consultant shall be selected following single stage bidding procedure. Under single stage bidding procedure, the Procuring Entity shall invite financial proposals along with the EOI in two separate envelopes.

b. The financial proposals of all the consultants who have been short listed, as per clause 11.2.4 above, shall be opened in the presence of the shortlisted consultants who choose to remain present. The consultant, who has submitted the lowest financial bid, shall be selected as the L1and shall be called for further negotiations.

11.3. SELECTION OF CONSULTANTS

11.3.1 Once the short listing of consultants is completed, the Procuring Entity shall start the process of final selection of the consultant. The selection process generally includes the following steps:

(a) Preparation of Terms of Reference (TOR);

(b) Preparation of cost estimate and the budget;

(c) Preparation and issuance of the Request for Proposals (RFP);

(d) Pre-bid meeting;

(e) Receipt of proposals;

(f) Evaluation of technical proposals: consideration of quality;

(g) Public opening of financial proposals;

(h) Evaluation of financial proposal;

(i) Selection of the winning proposal;

(j) Negotiations with the selected consultant, if required

(k) Award of the contract to the selected firm.

11.3.2 Terms of reference (TOR)

The Procuring Entity shall be responsible for preparing the TOR for the assignment. TOR shall be prepared by those who have sufficient knowledge and experience in the area of the assignment. If the required experience is not available in-house, the task of preparation of the TOR can also be assigned to experienced consultants. The TOR shall include:

i) Purpose/ objective of the assignment;

ii) Detailed scope of work;

iii) Expected input of key professionals (number of experts, kind of expertise required);

iv) Proposed schedule for completing the assignment;

v) Reports/deliverables required from the consultant.

vi) Background material, records of previous surveys etc. available and to be provided to the consultant

vii) Facilities such as local conveyance, office space, secretarial assistance etc., which can be provided to the consultant

viii) Procedure for review of the work of consultant after award of contract.

The scope of the services described in the TOR shall be compatible with the available budget. TOR shall define clearly the objectives, goals, and scope of the assignment and provide necessary information to facilitate the consultants' preparation of their proposals. If transfer of knowledge or training is also an objective, it should be specifically outlined along with details of number of staff to be trained, and so forth, to enable consultants to estimate the required resources. TOR shall list the services and surveys necessary to carry out the assignment and the expected outputs (for example, reports, data, maps, surveys). However, TOR should not be too detailed and inflexible, so that competing consultants may propose their own methodology and staffing. Firms shall be encouraged to comment on the TOR in their proposals. The Procuring Entity's and consultants' respective responsibilities should be clearly defined in the TOR.

11.3.3 Cost Estimate (Budget)

Preparation of a well-thought-through cost estimate is essential if realistic budgetary resources are to be earmarked. The cost estimate shall be based on the user Department's assessment of the resources needed to carry out the assignment, staff time, logistical support, and physical inputs (for example, vehicles, laboratory equipment). Costs shall be divided into two broad categories:

a) Fee or remuneration (according to the type of contract used) and
b) Reimbursable, and further divided into foreign (if applicable) and local currency payments.

The cost of staff time shall be estimated on a realistic basis for the personnel, as applicable, by ascertaining the prevalent market conditions and consulting other organizations engaged in similar activities.

11.3.4 Preparation and Issuance of the Request for Proposals (RFP)

11.3.4.1 Request For Proposal (RFP) is the bidding document in which the technical and financial proposals from the consultants are obtained. It contains the following:

i) A letter of invitation (LOI)
ii) Instructions to consultants (ITC)
iii) Terms of Reference (TOR)
iv) List of key positions / professionals required for the assignment
v) Requirement of qualification and experience of the firm and of the key professional staff
vi) Criteria of bid evaluation and selection procedure
vii) Standard formats for technical proposal
viii) Standard formats for financial proposal
ix) Proposed form of contract.

The Procuring Entity shall use the applicable standard RFP with minimal changes as necessary to address project-specific issues. The Procuring Entity shall distribute the RFP through electronic mode only which shall be secured to avoid modifications to the RFP and shall not restrict the access of short listed consultants to the RFP. The RFP will be downloaded by the short listed consultants.

11.3.4.2 Letter of Invitation (LOI)

The LOI shall state the intention of the Procuring Entity to enter into a contract for the provision of consulting services, the details of the Procuring Entity and the date, time, and address for submission of proposals.

11.3.4.3 Instructions to Consultants (ITC)

1. The ITC shall consist of two parts, (1) Standard information, and (2) Assignment specific information. The assignment specific information is added through "data sheet". The ITC, therefore, contains all necessary information that would help the consultants prepare responsive proposals, and shall bring as much transparency as possible to the selection procedure by providing information on the evaluation process and by indicating the evaluation criteria and factors and their respective weights and the minimum passing quality score. The standard information include clauses relating to the procedure of bid submission, the procedure relating to pre-bid meeting, procedure for seeking clarifications etc. The assignment / job specific information will be prepared separately and it will include the date and time of bid submission, contact address, the qualification criteria, the method of selection, the evaluation process, the factors of evaluation and their respective weights etc.

2. The ITC shall not indicate the budget (since cost is a selection criterion), but shall indicate the expected input of key professionals (staff time). Consultants, however, shall be free to prepare their own estimates of staff time necessary to carry out the assignment. The ITC shall specify the proposal validity period (normally 90-120 days).

11.3.4.4 Standard formats for technical and financial proposals

1. The standard formats for technical proposal include:

   i) Format for Letter of Proposal submission
   ii) Format for Consultant’s organization and experience
   iii) Format for Comments and suggestions on TOR
   iv) Format for Approach and methodology
   v) Format for Team Composition
   vi) Format for Curriculum Vitae of key professionals
   vii) Format for Staffing Schedule
   viii) Format for Work Schedule

ix) Format for Comments / modifications suggested on draft contract.

x) Format for information regarding any conflicting activities and declaration thereof.

2. The standard formats for financial proposal include:

i) A summary sheet of the cost estimate to be quoted by the consultant.
ii) Remuneration payable.
iii) Reimbursable.

11.3.4.5 Proposed form of contract

1. The contract includes accepted TOR methodology, general and specific conditions of contract, etc. wherever possible, the Procuring Entity shall use the Standard Form of Contract.

2. The general conditions of contract shall include all such conditions which are common in nature and not project specific. Such conditions include clauses pertaining to sub contracting, methods of payment, termination and extension of contracts, arbitration, variation in quantities, indemnity and insurance, force majeure, conflict of interest, compliance to local laws and taxes and duties, franking clause etc.

3. The project specific conditions include clauses relating to the assignment in hand. These clauses should be carefully developed to protect the interest of the procuring entity.

11.3.5 Pre-bid meeting

In all cases of large value or complex assignments, a pre-bid meeting may be prescribed in the RFP. The date and time for such a meeting should normally be after 15 to 30 days of issue of RFP and should be specified in the RFP itself. During this meeting, the scope of assignment, responsibilities of either parties or other details should be clearly explained to the prospective bidders so that there is no ambiguity later on at the time of submission of technical/financial bids. Where some significant changes are made in the terms/scope of RFP as a result of pre bid meeting or otherwise considered necessary by the Procuring Entity a formal Corrigendum to RFP may be issued, to all short listed consultants. In such cases, it should be ensured that after issue of Corrigendum, reasonable time (not less than 15 days) is available to the bidders to prepare/submit their bid. If required, the time for preparation and submission of bids may be extended, suitably.

11.3.6 Receipt of proposal

i) The Procuring Entity should allow enough time to the short listed consultants to prepare their proposals. The time allowed shall depend on the assignment, but normally shall not be less than four weeks and more than three months. In cases, where participation of international consultants is contemplated, a period of not less than eight weeks should normally be allowed. If necessary, the Procuring Entity shall extend the deadline for submission of proposals. The

technical and financial proposals shall be submitted at the same time. To safeguard the integrity of the process, the technical and financial proposals shall be submitted in separate sealed envelopes/electronic envelopes, as the case may be. The technical bids will be opened immediately after closing of receipt of technical bids by the Tender Committee. The financial proposals shall remain sealed and shall be opened publicly only of those firms who have qualified technically. Any proposal received after the closing time for submission of proposal shall be returned unopened.

ii) However procuring entity may also use electronic systems (On-line) permitting consultants to submit proposal on-line and proposal received through online to be opened with due simultaneous authorisation of the consultant and procuring entity.

iii) Late Bids:

Late bids i.e. bids received after the specified date and time of receipt shall not be considered and shall be returned unopened.

11.3.7 Evaluation of Proposals: Consideration of responsiveness

The evaluation of the proposals shall be carried out in two stages: At the first stage evaluation of technical proposals is taken up. Proposals without earnest money, bid processing fees, if specified, unsigned and incomplete (i.e. when the required bid formats have not been submitted), not responding to the TOR fully and properly and those with lesser validity than that prescribed in the RFP will be summarily rejected as being non-responsive, before taking up the appraisal of the technical proposal for evaluation of quality. Evaluators of technical proposals shall not have access to the financial proposals until the technical evaluation is concluded. The electronic envelope containing the financial proposal is not opened till the technical evaluation is complete.

The financial proposal of only such bidders will be opened which obtain minimum qualifying marks / standards prescribed for the technical proposal. The evaluation shall be carried out in full conformity with the provisions of the RFP.

11.3.8 Evaluation of the Quality

1. The Procuring Entity shall evaluate each technical proposal (using the Tender committee), taking into account criteria as prescribed in the RFP:

   a) the consultant's relevant experience for the assignment,
   b) the quality of the methodology proposed,
   c) the qualifications of the key staff proposed and
   d) capability for transfer of knowledge.

Each of the responsive technical proposal will be evaluated for the criteria prescribed in the RFP by awarding marks so as to make total maximum technical score as 100. The criteria and weightage to each criteria or sub-criteria would depend on the requirements of each case and may be fixed objectively. A model scheme of maximum marks is, however, proposed as under:

Sl No.	Details	Max. Marks
1	Experience of the firm	20
2	Methodology, work plan and understanding of TOR	25
3	Suitability of the Key personnel for the assignment	45
4	Capability for Transfer of knowledge/training*	10
	TOTAL	100

* ***If any of the criterions is not required, the marks can be adjusted against some other criteria. The criteria wise marks break up can be modified depending on nature and criticality of the job.***

The weight given to the firm's experience can be relatively modest, since this criterion has already been taken into account when short listing the consultant. More weight shall be given to the methodology in the case of more complex assignments (for example, multidisciplinary feasibility or management studies). Alternatively a simplified procedure for evaluation of quality can be followed which has been described in **clause 11.3.9** below.

2. For evaluation of the technical bids with the simplified and detailed methods of evaluation, suggested formats have been given at **ANNEXURE 26 & 27** respectively of this manual. They can be referred to for guidance. Suitable modifications can be made based on the requirements of the evaluation criteria.

3. The Tender Committee shall normally divide the above criteria mentioned in clause 11.3.8 (1) into sub criteria. For example, sub criteria under methodology, work plan and understanding of TOR can be divided into (i) understanding of TOR, (ii) acceptability and detailing of methodology and work plan (iii) innovation, if it is important. However, the number of sub criteria should be kept to the minimum that is considered essential.

   The sub criteria for suitability of the key professionals for the assignment can also be divided into: (i) Educational qualifications (20% weight), (ii) professional experience in the required area of assignment (80% weight).

4. Evaluation of only the key personnel is recommended. Since key personnel ultimately determine the quality of performance, more weight shall be assigned to this criterion if the proposed assignment is complex. The Tender Committee shall review the qualifications and experience of proposed key personnel in their curricula vitae, which must be accurate, complete, and signed by an authorized official of the consultant and the individual proposed. When the assignment depends critically on

the performance of key staff, such as a Project Manager in a large team of specified individuals, it may be desirable to conduct interviews.

5. At the end of the technical evaluation process, the Tender Committee shall prepare a technical evaluation report of the "quality" of the proposals and take competent authority's approval. The report shall substantiate the results of the evaluation and describe the relative strengths and weaknesses of the proposals. All records relating to the evaluation, such as individual mark sheets, shall be retained until completion of the project and its audit.

6. Minimum qualifying marks or relative qualifying method for assessment / evaluation of the technical proposal will be prescribed and indicated in the RFP. The consultants who are qualifying as per the technical evaluation criteria will only be considered for financial evaluation.

11.3.9 Simplified procedure for evaluation of quality

Alternatively, the following simplified procedure for technical evaluation can also be followed.

1. **Purpose:** When requirement of the procuring entity for engaging such consultants who should only fulfil a minimum qualifying standard. For such assignment a higher technical score of 60% and above may not be necessary. Engagement of accountants, auditors, consultant engineers etc. can be carried out by following this simplified procedure for evaluation of technical quality.

2. Under this procedure minimum qualifying standards / criteria will be fixed for each parameter. As mentioned earlier, the following parameters can be used:

   (i) Minimum experience including number of assignments handled by the firm similar to the area of assignment.

   (ii) Turn over and other financial parameters of the firm, if required.

   (iii) Minimum educational qualifications of each of the key professionals.

   (iv) Minimum requirement of experience of the key professionals in an area similar to the proposed assignment.

3. All the firms which meet the minimum qualifying standards / criteria so prescribed will stand technically qualified for consideration of their financial bids. No ranking of firms among the qualifying firms will be required.

11.3.10 Evaluation of Cost

1. After evaluation of quality has been completed, the engaging Department shall notify those consultants whose proposals did not meet the minimum qualifying standard or were considered non- responsive to the RFP and/or TOR, indicating that their financial proposals will be returned unopened after completing the selection process.

In case of QCBS, the Procuring Entity shall simultaneously notify the consultants that have successfully satisfied the qualifying standard or attained the minimum qualifying marks where marks have been awarded, and indicate the date and time set for opening the financial proposals. In such a case, the opening date shall not be later than three weeks after the notification date. The financial proposals received in off-line mode shall be opened publicly on scheduled date and time in presence of the representatives of the technically qualified consultants who choose to attend. The name of the consultant, the qualification scores, and the proposed prices shall be read aloud and recorded when the financial proposals are opened. The procuring entity shall prepare the minutes of the public opening.

However presence of bidders is not required in case of On-line mode.

2. The Tender Committee will then examine if there are any arithmetical errors to be corrected. For the purpose of comparing proposals, the costs shall be converted to Indian Rupees as stated in the RFP. The Committee shall make this conversion by using the selling exchange rates for those currencies as per exchange rate quoted by an official source e.g. State Bank of India. The RFP shall specify the source of the exchange rate to be used and the date of exchange rate to be taken for comparison of the costs. This date shall be the date of closing of bid submission.

3. For the purpose of evaluation, the total cost shall include GST and taxes and duties etc. for which the Procuring Entity makes payments to the consultant and other reimbursable expenses, such as travel, translation, report printing, or secretarial expenses.

4. If there are conditions attached to any financial proposal, which shall have bearing on the total costs as indicated in the proposal, the Tender Committee shall reject any such proposals as non-responsive financial proposal. However, if the committee feels it necessary to seek clarification on any financial proposals regarding taxes, duties or any such matter, the Tender Committee may do so by inviting responses in writing.

11.3.11 Selection of the winning consultant

Under the QCBS procedure as mentioned in **clause 11.3.8 and 11.3.9,** the financial proposals will be ranked in terms of their total evaluated cost. The least cost proposal will be ranked as L1 and the next higher and so on will be ranked as L2, L3 etc. The least cost proposal (L1) will be considered for award of contract. The committee will put up a report on financial evaluation of the technically qualified consultants to the competent finance authority along with the recommendation that the least cost proposal (L1) can be approved /invited for

negotiation and for final award of contract. Negotiations will be carried out as per the guidelines in **clause 11.3.13.**

11.3.12 Cost Evaluation under Combined Quality Cum Cost Based System (CQCCBS)

1. Under CQCCBS, the technical proposals will be allotted weightage of 70% while the financial proposals will be allotted weightages of 30%.

2. Proposal with the lowest cost may be given a financial score of 100 and other proposals given financial scores that are inversely proportional to their prices.

3. The total score, both technical and financial, shall be obtained by weighing the quality and cost scores and adding them up. The proposed weightages for quality and cost shall be specified in the RFP.

4. **Highest points basis:** On the basis of the combined weighted score for quality and cost, the consultant shall be ranked in terms of the total score obtained. The proposal obtaining the highest total combined score in evaluation of quality and cost will be ranked as H-l followed by the proposals securing lesser marks as H-2, H-3 etc. The proposal securing the highest combined marks and ranked H-l will be invited for negotiations, if required and shall be recommended for award of contract.

   As an example, the following procedure can be followed. In a particular case of selection of consultant, It was decided to have minimum qualifying marks for technical qualifications as 75 and the weightage of the technical bids and financial bids was kept as 70 : 30. In response to the RFP, 3 proposals, A,B & C were received.

   The technical evaluation committee awarded them 75, 80 and 90 marks respectively. The minimum qualifying marks were 75. All the 3 proposals were, therefore, found technically suitable and their financial proposals were opened after notifying the date and time of bid opening to the successful participants. The price evaluation committee examined the financial proposals and evaluated the quoted prices as under:

Proposal	Evaluated cost
A	Rs.120.
B	Rs.100.
C	Rs.110.

Using the formula LEC / EC, where LEC stands for lowest evaluated cost and EC stands for evaluated the Tender committee gave them the following points for financial proposals:

A: 100/ 120 = 83 points

B: 100/ 100= 100 points

C: 100/110 = 91 points

In the combined evaluation, thereafter, the evaluation committee calculated the combined technical and financial score as under:

Proposal A: 75x0.70 + 83x0.30 = 77.4 points.

Proposal B: 80x0.70 + 100x0.30 = 86 points

Proposal C : 90x0.70 + 91x0.30 = 90.3 points.

The three proposals in the combined technical and financial evaluation were ranked as under.

Proposal A: 77.4 points : H3

Proposal B: 86 points : H2

Proposal C: 90.3 points : H1

Proposal C at the evaluated cost of Rs.110 was, therefore, declared as winner and recommended for negotiations/approval, to the competent authority.

5. Under QBS method, the consultant who has secured first rank in technical evaluation shall be called for further negotiation after opening and evaluation of its financial proposals.

6. The Name of the successful bidder along with details of cost etc. shall be posted on Corporation's website after the award to the successful bidder has been made and communicated to him in writing.

11.3.13 Negotiations and Award of Contract

1. Negotiations are not an essential part of the selection process. In many cases, however, it is felt necessary to conduct negotiations with the selected consultant. Negotiations shall include discussions of the TOR, the methodology, staffing, Government Department's inputs, and special conditions of the contract. These discussions shall not substantially alter the original TOR or the terms of the contract, lest the quality of the final product, its cost, and the relevance of the initial evaluation be affected. The final TOR and the agreed methodology shall be incorporated in "Description of Services," which shall form part of the contract.

2. Financial negotiations shall only be carried out if due to negotiations as mentioned in clause 11.3.13 (1) above, there is any change in scope of work which has any financial bearing on the final prices or if the costs/cost elements quoted are not found to be reasonable. In such negotiations, the selected firm may also be asked to justify and demonstrate that the prices proposed in the contract are not out of line with the rates being charged by the consultant for other similar assignments. However, in no case such financial negotiation should result into increase in the financial cost as originally quoted by the consultant and on which basis the consultant has been called for the negotiations.

3. If the negotiations with the selected consultant fail, the Procuring Entity shall cancel the bidding procedure and re-invite the bids.

11.3.14 Rejection of All Proposals, and re-invitation

The Procuring entity will have the right to reject all proposals. However, such rejections should be well considered and normally be in cases where all the bids are either substantially in deviation to the TOR or considered unreasonably high in cost and in latter case, the lowest qualified bidder during negotiations fails to reduce the costs to a reasonable level. If it is decided to re-invite the bids, the terms of reference should be critically reviewed / modified so as to address the reasons of not getting any acceptable bid in the earlier Invitation for Bids.

11.3.15 Confidentiality

Information relating to evaluation of proposals and recommendations concerning awards shall not be disclosed to the consultants who submitted the proposals or to other persons not officially concerned with the process, until the award of contract is notified to the successful firm.

11.4. Other methods of Selection

11.4.1. Selection through Direct Negotiations (Single Source Selection)

1. Selection of consultants through direct negotiations does not provide the benefits of competition in regard to quality and cost, lacks transparency in selection, and could encourage unacceptable practices. Therefore, single-source selection shall be used only in exceptional cases.

2. This method of selection may be adopted only if it presents a clear advantage over competition and under circumstances as mentioned in clause 11.1.3.

3. When continuity for downstream work is essential, the initial RFP shall outline this prospect and, if practical, the factors used for the selection of the consultant should take the likelihood of continuation into account. Continuity in the technical approach, experience acquired, and continued professional liability of the same consultant may make continuation with the initial consultant preferable to a new competition subject to satisfactory performance in the initial assignment. For such downstream

assignments, the Department shall ask the initially selected consultant to prepare technical and financial proposals on the basis of TOR furnished by the Department, which shall then be negotiated.

4. If the initial assignment was not awarded on a competitive basis or was awarded under tied financing or reserved procurement or if the downstream assignment is substantially larger in value, a competitive process shall normally be followed in which the consultant carrying out the initial work is not excluded from consideration if it expresses interest.

5. For selecting a consultant under this method, the Procuring Entity should prepare a full justification and take the approval of the competent authority.

6. While selecting the consultant under this method, the Procuring Entity shall ensure that the consultant has the requisite qualification and experience to undertake the assignment. Normally the Procuring Entity shall adopt the same short listing criteria as applied to similar assignments under clause 11.2.4.

11.4.2. Selection of Service Providers:

Procuring Entity also often engages various service providers such as, for upkeep and maintenance of office (other than Civil & Electrical Works etc.), transport services etc. In such cases, which are generally low value contracts, it may not be necessary to take separate technical and financial proposals. In such case CBS method of selection can be used, after stating the minimum qualifying criteria (such as past experiences etc.).

11.4.3. Procurement Agents (PAs).

When Procuring Entity lacks the necessary organization, resources or experience, it may be efficient and effective for it to employ, as its agent, a firm that specializes in handling procurement. When PAs provide only advisory services for procurement and do not act as "agents" and are not paid a percentage fee at all, they shall be selected following the appropriate procedures as for other consulting assignments, specified in these Guidelines.

11.4.4. Inspection Agents.

Procuring Entity may wish to employ inspection agencies to inspect and certify goods prior to shipment or on arrival in the Procuring Entity's country. The inspection by such agencies usually covers the quality and quantity of the goods concerned. Inspection agencies may be selected using two bid system procedures and using a contract format with payments based on a percentage of the value of goods inspected and certified.

CHAPTER – 12: INTERNATIONAL COMPETITIVE BIDDING

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12.1 International Competitive Bidding:

In the absence of domestic manufacturing facility/capability in respect of specific equipment/material, foreign manufacturers / suppliers may be allowed to participate in Tendering process, provided a consortium/Joint venture (JV) is formed with an Indian Bidder.

12.1.1. REQUIREMENTS TO BE FOLLOWED

a) Invitation For Bids (IFB) for ICBs shall be published in daily national newspaper with wide circulation all over the country, at least in one English and one regional language daily & also in the Corporation's web site.

b) Apart from wide publicity nationally, advertisement of invitation for bids (IFB) shall be published in United Nation's Development Business (UNDB) and dgMarket online and project website (dgMarket an e-procurement solution developed by the Development Gateway Foundation, is an electronic marketplace for government procurement information such as Tender notices, contract awards, bidding documents, etc.) and forward to embassies and trade representatives of countries of likely suppliers of goods and also who have expressed interest in response to the General Procurement Notice (GPN). The Guidelines for creating General Procurement Notices and publication thereof at UNDB and Guideline for registration and publication of procurement notices in dgMarket are enclosed for reference at **ANNEXURE – 28** & **ANNEXURE – 29** respectively.

c) Sale of bid documents should start only after publication of invitation of bids in newspapers and UNDB/dg Market.

d) Bidding period [as per Table at Clause 4.2.5(d)].

e) Other procedures for ICB will broadly be same as that of open advertised Tender (Online/off-line) in respect of bid opening, bid evaluation, notification & publishing of award of contract, etc.

f) It is mandatory that procedures agreed with World Bank/Lending Financial Institutions be followed for bidding, evaluation of bids, award of contracts and contract management for this method.

12.2 ELIGIBILITY CRITERIA OF FOREIGN BIDDERS:

1. For works which are highly technical in nature and having high value, it is preferred to go for ICB where foreign bidders as well as domestic bidder can participate in the bid. However, foreign bidder should have registered in India under Companies Act, 2013 either as a subsidiary company (maintaining equity participation of 51%) or a Joint venture Company for manufacturing/ service/ supply for which it is qualified.

i. In case the bidder has formed a subsidiary company then the subsidiary company of the qualified bidder should have registered in India under the Companies Act, 2013. If the subsidiary company is registered as public limited company then it should have obtained certificate for commencement of business in India as on the date of techno-commercial bid opening.

The subsidiary company shall remain a subsidiary company of the qualified bidder for at least upto the end of the defect liability period of the contract.

ii. In case the bidder has formed a JV with an Indian entity then, the JV company should be formed and incorporated in India under the Companies Act of India within a specified date. However such specified date shall have to be prior to the date of signing of contract. If the JV company is registered as a public limited company then it should have obtained certificate of Commencement of Business in India as on the date of techno-commercial bid opening.

The bidder shall maintain a minimum equity participation of 26% in the JV company for at least up to the end of the defect liability period of the contract.

One of the promoters shall be a majority stakeholder who shall maintain a minimum equity participation of 51 % in the JV Company at least up to the end of the defect liability period of the contract.

2. **Financial Criteria:** If the bidder submits credentials towards meeting financial criteria viz. Average Turnover/Net Worth/Value of work done in foreign currency, for evaluation purpose it should be converted into equivalent INR. INR of the said foreign currency as on the date of bid opening is to be taken as reference.

12.3 Bid Currencies and Payment

i. Bidders may be required by Employer to justify, to the employer's satisfaction, their local and foreign currency requirement.

ii. CIF part of disembarkation for the off-shore supplies of plant and equipment including mandatory spares under foreign currency portion shall be quoted in maximum upto two foreign currencies which are under the Reserve Bank of India's notified basket of currencies.

iii. Ex-Works for supplies of all plants and equipments including mandatory spares of Indian origin under local currency portion shall be quoted in Indian Rupees Only.

iv. The bid prices for all erections and services to be performed in India such as clearance and handling at port, reconciliation with custom authorities for the imported goods further loading, inland transportation and insurance, storage, all handling at site, insurance, erection, testing and putting the equipments into satisfactory operation, completion of Performance and Guarantee tests shall be quoted in Indian Rupees.

v. Further in pursuance to Clause (iv) above, Foreign bidders may also quote a portion in foreign currency maximum upto two currencies as referred to at Clause (ii) above to cover the expenditure towards expatriate personnel for the services to be performed at site.

vi. Payment under the contract will be made in the currency or currencies specified by the bidder in the bid in terms of the Bidding Documents.

Payment, if made in Indian currency (INR), the base exchange rate between Indian rupees and currencies as referred to at Clause (ii) above shall be the TT buying exchange rate of State Bank of India (SBI) as on the day of payment.

vii. **Conversion to Single Currency:**

For evaluation and comparison purposes, the currency(ies) of the bid shall be converted into a single currency (INR).The conversion rate between rupee (INR) and foreign currency(ies) shall be the TT buying exchange rate of State Bank of India (SBI) as on the closing date of submission of price bid.

CHAPTER -13: MISCELLANEOUS

CHAPTER -13: MISCELLANEOUS

13.1 Procurement of Coal & Light Diesel Oil (LDO):

A. Coal:

Fuel Supply Agreement (FSA) with Coal India Limited (CIL) & its subsidiaries namely Eastern Coalfields Limited (ECL), Mahanadi Coalfields Limited (MCL), Central Coalfields Limited (CCL) & Bharat Coking Coal Limited (BCCL) in terms of Annual Contracted Quantity (ACQ) is presently the major source of procurement.

Coal from captive coal mines is going to be another important source. Mine Developer & Operators (MDOs) have been appointed in these mines. MDO has to win and supply coal as per the rate and terms & conditions specified in the Coal Mining Agreement.

If availability of coal from the above two sources falls short of the requirement, coal can be procured through -

a) Participating in Special Forward Auction held by CIL through MSTC Ltd / M-Junction. Special Forward Auction is organised exclusively for the Power plants/Units which have power purchase agreements.

b) Purchase from PSUs like MSTC Ltd. and West Bengal Mineral Development & Trading Corporation Limited (WBMDTCL). In this case, LOI is placed with such PSUs who after conducting reverse auction among traders forward the lowest bid price discovered in the auction. Order is placed with the PSU concerned if the L1 price is accepted by the competent authority of the corporation. The PSU concerned charges a nominal fee for their service.

c) Import through open tender or limited tender. Limited tender is conducted amongst PSUs namely MSTC Ltd., MMTC Ltd., PEC Ltd. & STCI Ltd. For import, permission from state government shall be obtained.

NB: Procurement of coal is done by corporate office.

B. Light Diesel Oil (LDO):

Corporate (OS) Cell sets critical oil level for each plant. Fuel Co-ordination of plant forwards requisition of LDO to GM (M&C), Corporate, whenever LDO level comes near to critical level. On receipt of requisition, procurement is done through limited tender amongst three oil PSUs namely Indian Oil Corporation Ltd. (IOCL), Hindustan Petroleum Corporation Ltd., (HPCL) & Bharat Petroleum Corporation Ltd (BPCL). L1 bidder is determined on the basis of quoted oil price together with railway freight (i.e., landed price). However, since bulk oil price is a ruling price (i.e., it changes fortnightly through notification of the oil company), payment is made at the ruling price prevalent at the time of delivery. Railway freight is paid as actual.

13.2 HIRING OF VEHICLES

Generally different types of vehicles are hired in the respective power stations under the Corporation for to and fro movement of the employees of the corporation residing at township by engaging Luxury Buses and luxury cars are also hired for the use of higher Engineer / Officers for office use purpose.

13.2.1. Engagement of such luxury buses shall be made through competitive bidding through e-Tender and by following the guidelines as enumerated under this manual.

13.2.2. For upliftment of socio-economic condition of the locality where different units of power stations of the corporation are situated, hiring of four wheeler commercial luxury cars shall be made through display of notice in this regard in the notice board of the respective power stations whenever there is any requirement of such commercial luxury cars for office use from amongst the unemployed local youth having experience of driving and valid driving license. Such car shall be hired as Owner-cum-Driver basis and the rate of hiring of such car shall not be more than the rate as prescribed by the Corporation from time to time.

13.3 ENGAGEMENT OF VALUATION AGENCIES

1. The State Govt. has decided to empanel Valuation Agencies vide its Memorandum No. 602- F(Y) dated 01.02.2018 read with Memorandum No. 3739- F (Y) dated 11.06.2018 so as to undertake asset and/or enterprise valuation as & when required by the State Govt. Accordingly the Govt has notified the panels of valuation agencies for both Asset Valuation and Enterprise Valuation. The firms on the panel have been technically assessed and found suitable for providing Valuation Services.

2. The WBPDCL may, if situation warrants, avail the services of Valuation Agencies for conduct of valuation of property, assets, enterprises, etc. from amongst the empanelled Valuation Agencies.

3. The Corporation for selection of the valuation Agencies from amongst the empanelled agencies as notified from time to time shall draw a specific Terms of Reference (ToR) depending upon the nature and scope of work and select the L-1 (Lowest) bidder from at least three (03) participating agencies through a Limited Tender exercise from amongst all the empanelled agencies. Since the panel members have been selected through technical evaluation process, further technical evaluation is not required and selection should be based on financial bid only.

4. However, if Corporation considers that due to special nature of a particular valuation exercise, the work cannot be accomplished by engaging the empanelled agencies, the WBPDCL is at liberty to engage a qualified valuation agency through open Tender procedure, as mentioned in this manual, with due concurrence of the competent authority.

13.4 Power to issue certificate to the Contractor / Supplier / Sub-contractor

No certificate to the Contractor/Supplier/Sub-contractor shall be issued by any official except General Manager of respective plant/project and concerned Director, in case of Corporate Office.

13.5 Brief on Importer on Record:

1. **Importer on Records:** For customs purposes, the party who makes (or on whose behalf an agent or broker makes) the import declaration, and who is liable for the payment of duties (if any) on the imported goods is named either as the consignee in the shipping documents and/or as the buyer in the exporter's invoice.

2. **Filing of Bill of Entry Before the Customs for Clearance:** Bill of entry can normally be filed to clear the goods after the Import General Manifest (IGM) is presented to the Customs Officers by the Steamer Agents / Airlines, as the case may be.

3. **Who Can Clear the Import Consignments from Customs:** The importers themselves can clear the goods by filing necessary document after taking permission from the Asst. Commissioner/Deputy Commissioner in charge of Import section. The agent, if appointed, should be a holder of a valid license issued by the Commissioner of customs. Such agents are known as Customs House Agents (CHA) / Customs House Broker (CHB).

4. **Role of Custom House Agent:** "Customs House Agent" means a person licensed under the Customs House Agents Licensing rules 1960 as amended from time to time, to act as agents for the transaction of any business relating to the entrance or clearance of any vessel or the import or export of goods or baggage in any Custom House.

5. **Bill of Entry (B/E) : There are generally three kinds of Bills of Entry :**

   (i) Home consumption Bill of entry: This has to be filed when the importer wants to clear the goods on payment of duty and remove them to his premises immediately.

   (ii) Into bond Bill of entry: It is also known as Warehousing Bill of Entry. This has to be filed when the importer does not want to pay duty immediately but prefers to keep the goods in a warehouse and pay the duty subsequently and clear the goods for home consumption.

   (iii) Ex-bond Bill of entry: This has to be filed when the importer wants to clear the warehoused goods for home consumption on payment of duty.

   The main documents to be filed for the home consumption Bill of Entry :

   1) Supplier's invoice.
   2) Import Authorisation, if applicable.
   3) Bill of lading (original and non-negotiable).
   4) Packing list (2 copies).
   5) If invoice is for FOB, freight charges and insurance premium amount certificate should be attached.

6) Catalogue/write-up/drawing for machinery items.
7) If second hand machinery is being imported then Chartered Engineer's certificate is necessary as per the Import Export Policy.
8) If steel is being imported then analysis certificate from manufacturers.
9) In the case of chemicals & allied products like synthetic resin wax, literature showing chemical composition.

Apart from the above the importers are also required to file declaration in the prescribed form regarding correctness of the contents and the value of the goods. The Assessing Officer may call for any other documents/information if found necessary, to determine the correct value and correct rate of duty.

1. **What is Project Import:** Project Imports are the imports of machinery, instruments, and apparatus etc., required for initial starting up of a unit or for substantial expansion of an existing Unit.

    a. Some of the advantages of importing the goods under Project Import Regulations are that all the machinery, appliances, instruments etc., imported are charged to duty at a flat rate of duty under the same tariff heading.

    b. Project Imports assessment is a scheme of assessment which is designed to help expeditious and easy assessment of variety of industrial goods falling under different chapters of the Customs Tariff. The importer, in order to arrive at the cost structure etc. can easily work out estimation of import duty payable.

2. **Provisional Assessment:** When an importer or exporter is unable to produce any documents or furnish any information necessary for assessment of duty on the imported or exported goods, he may request for provisional assessment of the goods pending production of such documents, furnishing such information.

    a. When the importer has produced all the documents and furnished full information but the proper officer of customs may deem it necessary to make further enquiry for assessing the duty, he may resort to provisional assessment, pending such enquiry.

    b. For making provisional assessment the importer is required to execute a bond for the differential amount of duty between the duty provisionally assessed and the duty most likely to be assessed at final assessment stage. The importer is also required to deposit with the customs a sum not exceeding twenty percent of the provisional duty as determined by the proper officer of customs. On execution of bond and depositing the sum, goods may be released.

    c. On receipt of all the necessary documents/information or on completion of enquiry, the proper officer of customs finalizes the assessment. If the duty finally assessed is more than the provisional duty collected, the difference is

payable by the importer. If the duty provisionally collected is more than the duty finally assessed the difference is refundable to the importer.

3. **Condition to avail Project Import Benefit:** Only contracts, which are registered with the Custom house of import, will be eligible for assessment under Heading No. 98.01. This registration must have been obtained before an order of clearance for home consumption is passed by the proper officer of Customs. Apart from the machinery, spares up to 10 percent of the value of machinery, are also eligible for the benefit of the Project Import Regulations, 1986.

   The benefit is available only to such of the goods forming a part of the plant. The goods imported for manufacture of the finished product (end product) of the plant are not eligible for the benefit of Project Import Regulation 1986.

4. **Steps to be followed for Assessment under Customs Tariff Heading (CTH) 98.01:**

   (i) Registration of Contracts:

   In terms of Regulation 4 of the Project Import Regulations, 1986(PIR) the basic requirement for availing the benefit of assessment under Tariff Heading No. 98.01 is that the importer should have entered into one or more contracts with the suppliers of the goods for setting up a project. Such contracts should be registered prior to clearance in the Custom House through which the goods are expected to be imported. The importer is required to apply for such registration in writing to the proper officer of Customs.

   To expedite registration, the importers are required to submit the following documents along with the application for registration:

   (a) Original deed of contract together with true copy thereof.

   (b) Industrial Licence granted by the appropriate authority with a copy thereof.

   (c) Original Import licence, if any, with a list of items showing the dimensions, specifications, quantity, quality, value of each item duly attested by the Licensing Authority and a copy thereof.

   (d) Recommendatory letter for duty concession from the concerned Sponsoring Authority, showing the description, quantity, specification, quality, dimension of each item and indicating whether the recommendatory letter is for initial set-up or substantial expansion, giving the installed capacity and proposed addition thereto.

   (e) Continuity Bond with specified security should be made out for an amount equal to the CIF value of the contract sought to be registered.

   (f) Process flow chart, plant layout, drawings showing the arrangement of imported machines along with an attested copy of the Project Report submitted to the Sponsoring authorities, Financial Institution, etc.

(g) Write up, drawings, catalogues and literature of the items under import.

(h) Two attested copies of foreign collaboration agreement, technical agreement, know-how, basic/detailed engineering agreement, equipment supply agreement, service agreement, or any other agreement with foreign collaborators / suppliers / persons including the details of payment actually made or to be made.

(i) Such other particulars, as may be considered necessary by proper officer of customs for the purpose of assessment under Heading No. 98.01.

After satisfying that goods are eligible for project imports benefit and importer has submitted all the required documents, the contract is registered by the Custom House and as a token of registration, the provisional duty bond is accepted by the Assistant/Deputy Commissioner of Customs, Project Import Group. The details of the contracts are entered in the register kept for the purpose and a Project Contract Registration Number is assigned and communicated to the importer. The importer is required to refer to this number in all subsequent correspondence.

(ii) Clearance of Goods after Registration: On every Bill of Entry filed for clearance of goods under the Project Import Scheme, the importer/CHA(Customer House Agent)/CHB(Customer House Broker) is required to indicate the Project Contract Registration Number allotted to it. After noting, the Bill of Entry is sent to the Project Import Group, which is required to check the description, value and quantity of the goods imported vis-à-vis the description, value and quantity registered. In case these particulars are found in order, the Bill of Entry is assessed provisionally and handed over to the importer or his agent for payment of duty. The Project Import Group keeps a note of the description of the goods and their value in the Project Contract Register and in the file maintained in the Group for each project.

(iii) Finalization of Contract: Under Regulation 7 of the PIR, 1986, the importer is required to submit, within three months from the date of clearance of the last consignment or within such extended time as the proper officer of customs may allow, the following documents for the purpose of finalization of the assessment:

(i) A reconciliation statement i.e a statement showing the description, quantity and value of goods imported along with a certificate from a registered Chartered Engineer certifying the installation of each of the imported items of machinery;

(ii) Copies of the Bills of Entry, invoices, and the final payment certificate are insisted upon only in cases where the contract provides that the amount of the transaction will be finally settled after completion of the supplies.

(iv) Plant Site Verification: To ensure that the imported goods have actually been used for the projects for which these were imported, plant site verification may be done in cases where value of the project contract

exceeds Rs. 1 crore. In other cases, plant site verification is normally done selectively.

(v) **Finalization of Provisional Assessment and Recovery of differential duty, if any:** In the normal course, after submission of the reconciliation statement and other documents by the importers, the provisional assessments are finalized within a period of three months where plant site verification is not required and within six months where plant site verification is required. In cases where a demand has been issued and confirmed on such finalization and importer has not paid the duty demanded, steps are taken as per law to realize the amount.

13.6 Awarding Contract to Govt. Departments / Govt. Organization on nomination basis:

Notwithstanding anything contained in this manual, WBPDCL may engage Govt. Departments like PWD, CPWD, Irrigation Dept., etc., directly for execution of jobs on deposit works basis. For specialized jobs like rail infrastructure, jetty etc., specialized Govt. Agencies like IWAI, RITES, RVNL, PGCIL, etc can be selected on nomination basis. IT related procurement can be done through WTL or NICSI. This apart, WBPDCL may also follow instruction from State Govt. relating to direct procurement from particular Govt. Agency/Govt. Company.

13.7 Blacklisted Agency barred in Tender process:

Agency blacklisted by any government department/ PSU/ Government agency shall not be allowed to participate in our tender process if effect of such debarment subsists at the time of submission of the bid. Such clause should be clearly mentioned in the tender notice and all bidders should be asked to furnish a declaration in this regard prescribed in **ANNEXURE-11A**.

13.8 Overriding Effect:

The provision of this manual shall have effect not withstanding anything inconsistent therewith contained in any Memorandum, Office Order, Circulars, Guidelines or Manuals etc issued by the Corporation from time to time and before publication of this manual.

13.9 Remedy to remove difficulties:

If any difficulty or doubt arises as to the interpretation of any provision of this manual, the same may be referred to the Corporate Vigilance Cell for clarification.

ANNEXURES

Note: The formats annexed hereinafter are mere specimen formats except Annexure-10, 15 & 18. The specimen formats may be modified as per specific job requirement warranting such modifications keeping the spirit of the subject format intact. Modifications, if any, shall be effected subject to necessary vetting of the Legal Department.

ANNEXURE - 1: SOP ON PRAYOG

ANNEXURE – 1

(Clause 1.3)

SOP on PRAYOG

Practices and Procedures to be followed in PRAYOG (SAP) during Procurement

1. **Overview of Procurement Process in PRAYOG (SAP)**

1.1. In WBPDCL, procurements are done with a set of objectives and needs. As an overview, the different procurement types and related accounting settlements are mentioned below:

1.2. **Procurement Type-A:** Procurement of Goods for O&M – Goods are procured against Item Codes and are booked in inventory when received. The value is automatically charged to R&M (Repair and Maintenance) head when issued in maintenance.

1.3. **Procurement Type-B:** Procurement of Services for O&M – The services when procured are to be manually assigned with type of consumption head and when received, the value will be booked accordingly.

1.4. **Procurement Type-C:** Procurement of ready-to-use Assets like Furniture, Desktop /Laptop Computers, Printers, Room ACs etc. Values of these goods are charged to consumption on receipt.

1.5. **Procurement Type-D:** Procurement of Goods & Services for CAPEX & Non-CAPEX projects which will lead to creation of asset. For these types of procurement, till the asset creation the project is kept under Capital Work In Progress (CWIP) status defined in its Work Breakdown Structure (WBS).

1.6. **Procurement Type-E** : Miscellaneous procurement for meeting sundry requirements which are booked to Administrative Charges like expenses toward Foods, Event Hosting, Telephone Bills, Vehicles, Medical etc.

1.7. **Procurement Type-F:** Procurement of large Greenfield, Brownfield or Renovation & Modernisation (R&M) projects which leads to creation of assets.

1.8. Procurement is managed through PRAYOG (SAP) and as the process is integrated with accounting system, proper referencing with different elements related to Inventory and Asset accounting are to be maintained. Otherwise procurement life cycle and its desired accounting settlement will be impacted.

1.9. Outline of the relationship with Inventory and Asset accounting is explained in following sections.

2. **Document Types for Procurement Transactions**

2.1. In PRAYOG (SAP), the logics and validations for different types of procurement are controlled through Document Types applicable for Purchase Requisition (PR) & Purchase Order (PO).

2.2. These document types have embedded logics in compliance with inventory, accounting and settlement rules. For example, a particular document type is to be used for Purchase Requisition having items to be purchased with multiple currencies.

2.3. Each document type is to be referenced with proper Account Assignment Category and Item Category and Item Type.

3. **Purchase Requisition (PR)**

3.1. In PRAYOG (SAP), procurement process starts with a Purchase Requisition (PR) created and approved in system.

3.2. PR is mandatory for all types of procurement except Type –E & F (in some cases) mentioned in Section 1.1

4. **Item Types**

4.1. In PRAYOG (SAP), for procurement of material, following item types are used:

a. **Valuated Item*:*** Valuated items are those materials which hold inventory valuation. These types of items are used for O&M, CAPEX & Non- CAPEX procurement. These items will be in the Item/Material Master with a Material Code.

b. **Non Valuated Item*:*** Non-Valuated materials are those materials which do not hold any inventory valuation and during Goods Receipt the value of the items will be charged out to either Cost Center or Asset code.

Example:

i. HR procurement (printing stationery items, etc.),
ii. Ready to Use asset (computer, printer, chair, table etc.),
iii. Liveries (Dress, Shoe, Soap, Duster, etc.)

All these items will be in the Item/Material Master with a Material Code.

c. **Split Valuated Item:** Items which are procured for Projects are capitalised, in general; if subsequently these items are required to be used in O&M, then a split-valuation methodology is used where, in O&M they are used in zero cost. Such items are codified as Split Valuated Items.

d. **Non Codified Items:** This is use for procurement of non-stock items and no codification in Item Master is necessary. At the time of receipt of these items the value will be charged out to Cost Center. e.g. Procurement of Medicines.

4.2. While creating Purchase Requisition or Purchase Order, three elements i.e the Item Type, Item Category and Account Assignment Category against each item are to be provided.

5. **Account Assignment and Item Category:**

5.1. Account Assignment category defines the way the item (Goods or Service), after delivery, will be received, inspected, issued, stocked or consumed.

5.2. Item Category defines the broad nature of the item i.e Goods or Service

6. **Procurement of CAPEX and Non-CAPEX Projects:**

6.1. Procurements for CAPEX and non-CAPEX projects in PRAYOG (SAP) (Procurement Type-D) is almost similar to normal O&M-related procurement i.e creation of PR by using Valuated item code, and finally placement of PO/Contract. However for these types of procurement a WBS element will have to be used.

6.2. Purchasing process starts with account assigned PR with relevant account assignment category, item category and with WBS element. While preparation of PR, when applicable Account assignment category is selected, a mandatory field gets activated asking for WBS code.

6.3. As there is a pre-defined Budget for CAPEX procurement, the allotted Budget is assigned with WBS element. Budget gets consumed with creation of PR.

7. **Procurement with Buyback and Sale of Scrap :**

7.1. Procurements with material Buyback is managed in PRAYOG (SAP) through Sale/ Purchase process. So in case the new goods procurement is linked to buy-back of old items, the new item procurement will be through Purchase Order and the buyback item is sent to vendor through a Sales Order. The Sales Order is also necessary for compliance with Tax rules.

7.2. For procurements with buyback, PR will consist of only the new item purchase along with new item purchase price (full price). Discount / tentative buyback price against the new item purchase, along with buyback item details etc, will be mentioned in the PR but not as line item. .

7.3. The document type for Buyback Purchase order will be Material Buy Back Order. In the Material Buy Back Order, there is one mandatory field to capture Sales order for old item.

7.4. In case of selling of Scrap Material & Fly Ash through PRAYOG (SAP), Sales Order is mandatory.

7.5. Following activity is to be carried out to create Sales Order:

(a) To create Non Valuated code for Scrap, Ash etc .

(b) To build up stock for Scrap, Ash in PRAYOG (SAP). As the item is Non Valuated code, only stock will be inflated but inventory valuation will not get inflated.

(c) Sales PR is created by using Non Valuated code.

(d) Sales Order is created by using the Sales Order transaction.

8. **Contracts and Release Purchase Order (RPO):**

8.1. In PRAYOG (SAP), Contract is an *outline agreement* between a vendor and ordering party against *predefined* material or service over a certain *period* of time with a fixed *value*.

8.2. In the contract, the overall value is specified in terms of the total amount that is allowed to be paid for that material/service to the vendor during the period of the contract this overall value is termed as Target Value. Target Value can be a commitment to the Vendor or as in most of the cases, can be used as a maximum capping value, for which approval has been obtained, for internal control.

8.3. Contracts are used when the types of goods or services received during a period are fixed but the *quantity* or *rate* may vary.

8.4. Goods or Service cannot be received /accepted against contract (Outline Agreement).For this purpose, Release Purchase Order (RPO) is created from contract. When a RPO is created in PRAYOG (SAP), the value of RPO is deducted from Target Value of contract. Thus RPOs can be created till Target Value of contract gets exhausted.

9. **Revision of Contract / Purchase Order:**

9.1. In PRAYOG (SAP), revision of contract means versioning / amendment of contract. Versioning of contract can only be done by creator of contract. Once creator revises a contract, PRAYOG (SAP) triggers dynamic approval strategy.

9.2. Versioning of contract takes place:

a. To change Target Value of contract.
b. To change Validity start Date and End Date of contract.
c. To change Subject, Payment terms, Paying Authority etc
d. Other corrections if necessary.

ANNEXURE - 2 : PROFORMA FOR BUYBACK PRICE SCHEDULE

ANNEXURE – 2

(Clause 1.6.6)

PROFORMA FOR BUYBACK PRICE SCHEDULE

Tender for Purchase of .....

Tender Notice No .....

I / We .....hereby certify that we are established manufacturer. We hereby offer to supply the desired Items

..... as well as to buy back the existing .....Nos. of .....at the Prices Indicated below:

Sl No	Description of Item	Qty	Total Price of the Item Inclusive of all Charges, Levies, handling& Transportation charges.....	Period of Comprehensive Warrantee / guarantee of the Items	Total Price for the Buyback of ..... Nos. of Existing	Total Amount (i.e. Column d – Column f)
(a)	(b)	(c)	(d)	(e)	(f)	(g)

It is hereby certified that I / We have understood all the terms and Conditions specified in the Tender document and are thoroughly aware of the nature of goods / items to be supplied and goods/ items to be bought back. We agree to abide by all the Tender terms and conditions including buy back conditions. I/We hereby offer to supply and buy back the goods / Items detailed above as per the Tender terms and Conditions.

(Signature and Seal of Bidder)

Dated:-

ANNEXURE - 3 : PROFORMA FOR CONTRACT AGREEMENT

ANNEXURE – 3

(Clause 1.6.11)

PROMORMA FOR CONTRACT AGREEMENT

THIS AGREEMENT made at this _____ day of _____, _____, between _____ of _____ (hereinafter called "the Procuring Entity"), of the one part, and _____of _____ (hereinafter "the Contractor"), of the other part:

WHEREAS the Procuring Entity invited bids "<Tender Description> in WBPDCL" and has accepted the Bid offered by the Bidder/Contractor for the same in the sum of _____ (hereinafter "the Contract Price"). **After due consideration, the procuring entity has decided to entrust to the contractor with the job/ work/ supply of "< specify the job/ work/ supply >"**

FOR THE CONSIDERATION payable under this agreement, the contractor hereby agrees to complete the execution of job/ work/ supply in a satisfactory manner following scope of Work within the specified period.

NOW THIS AGREEMENT WITNESSETH AS FOLLOWS:

1. In this Agreement words and expressions shall have the same meanings as are respectively assigned to them in the Contract referred to.
2. The following documents shall be deemed to form and be read and construed as part of this Agreement, viz.:

(a) the Procuring Entity's Notification (LoA) to the Contractor of Award of Contract;

(b) the Bid Forms(including Price Bid) submitted by the Contractor;

(c) the Special Conditions of Contract;

(d) the General Conditions of Contract;

(f) _____

(g) _____

This Contract shall prevail over all other Contract documents which are not covered under Clause 2 above. In the event of any discrepancy or inconsistency within the Contract documents referred under Clause 2, then the contract shall be governed by the documents in the order listed above.

3. In consideration of the payments to be made by the Procuring Entity to the Contractor as indicated in this Agreement, the Contractor hereby covenants with the Procuring Entity to provide the goods and services / to execute works and to remedy defects therein in conformity with the provisions of the Contract in all respects.

4. The Procuring Entity hereby covenants to pay the Contractor in consideration of the provision of the goods and services / execution of works and the remedying of defects therein, the Contract Price or such other sum as may become payable under the provisions of the Contract at the times and in the manner prescribed by the Contract.

IN WITNESS whereof the parties hereto have caused this Agreement to be executed in accordance with the applicable laws of the land of the Procuring Entity on the day, month and year indicated above.

Signed by _____ (for the Procuring Entity)

Signed by _____ (for the Contractor/ Lead Member)

ANNEXURE - 4: FORM OF JOINT DEED OF UNDERTAKING

ANNEXURE – 4

[Ref Clause 3.8(ii) (a)]

FORM OF JOINT DEED OF UNDERTAKING

(TO BE EXECUTED ON NON-JUDICIAL STAMP PAPER OF Rs. 50/-)

This DEED of UNDERTAKING executed this ……day of ……Two thousand ……by M/s. ……..a Firm/Company registered/incorporated under ……..having its Registered Office at ……and M/s……..a Firm/Company registered/incorporated under ……..having its Registered Office at …… (herein after called the "Collaborator"/"JV or Consortium Members", which expression shall include its successors, administrators, executors and permitted assigns) and M/s……..a firm/company registered/incorporated under the ……having its registered office at ……(hereinafter called the Bidder/Lead Member of JV or Consortium, which expression shall include its successors, administrators, executors and permitted assigns) in favour of (Name Of the Unit of WBPDCL) having its registered office at 3/C LA Block, Salt Lake Sec – III, Kolkata : - 700106, A Government of West Bengal Enterprise (hereinafter called the Procuring Entity which expression shall include its successors, administrators, executors and permitted assigns).

Whereas the Procuring Entity proposes to issue/issued a Notice Inviting Tender (hereinafter referred to as NIT), inviting bids from the individual bidders / JV or Consortium for undertaking the work of …..... (Name of Job/ Goods to be procured) for .....(Project name) at …… (site location) (hereinafter referred to as the "Project") being set up by M/s. WBPDCL (hereinafter referred to as the Procuring Entity).

And whereas M/s. ……(Bidder) is submitting its proposal in response to the aforesaid NIT issued by the Procuring Entity for "……..... (Name of Job/ Goods to be procured) , including design, engineering, manufacture, supply, transportation to site, supervision of installation, testing and commissioning (including trial operation and Performance & Guarantee tests) of the ..... (Name of Job/ Goods to be procured) consisting mainly of:-

..... (Details Scope of Jobs / Specification of Materials / Goods to be procured)

AND WHEREAS, the said NIT enables submission of a bid by ~~a~~ Party subject to fulfilment of the stipulations as to pre-qualification criteria specified in the said NIT.

AND WHEREAS the bid documents stipulate that bidding is also open to a bidder (which means and includes Lead Member of a JV or Consortium) who meets the requirements of

Clause No. ..... Pre-qualification criteria specified in the NIT in association or in collaboration with a party (ies).

AND WHEREAS M/s……(Bidder which means and includes Lead Member of a JV or Consortium) meets the requirements specified in Clause Nos. ..... of pre-qualification criteria specified in the NIT alongwith M/s……and M/s.....…….(Collaborator/other member of JV or Consortium).

AND WHEREAS as a precondition for submitting the bid in terms of clause ..... of the NIT, the Bidder (which means and includes Lead Member of a JV or Consortium) and the Collaborator/other member of JV or Consortium are required to jointly execute and furnish along with the bid an irrevocable Deed of Joint Undertaking and be jointly responsible and bound unto the Procuring Entity for successful performance of the aforesaid..... (Name of Job/ Goods to be procured) in the event the Bid is accepted by the Procuring Entity and resulting in a Contract (hereinafter called the "Contract").

NOW THEREFORE, THIS UNDERTAKING WITNESSTH AS UNDER:

1. That in consideration of the Award of the Contract by the Procuring Entity to the Bidder, we the aforesaid Collaborator/other member of JV or Consortium and Bidder (which means and includes Lead Member of JV or Consortium), do hereby declare and undertake that we shall be jointly and severally responsible to the Procuring Entity for the successful performance of the..... (Name of Job/ Goods to be procured) by attaining fully the guaranteed parameters required as per the Contract specification.

2. In case of any breach of the Contract committed by the Bidder (which means and includes Lead Member of JV or Consortium), we the Collaborator/other member of JV or Consortium do hereby undertake, declare and confirm that we shall be fully responsible for the successful performance of the ..... (Name of Job/ Goods to be procured) and undertake to discharge the Bidder's obligations and responsibilities including payments of financial liabilities, penalties and any other obligations as stipulated in the contract. If the Procuring Entity sustains any loss or damage on account of any breach of the Contract, we the Collaborator/other member of JV or Consortium jointly and severally undertake to promptly indemnify, and pay such loss/damages caused to the Procuring Entity on its written demand without any demur, reservation, contest or protest in any manner whatsoever.

   This is without prejudice to any rights of the Procuring Entity against the Contractor under the Contract and/or guarantees.

3. We, the Bidder (which means and includes Lead Member of JV or Consortium) and Collaborator/other member of JV or Consortium do hereby undertake and confirm that the Undertaking shall be irrevocable and shall not be revoked till the expiry of the contract including defect liability period and further stipulate that the Undertaking herein contained shall terminate upon satisfactory completion of such contract including defect liability period. We further agree that the undertaking shall be without

any prejudice to the various liabilities of the Bidder (which means and includes Lead Member of JV or Consortium), including the Contract Performance Guarantees as well as other obligations of the Bidder in the terms of the Contract.

4. In addition to the Contractor's Performance Bank Guarantee, the Collaborator/other member of JV or Consortium shall furnish as "Security" the Performance Bank Guarantees, from any reputed Scheduled Bank in favour of the Procuring Entity in a form acceptable to Procuring Entity. The value of such Bank Guarantees shall be as per Clause.... of pre-qualification criteria specified in the NIT and it shall be towards guaranteeing the successful performance/compliance of this Deed of Undertaking in accordance with the terms and conditions specified herein. The Bank Guarantee shall be unconditional, irrevocable and valid for entire period of contract, including ..... days beyond the end of the Defect Liability period. The Bank Guarantee amount shall be promptly paid to the Procuring Entity on demand without any demur, reservation, protest or contest.

5. This Deed of Undertaking shall be construed and interpreted in accordance with the Laws of India and under the jurisdiction of appropriate court of Law at KOLKATA.

6. We, the Collaborator/other member of JV or Consortium and Bidder (which means and includes Lead Member of JV or Consortium) agree that this Undertaking shall be irrevocable and shall form an integral part of the Contract. We further agree that this Undertaking shall continue to be enforceable till the successful completion of Contract and after due discharge by the Procuring Entity.

7. That this Deed shall be operative from the effective date of the Contract.

8. Bidder (which means and includes Lead Member of JV or Consortium) and the Collaborator/other member of JV or Consortium hereby agree that in case of any dispute arising in and out of this Deed of Joint Undertaking shall be dealt in accordance with the provisions of Indian Arbitration and conciliation Act, 1996 or any statutory modification or re-enactment thereof and the seat of Arbitration will be at Kolkata, West Bengal, India and the language of Arbitration will be English.

IN WITNESS WHEREOF, the Collaborator/other member of JV or Consortium and Bidder (which means and includes Lead Member of JV or Consortium) through their authorized representatives have executed these present and affixed common seals of their respective companies on the Day, Month and Year first mentioned above.

For

M/s……..

(Collaborator/other member
of JV or Consortium)

Witness :

1. (Name in Block Letters)

(Signature of the authorized representative)

Name :…….. …..

(Engineer / Officer with Address) :……

Designation

Common Seal of the Company

For

M/s……

Bidder

(which means and includes Lead Member of JV or Consortium)

2. (Name in Block Letters)

(Signature of the authorized representative)

Name :…….. …..

(Engineer / Officer with Address) :……

Designation

Common Seal of the Company

Note : 1. Separate Joint Deed of Undertaking(s) for each Collaborator/Associate shall be submitted by the Bidder along with the bid.

Signature of authorized signatory:……..

ANNEXURE - 5: FORMAT FOR POWER OF ATTORNEY FOR LEAD MEMBER OF JOINT VENTURE

ANNEXURE- 5

[Ref: Clause No.. 3.8.1 (c)]

Format for Power of Attorney for Lead Member of Joint Venture/Consortium

Whereas the West Bengal Power Development Corporation Ltd. (WBPDCL) (the **"Procuring Entity**") has invited Bids from bidders for **" (Works/Supply/EPC) Contract for ..... (name of job) at ....., WBPDCL"**

Whereas, M/s……., M/s……, M/s……..and M/s…….. (collectively the "**Joint Venture/ Consortium**") being Members of the Joint Venture/ Consortium are interested in bidding for the Project in accordance with the terms and conditions of the tender document and other Bid documents including agreement in respect of the Project/works/services,

AND

Whereas, it is necessary for the Members of the Joint Venture/ Consortium to designate one of them as the Lead Member with all necessary power to do for and on behalf of the Joint Venture/ Consortium, all acts, deeds and things as may be necessary in connection with the Joint Venture's/ Consortium's Bid for the Project/Works/Services and its execution.

NOW THEREFORE KNOW ALL MEN BY THESE PRESENTS

We, M/s..... having our registered office at ……., M/s…….. having our registered office at …….., and M/s…….. having our registered office at …….., (hereinafter collectively referred to as the "**Principals**") do hereby irrevocably designate, nominate, appoint and authorize M/s …….. having its registered office at …….., being one of the Members of the Joint Venture/ Consortium, as the Lead Member and true and lawful attorney of the Joint Venture/ Consortium (hereinafter referred to as the "**Attorney**"). We hereby irrevocably authorize the Attorney (with power to sub-delegate) to conduct all business for and on behalf of the Joint Venture/ Consortium and any one of us during the Bidding process and, in this regard, to do on our behalf and on behalf of the Joint Venture/ Consortium, all or any of such acts, deeds or things as are necessary or required or incidental to the Bid, including but not limited to signing and submission of all applications, Bids and other documents and writings, participate in meetings, respond to queries, submit information/ documents, sign and generally to represent the Joint Venture/ Consortium in all its dealings with the Procuring Entity, in all matters in connection with or relating to or arising out of the Joint Venture's/ Consortium's Application.

AND hereby agree to ratify and confirm and do hereby ratify and confirm all acts, deeds and things done or caused to be done by our said Attorney pursuant to and in exercise of the powers conferred by this Power of Attorney and that all acts, deeds and things done by our said Attorney in exercise of the powers hereby conferred shall and shall always be deemed to have been done by us(Joint Venture/ Consortium).

IN WITNESS WHEREOF WE THE PRINCIPALS ABOVE NAMED HAVE EXECUTED THIS

POWER OF ATTORNEY ON THIS ……. DAY OF ……. 20...

For ……..

(Signature)
……..

(Name & Title)

For ……..

(Signature)
……..

(Name & Title)

For ……..

(Signature)

……..

(Name & Title)

(Executants)

(To be executed by all the Members of the Joint Venture/ Consortium)

Witnesses:

1.

2.

Notes:

1. *The mode of execution of the Power of Attorney should be in accordance with the procedure, if any, laid down by the applicable law and the charter documents of the executants (s) and when it is so required, the same should be under common seal affixed in accordance with the required procedure.*

2. *Also, wherever required, the Bidder should submit for verification the extract of the charter documents and documents such as a board or shareholders' resolution/ power of attorney in favour of the person executing this Power of Attorney for the delegation of power hereunder on behalf of the Bidder.*

ANNEXURE - 6: PROFORMA FOR JOINT VENTURE/CONSORTIUM AGREEMENT

ANNEXURE – 6

[Clause 3.8.1(g)]

Proforma for Joint Venture /Consortium Agreement

This Joint Venture/Consortium Agreement made and entered into on _____ day of ..... (year)

BY AND BETWEEN _____ (Name of the Lead Member), a Company/Firm registered under the laws of _____ (Name of the Country) with its Head/Registered Office at _____ (Address of the Head/Registered Office) and a place of business in _____ (Address of place of business) (hereinafter referred to as "The Lead Member") and represented by Mr/Mrs/Ms. _____ (Name of Authorized Signatory).

AND

_____ (Name of the other Member), a Company/Firm registered under the laws of _____ (Name of the Country) with its Head/Registered Office at _____ (Address of the Head/Registered Office) and a place of business in _____ (Address of place of business) (hereinafter referred to as "The Member") and represented by Mr/Mrs/Ms. _____ (Name of Authorized Signatory).

AND

_____ (Name of the other Member), a Company/Firm registered under the laws of _____ (Name of the Country) with its Head/Registered Office at _____ (Address of the Head/Registered Office) and a place of business in _____ (Address of place of business) (hereinafter referred to as "The Member") and represented by Mr/Mrs/Ms. _____ (Name of Authorized Signatory).

WITNESSETH

WHEREAS WEST BENGAL POWER DEVELOPMENT CORPORATION LIMITED (hereinafter referred to as "The Procuring Entity") has issued RFP/ Notice Inviting Tender

No. _____ Dated _____ for (.....Name of the Job.....). The Procuring Entity intends to select the suitable Bidder through competitive bidding process for the aforesaid Project/Works / Services.

WHEREAS the Parties are interested in jointly preparing and submitting an Application to Bid for the Project/ Works / Services mentioned above as a Joint Venture/Consortium.

1.0 PURPOSE OF THIS AGREEMENT

1.1 The purpose of this Agreement is to define the principles of collaboration among the Parties to:

1.1.1 Submit an Application jointly to Bid for the (.....Name of the Job.....) as a Joint Venture /Consortium.

1.1.2 Negotiate and sign Contract in case of award.

1.1.3 Provide and perform the supplies / works / services / EPC etc. which would be ordered by the Procuring Entity pursuant to the Contract.

1.2 For the purpose of participating in the Bid, the name of the Joint Venture /Consortium shall be "_____".

2.0 LEGAL RELATIONSHIP OF THE MEMBERS

2.1 This Agreement shall not be construed as establishing or giving effect to any legal entity such as, but not limited to, a company, a partnership, etc. It shall relate solely towards the Procuring Entity for (.....Name Of the Job.....) and related execution works to be performed pursuant to the Contract and shall not extend to any other activities.

2.2 The Parties shall be jointly and severally responsible and bound towards the Procuring Entity for the performance of the Job in accordance with the terms & conditions of the Tender Document and Contract.

3.0 LEAD MEMBER

_____ (Name of Member) shall act as Lead Member of the Joint Venture /Consortium. As such, it shall act as the coordinator of the Members' combined activities and shall carry out the following functions:

3.1 To ensure the technical, commercial and administrative co-ordination of the Project/ Works / Services.

3.2 To lead the contract negotiations of the Project/ Works / Services with the Procuring Entity.

3.3 The Lead Member is authorized to submit bills, receive payments and instructions and incur liabilities for and on behalf of Joint Venture /Consortium Members.

3.4 In case of an award, act as a channel of communication between the Procuring Entity and the Joint Venture /Consortium to execute the Contract.

4.0 SCOPE OF WORK AND SERVICES OF EACH MEMBER

4.1 Scope of Work and Services: The Scope of Work and Services for each Member shall be defined as follows:

4.1.1 _____ (Name of Member) shall be responsible for the following (Define the Scope of Work):

a)

b)

4.1.2 _____ (Name of Member) shall be responsible for the following (Define the Scope of Work):

a)

b)

4.1.3 _____ (Name of Member) shall be responsible for the following (Define the Scope of Work):

a)

b)

4.2 Participation Share of each Member:

Lead Member	%
Other Member	%
Other Member	%

4.3 Financial Commitment of each Member in terms of Contract Value:

Lead Member	%
Other Member	%
Other Member	%

5.0 SECURITIES

Securities, in the form of Bank Guarantees or any other mode as required under the Tender Document and/or Contract shall be provided in the following manner:.

Lead Member	Rs.....
Other Member	Rs.....
Other Member	Rs.....

6.0 LIABILITY

Liability of the Parties with respect to Claims of the Procuring Entity: All the joint venture/consortium members are jointly and severally liable to the Procuring Entity for the Performance in terms of Scope of Work under the Contract in its entirety.

7.0 DURATION OF THE AGREEMENT

The present Agreement is valid until successful completion of the Contract including defect liability period, if any, and full and final settlement of all accounts and disputes, if any, between the Parties and the Procuring Entity, except if the Procuring Entity has decided not to award the Contract to the Parties, in such case the Parties are free from any obligation under this Agreement.

IN WITNESS WHEREOF, this agreement executed on the _____ day of _____ (month)..... (Year) by the duly Authorized Representatives of the Parties hereto.

For and on behalf of M/s. _____

(Lead Member)

Name:

Company Seal:

For and on behalf of M/s. _____

(Other Member)

Name:

Company Seal:

For and on behalf of M/s. _____

(Other Member)

Name:

Company Seal:

Notary Seal:

ANNEXURE - 7: FORMAT OF JOINT VENTURE AGREEMENT

ANNEXURE – 7

[Ref: Clause No.. 3.8.1(g)(v)]

FORMAT OF JOINT VENTURE AGREEMENT (Where JV is to be incorporated after selection of bidder)

(To be executed on Stamp paper of appropriate value)

THIS JOINT VENTURE AGREEMENT is entered into on this the …… day of …… 20…**AMONGST**

1. ……..... (Name of the Firm/Company), and having its registered office at ……..... (hereinafter referred to as the "**First Part**") which expression shall, unless repugnant to the context include its successors and permitted assigns;

AND

2. ……..... (Name of the Firm/Company), and having its registered office at ……..... (hereinafter referred to as the "**Second Part**") which expression shall, unless repugnant to the context include its successors and permitted assigns;

AND

3. ……..... (Name of the Firm/Company), and having its registered office at ……..... (hereinafter referred to as the "**Third Part**") which expression shall, unless repugnant to the context include its successors and permitted assigns.

The above mentioned parties of the FIRST, {SECOND and THIRD} PART are collectively referred to as the **"Parties"** and each is individually referred to as a **"Party**"

WHEREAS,

(A) **The West Bengal Power Development Corporation Ltd. (WBPDCL), having its registered office at .....**established under the Companies Act, 1956, (the "**Procuring Entity**") has invited bids by way of Notice Inviting Tender (NIT)/Request for Proposal (RFP) No. …… dated …… for award of contract for **"..... (Works/Supply/EPC) Contract at WBPDCL".**

(B) All the Parties are interested in jointly bidding for the **Works/Supply/EPC** as members of a Joint Venture and in accordance with the terms and conditions of the NIT/RFP document and other bid documents in respect of the **Works/Supply/EPC**, and

(C) It is a necessary condition under the NIT/RFP document that the members of the Joint Venture shall enter into a Joint Bidding Agreement and furnish a copy thereof with the Application.

NOW IT IS HEREBY AGREED AS FOLLOWS:

1. Definitions and Interpretations in this Agreement, the terms shall, unless the context otherwise requires, have the meaning ascribed thereto under the NIT/RFP.

2. **Joint Venture**

2.1 The Parties do hereby irrevocably constitute a Joint Venture for the purposes of jointly participating in the Bidding Process for the **Works/Supply/EPC**.

2.2 The Parties hereby undertake to participate in the Bidding Process only through this Joint Venture and not individually and/ or through any other Joint Venture constituted for this **Works/Supply/EPC**, either directly or indirectly.

3. **Formation of Joint Venture Company and its shareholding pattern: In case the parties are selected by the Procuring Entity for execution of this Works/Supply/EPC,** the Parties hereby agree, confirm and undertake to incorporate a Joint Venture Company under the Companies Act, 2013 with shareholding/ownership equity commitment(s) as provided herein below. The said Joint Venture Company would enter into the Works/Supply/EPC Agreement with the Procuring Entity and subsequently carry out all the responsibilities as the "Contractor" in terms of the Works/Supply/EPC Agreement. The Parties further undertake that till the completion of the **Works/Supply/EPC** the shareholding of the Lead Member in the Joint Venture Company shall not be less than 51%.

Names of Shareholders	**Description of Shareholding (%)**
Lead Member	
Other Members	
Other Members	
Total 100%	

4. **Role of the Parties:** The Parties hereby undertake to perform the roles and responsibilities as described below:

(a) Party of the First Part shall be the Lead member of the Joint Venture and shall have the power of attorney from all Parties for conducting all business for and on behalf of the Joint Venture during the Bidding Process. After the joint venture is incorporated as a JV Company, the said Company shall be liable for conducting all businesses related to the Contract until the completion of the contract including the defect liability period;

(b) Party of the Second Part shall be {the Member of the Joint Venture}; and

(c) Party of the Third Part shall be {the Member of the Joint Venture.}

5. **Joint and Several Liability:** The Parties do hereby undertake to be jointly and severally responsible for all obligations and liabilities relating to the Works/Supply/EPC in accordance with the terms of the RFP / Tender/Contract till completion of the Works/Supply/EPC including defect liability period.

6. **Share of work in the Project:** The Parties agree that the proportion of job to be performed in the Works/Supply/EPC Contract to be allocated among the members shall be as follows:

Names of the Party	**Share of work in the** Works/Supply/EPC (%)
Lead Member (FIRST PART)	.....%
Other Members (SECOND PART)	.....%
Other Members (THIRD PART)	.....%
Total	100%

Further, the Lead Member shall itself undertake and perform at least .....% (as stipulated in NIT/RFP) of the job if the Contract is allocated to the Joint Venture.

7. **Representation of the Parties:**

Each Party represents to the other Parties as of the date of this Agreement that:

(a) Such Party is duly organized, validly existing and in good standing under the laws of its incorporation and has all requisite power and authority to enter into this Agreement;

(b) The execution, delivery and performance by such Party of this Agreement has been authorised by all necessary and appropriate corporate or governmental action and a copy of the extract of the charter documents and board resolution/power of attorney in favour of the person executing this Agreement for the delegation of power and authority to execute this Agreement on behalf of the Joint Venture Member is annexed to this Agreement, and will not, to the best of its knowledge:

(i) require any consent or approval not already obtained;
(ii) violate any Applicable Law presently in effect and having applicability to it;
(iii) violate the Memorandum and Articles of Association, by-laws or other applicable organisational documents thereof;
(iv) violate any clearance, permit, concession, grant, license or other governmental authorisation, approval, judgement, order or decree or any mortgage agreement, indenture or any other instrument to which such Party is

a party or by which such Party or any of its properties or assets are bound or that is otherwise applicable to such Party; or

(v) create or impose any liens, mortgages, pledges, claims, security interests, charges or Encumbrances or obligations to create a lien, charge, pledge, security interest, encumbrances or mortgage in or on the property of such Party, except for encumbrances that would not, individually or in the aggregate, have a material adverse effect on the financial condition or prospects or business of such Party so as to prevent such Party from fulfilling its obligations under this Agreement;

(c) this Agreement is the legal and binding obligation of such Party, enforceable in accordance with its terms against it; and

(d) there is no litigation pending or, to the best of such Party's knowledge, pertaining to which it or any of its Affiliates is a party that presently affects or which would have a material adverse effect on the financial condition or prospects or business of such Party in the fulfilment of its obligations under this Agreement.

8. Termination This Agreement shall be effective from the date hereof and shall continue in full force and effect until Works/Supply/EPC contract completion (including the "Defects Liability Period") is achieved under and in accordance with the Works/Supply/EPC Contract, in case the contract is awarded to the Joint Venture. However, in case the Joint Venture does not get selected for award of the contract, the Agreement will stand terminated.

9. Miscellaneous:

10.1 This Joint Bidding Agreement shall be governed by laws of India.

10.2 The Parties acknowledge and accept that this Agreement shall not be amended by the Parties without the prior written consent of the Procuring Entity.

IN WITNESS WHEREOF THE PARTIES ABOVE NAMED HAVE EXECUTED AND DELIVERED THIS AGREEMENT AS OF THE DATE FIRST ABOVE WRITTEN.

SIGNED, SEALED AND DELIVERED

For and on behalf of

LEAD MEMBER by:	SECOND PART	THIRD PART
(Signature)	(Signature)	(Signature)
(Name)	(Name)	(Name)
(Designation)	(Designation)	(Designation)
(Address)	(Address)	(Address)

In the presence of:

1……. 2.....

Notes:

1. *The mode of the execution of the Joint Venture Agreement should be in accordance with the procedure, if any, laid down by the Applicable Law and the charter documents of the executants (s) and when it is so required, the same should be under common seal affixed in accordance with the required procedure.*

2. Each Joint Venture Agreement should attach a copy of the extract of the charter documents and documents such as resolution / power of attorney in favour of the person executing this Agreement for the delegation of power and authority to execute this Agreement on behalf of the Joint Venture Member.

3. For a Joint Venture Bidding Agreement executed and issued overseas, the document shall be legalized by the Indian Embassy and notarized in the jurisdiction where the Power of Attorney has been executed.

ANNEXURE - 8: TENDER REGISTER

Annexure-8
(Refer Clause 3.9.2)

TENDER REGISTER

1. Sl. No.
2. Tender No.
3. Date of publication/issuance
4. Mode of enquiry (Single/Limited/Open)
5. Type of bidding (single/two bid etc.)
6. Nature of Job/Works/Supply
7. Estimated Value
8. (a) Tender Fee (b) Value of EMD
9. Last date of receipt of tender
10. If the date extended, last date thereof
11. Name & Address of bidder(s) issued with tender request (in case of single & limited tender)
12. Name & address of bidder(s) responded
13. Date & time of bid opening (technical bid only, in case of two bid system)
14. Name of the parties who are qualified (technically only in case of two bid system)
15. Date & time of opening of price bid
16. Name(s) of the parties whose price bids are accepted
17. Party wise price bid value with L1, L2, L3…marking)
18. Name of Party(ies) selected for placing order
19. Date of issuance of LOI, if any
20. Date of issuance of LOA
21. Contract No (s), & Date, if any
22. Value of Contract (in Rs.)

23. Value of contract above/below of Estimated Price in percentage

24. Scheduled date of commencement of work/supply

25. Scheduled date of completion of work/supply

ANNEXURE - 9: BID OPENING REGISTER

ANNEXURE -9

(Ref Clause No: - 3.9.4)

THE WEST BENGAL POWER DEVELOPMENT CORPORATION LIMITED

BID OPENING REGISTER

Description Of Materials/ Works / Services

NIT/RFP/RFQ No. & Date
Date of Opening of Technical Bid
Date of Opening of Price Bid

Sl. No	Name of Vendor Submitted Bid	Bid Reference No. & Date	Offers With EMD / Without EMD	Signature of Vendor/Representative i.r.o. Techno-Commercial Bid	Signature of Vendor/Representative i.r.o. Price Bid		Remarks

Signature of the Bid opening team Member

ANNEXURE - 10: CIRCULAR ON REVERSE CHARGE MECHANISM OF WBPDCL

ANNEXURE -10

(Clause No 3.10.1)

(Circular on Reverse Charge Mechanism of WBPDCL)

Memo No.: WBPDCL/D(RA)/GST/17/ **3rd July, 2017**

CIRCULAR

Goods and Services Tax – II

Reverse Charge Mechanism under the Goods and Services Tax Act 2017 (GST Act-2017):

What is Reverse Charge Mechanism (RCM)?

Generally a Supplier of Goods or Services is a taxable person liable to discharge tax liability under the GST Act. However, in certain cases, GST Act, 2017 specifies that instead of Supplier, the recipient of goods or services is liable to discharge tax liability. This is popularly known as 'Reverse Charge Mechanism' (RCM). Reverse Charge has been defined under section 2(98) of the GST Act, 2017.

Levy and collection of tax

In terms of Section 9(3) of GST Act 2017, the Government may, on the recommendations of the GST Council, by notification, specify categories of supply of goods or services or both, the tax on which shall be paid on reverse charge basis by the recipient of such goods or services or both and all the provisions of this Act shall apply to such recipient as if he is the person liable for paying the tax in relation to the supply of such goods or services or both.

In terms of Section 9(4) of GST Act, 2017, the central tax in respect of the supply of taxable goods or services or both by a supplier, **who is not registered**, to a registered person shall be paid by such person on reverse charge basis as the recipient and all the provisions of this Act shall apply to such recipient as if he is the person liable for paying the tax in relation to the supply of such goods or services or both.

Similar provisions exist in Section 9(3) and 9(4) of The West Bengal Goods and Services Tax Ordinance, 2017.

When RCM is applicable

There are two situations where RCM are applicable:

1) Government specifies categories of goods or services or both on which RCM is categorically made applicable;

2) If any procurement of taxable goods or services or both is made from **unregistered supplier**.

Therefore, it advisable not to enter into any contract with unregistered Supplier of Goods or Services.

RCM is applicable only when there is charge on supply. *It means if the goods or services are exempted, nil rated or non taxable, RCM does not apply in such cases.*

Recipient (WBPDCL) is required to pay either:

1) CGST and SGST
   or

2) IGST

depending on the location of supplier and place of supply.

Tax is to be deposited using recipient (WBPDCL) GST Number.

WBPDCL is liable to pay tax under RCM on goods or services or both procured from an unregistered person.

Services on which RCM is applicable

SERVICES UNDER REVERSE CHARGE AS APPROVED BY GST COUNCIL

The list of services that will be under reverse charge as approved by the GST Council is given below:

Sl. No.	Service	Provider of service	Percentage of service tax payable by service provider	Recipient of Service	Percentage of service tax payable by any person other than the service provider
1	Taxable services provided or agreed to be provided by any person who is located in a non-taxable territory and received by any person located in the taxable territory other than non-assessee online recipient (OIDAR)	Any person who is located in a non-taxable territory	Nil	Any person located in the taxable territory other than non-assessee online recipient (Business Recipient)	100%

2	Services provided or agreed to be provided by a goods transport agency (GTA) in respect of transportation of goods by road	Goods Transport Agency (GTA)	Nil	a) any factory registered under or governed by the Factories Act, 1948; (b)any society registered under the Societies Registration Act, 1860 or under any other law for the time being in force in any part of India; (c) any co-operative society established by or under any law; (d) any person registered under CGST/ SGST/ UTGST Act; (e) any body corporate established, by or under any law; or (f) any partnership firm whether registered or not under any law including association of persons. (g) Casual taxable person	100%

Sl. No.	Service	Provider of service	Percentage of service tax payable by service provider	Recipient of Service	Percentage of service tax payable by any person other than the service provider
3	Services provided or agreed to be provided by an individual advocate or firm of advocates by way of legal services, directly or indirectly	An individual advocate or firm of advocates		Any business entity.	100%
4	Services provided or agreed to be provided by an arbitral tribunal	An arbitral tribunal		Any business entity.	100%
5	Sponsorship services	Any person	Nil	Anybody corporate or partnership firm.	100%
6	Services provided or agreed to be provided by Government or local authority excluding, - (1) renting of immovable property, and (2) services specified below- (i) services by the Department of Posts by way of speed post, express parcel post, life insurance, and agency services provided to a person other than Government; (ii) services in relation to an aircraft or a vessel, inside or outside the precincts of a port or an airport; (iii) transport of goods or passengers.	Government or local authority		Any business entity	100%

Sl. No.	Service	Provider of service	Percentage of service tax payable by service provider	Recipient of Service	Percentage of service tax payable by any person other than the service provider
7	Services provided or agreed to be provided by a director of a company or a body corporate to the said company or the body corporate;	A director of a company or a body corporate		A company or a body corporate.	100%
8	Services provided or agreed to be provided by an insurance agent to any person carrying on insurance business	An insurance agent		Any person carrying on insurance business.	
9	Services provided or agreed to be provided by a recovery agent to a banking company or a financial institution or a non-banking financial	A recovery agent		A banking company financial institution nonbanking financial company.	
10	company transportation of goods by a vessel from a place outside India up to the customs station of clearance in India	A person located in non-taxable territory to a person		Importer as defined under clause (26) of section 2 of the Customs Act, 1962.	
11	Transfer or permitting the use or enjoyment of a copyright covered under clause (a) of sub-section (1) of section 13 of the Copyright Act, 1957 relating to original literary, dramatic, musical or artistic works	Author or music composer, Photograp-her, artist, etc		Publisher, Music company, Producer	

Sl. No.	Service	Provider of service	Percentage of service tax payable by service provider	Recipient of Service	Percentage of service tax payable by any person other than the service provider
12	Radio taxi or Passenger Transport Services provided through electronic commerce operator	Taxi driver or Rent a cab operator		Any person	100% by Electronic Commerce Operator

As such there is no concept of partial reverse charge.

When tax liability is to be provided

Section 12 (1) of GST Act 2017 provides that the liability to pay tax on goods shall arise at the time of supply, as determined in accordance with the provisions of this section as noted below :

Time of supply of goods

Section 12(3)

As per Section 12(3) of the Act, in case of **supplies** in respect of which tax is paid or liable to be paid on reverse charge basis, the time of supply shall be the **earliest** of the following dates, namely:—

(a) the date of the receipt of goods; or

(b) the date of payment as entered in the books of accounts of the recipient or the date on which the payment is debited in his bank account, whichever is earlier; or

(c) the date immediately following thirty days from the date of issue of invoice or any other document, by whatever name called, in lieu thereof by the supplier:

Provided that where it is not possible to determine the time of supply under clause (*a*) or clause (*b*) or clause (*c*), the time of supply shall be the date of entry in the books of account of the recipient of supply.

To sum up time of supply for recognition of liability is earliest of the following:

- Date of receipt of goods or

- Date of payment entered in the books of account or date of debit in bank statement, whichever is earlier
- Date immediately 30 days from date of invoice.

Where it is not possible to determine time of supply as above, time of supply shall be the date of entry in the books of recipient of supply

Therefore, from 1st July, 2017 onwards, if any taxable purchase of goods is made **from an unregistered supplier, liability under RCM will arise.**

Time of supply of services

Section 13(1): The liability to pay tax on services shall arise at the time of supply, as determined in accordance with the provisions of this section.

Section 13(3): In case of supplies in respect of which tax is paid or liable to be paid on reverse charge basis, the time of supply shall be the earlier of the following dates, namely:

(a) the date of payment as entered in the books of account of the recipient or the date on which the payment is debited in his bank account, whichever is earlier; or
(b) the date immediately following sixty days from the date of issue of invoice or any other document, by whatever name called, in lieu thereof by the supplier:

Provided that where it is not possible to determine the time of supply under clause (a) or clause (b), the time of supply shall be the date of entry in the books of account of the recipient of supply.

To sum up time of supply of services for recognition of liability is earliest of the following:

- Date of payment entered in books of accounts or date of debit in bank , whichever is earlier
- Date immediately after 60 days from date of invoice.

Where it is not possible to determine time of supply as above, time of supply shall be the date of entry in the books of recipient of supply.

Example: If a service falls under RCM as above and payment is made in July 17 then tax liability under GST is to be booked by WBPDCL.

Documentation:

Section 31(3)(f) requires WBPDCL to issue TAX INVOICE in respect of goods or services received from unregistered supplier.

Section 31(3)(f) of GST Act 2017 is produced below:

"a registered person who is liable to pay tax under sub-section (3) or sub-section (4) of section 9 shall issue an invoice in respect of goods or services or both received by him from the supplier who is not registered on the date of receipt of goods or services or both;"

Further registered person liable to pay GST under RCM shall issue a payment voucher at the time of making payment to supplier.

Section 31(3)(g) of GST Act 2017 is produced below:

a registered person who is liable to pay tax under sub-section (3) or sub-section (4) of section 9 shall issue a payment voucher at the time of making payment to the supplier.

Question: *Should we discharge GST liability for all reverse charge having small amounts of*

Transaction or any amount limit is there?

Answer: It has been decided that Rs. 5000/- per day exemption will be given in respect of supplies received from unregistered person. For supplies above this amount, a monthly consolidated bill can be raised.

Question: *Should we issue Self Invoice for GST liability discharge on RCM or GST can be discharge through expenses booking voucher?*

Answer: For RCM liabilities tax invoice has to be issued on
self.

Summary:

1) Identify whether the service or supply or both attracts RCM.
2) For identification it is to be seen whether the service falls within the services specified by GST Council
3) For procurement (both supply of service/goods) from unregistered suppliers RCM is applicable.
4) If the supply of goods/service is exempted or nil rated or non taxable then RCM is not applicable
5) There is no concept of partial reverse charge
6) Presently VAT/Excise legislations do not provide RCM.
7) Liability accounting for supply of goods is to be provided earliest of the following-

    - Date of receipt of goods or
    - Date of payment entered in the books of account or date of debit in bank statement, whichever is earlier
    - Date immediately 30 days from date of invoice.

8) Liability accounting for supply of services is to be provided earliest of the following-

    - Date of payment entered in the books of account or date of debit in bank statement, whichever is earlier
    - Date immediately 30 days from date of invoice.

9) Where it is not possible to determine time of supply as above (ie Sl no 7 & 8), time of supply shall be the date of entry in the books of recipient of supply
10) Separate Ledger heads to be opened to record the liability.
11) Tax Invoice is to be issued in respect of goods and services received from unregistered supplier. Contents of Tax Invoice and format will be issued in the next circular.
12) Further registered person liable to pay GST under RCM shall issue payment voucher at the time of making payment to the supplier.

Liability Ledger heads to be used:

CGST (Services Received)-RCM) SGST (Services Received-RCM) IGST (Services Received-RCM)

CGST (Supply Received-RCM) SGST (Supply Received-RCM) IGST (Supply Received-RCM)

CGST (Services Provided) SGST (Services Provided) IGST (Services Provided))

CGST (Supply Made) SGST ((Supply Made) IGST (Supply Made)

Director (RA) & Company Secretary

Memo No.: WBPDCL/D(RA)/GST/17/1192(i-xxviii) Dated: 30th June, 2017

Distribution:

1. The Chairman & Managing Director, WBPDCL
2. The Director (F&A), WBPDCL, Corporate Office, Kolkata
3. The Director (Mining), WBPDCL, Corporate Office, Kolkata
4. The Director (HR), WBPDCL, Corporate Office, Kolkata
5. The CVO and Ex-Office Director, WBPDCL, Corporate Office, Kolkata

6. The Director (Projects & O&M), WBPDCL, Corporate Office, Kolkata

7. The General Manager (F&A), (HR), (HRA), (IT), (R&M), (M&C), (OS), (FM), (Civil), (Projects), Corporate Office, Kolkata

8. The General Manager, Kolaghat, Bakreswar, Bandel, Santaldih & Sagardighi Power Stations,

9. The Dy. General Manager (F&A), Kolaghat, Bakreswar, Bandel, Santaldih & Sagardighi, Power

Stations.

10. The Dy. General Manager (F&A), Corporate Office, Kolkata

11. The Advisor (Environment), Corporate Office, Kolkata

ANNEXURE - 11: BID MATRIX

ANNEXURE - 11

[Ref Clause No: - 4.2.6(i)]

Bid Matrix

Note: Clauses mentioned here are indicative, Tender Inviting Authority (TIA) may further elaborate/include/omit/edit clauses as per specific tender requirement.

Sl No	Category	Tender Requirement	Bidder's Confirmation /non-confirmation by marking "√" only		Reference/ location (page No. / Annexure etc)
			Confirmed	Not Confirmed	
1	General	Confirm whether the bid has been signed by persons(s) duly authorized for this purpose			
2		Confirm whether the signatory(s) to the bid has indicated his full name and capacity in signing the bid			
3		Confirm whether the power of attorney or authorisation, or any other document such as partnership deed, memorandum and articles of association of Company, MOU entered among the members of consortium, resolution of Board etc. consisting of adequate proof of the ability of the signatory to bind the bidder, has been submitted along with techno-commercial bid			
4	Bid Validity	Confirm whether the bid validity for..... (as per tender document) days from the closing date of submission of bids has been accepted			
5	EMD	Confirm whether Earnest Money Deposit in the prescribed mode as per Tender Document submitted along with techno-commercial bid.			
6		Details of mode of instrument submitted as EMD (for example online bank transfer, BG, Pay Order, DD, Banker' Cheque)			
7		If EMD is submitted in form of bank guarantee, please indicate: (a) Bank Guarantee No. (b) Date of issue (c) Name of Bank and Branch (d) Amount of Bank Guarantee			
		(e) Date of expiry of claim period			

Sl No	Category	Tender Requirement	Bidder's Confirmation /non-confirmation by marking "√" only		Reference/ location (page No. /
		(f) Confirm whether non-judicial stamp paper is as per applicable stamp duty (Min value Rs. 100/-) and in the name of issuing bank			
8	Price Bid	Confirm whether price have been quoted in separate sealed cover strictly in the Price Bid Format of the Bidding Document.			
9		Confirm whether the prices quoted by the bidder are firm during the entire execution period of contract (save as specifically provided otherwise).			
10		Confirm whether bidder has enclosed a blank copy of the schedule of prices format with price column tick (√) marked against each item of price bid format indicating quote against respective item in the un-priced bid. **Note: Offers with techno commercial bid containing prices shall be rejected outright**			

Signature of the Bidder/Authorized Representative with Seal

ANNEXURE – 11A: DECLARATION BY BIDDER WHILE BIDDING IN BOTH ONLINE/ OFFLINE MODE

ANNEXURE – 11A

[Refer Clause:-4.2.6(k); 13.7 & 5.2.1.2(iv)]

A. I,---------- on behalf of ----------(name of the company / partnership firm)---------- do hereby declare that I have gone through all the provisions of NIT No. ----------dated ---------- (including subsequent Addenda/ Corrigenda and other documents) and clearly understood the implications of all those provisions and submitting my / our bid adhering all the provisions of said NIT (including subsequent Addenda/ Corrigenda and other documents).

B. I,_____ on behalf of M/s. _____ (name and address of the bidder) hereby declare that M/s. _____ (name of the bidder) is not blacklisted/ debarred by any Government department/ Public Sector Undertakings/ Other Government Agencies for which we have executed/ undertaken the works/ services during the last _____ year(s).

C. I, _____on behalf of M/s. _____ (name and address of the bidder) do hereby declare that no additions/ deletions/ corrections have been made in the downloaded/ supplied tender document and the tender document submitted by M/s. _____ (name of the bidder) is identical to the one appearing in the procuring entity's portal/supplied by the procuring entity.

I, hereby, further declare that all the above information declared hereinabove, are true to the best of my knowledge and in the event any of the above information at a later stage, is found to be false, by the Procuring Entity, the Procuring Entity shall be at liberty to take any action as deemed fit at my/ our sole risk and cost.

Signature of Bidder / Authorised representative

Seal of the Company

ANNEXURE - 12 : PROFORMA FOR EMD (Bid Security)

ANNEXURE – 12

[Ref Clause **5.2.1.4 (i) (a) & 8.13.2]**

Proforma for EMD (Bid Security)

PROFORMA FOR BANK GUARANTEE

(To be stamped in accordance with Stamp Act, if any, of the Country of the issuing Bank)

Bank Guarantee No.: _____
Date: _____

To,
West Bengal Power Development Corporation Limited
Bidyut Unnayan Bhaban, Block– LA, Plot No. 3/C, Sector–III,
Salt Lake City, Kolkata– 700106, West Bengal, India.

Dear Sir,

In accordance with your RFP No. _____M/s XXX (Name of Participating Contractor) having its Registered Head Office at _____ (hereinafter called the Bidder) wish to participate in the said RFP/Tender for _____ (Name of Job).

As an irrevocable Bank Guarantee against Bid Security for an amount of ____ is required to be submitted by the Bidder as a condition precedent for participation in the said Tender, which amount is liable to be forfeited on the happening of any contingencies mentioned in the Tender Document, we, the _____ Bank at _____ having our Head Office / Registered Office at _____ (Address of Bank) guarantee and undertake to pay immediately on demand by the West Bengal Power Development Corporation Limited the amount of _____ (in words and figures) without any reservation, protest, demur and recourse. Any such demand made by said Procuring Entity shall be conclusive and binding on us irrespective of any dispute of difference raised by the Bidder.

This Guarantee shall be irrevocable and shall remain valid up to @ _____(six months from the Closing date of submission of bid) with a claim period of another 3(three) months. If any further extension of this guarantee is required, the same shall be extended to such required period on receiving instructions from M/s XXX (Participating Bidder) on whose behalf this Guarantee is issued.

All rights of the West Bengal Power Development Corporation Limited under this Guarantee shall be forfeited and the Bank shall be relieved and discharged from all liabilities thereunder unless the WBPDCL brings any suit or action to enforce a claim under this Guarantee

against the Bank within ninety (90) calendar days from the above mentioned expiry date of validity or, from that of the extended date.

In witness whereof the Bank, through its authorised Officer, has set its hand and stamp on this _____ day of _____ Year ..... at _____.

WITNESS:

_____	_____
(Signature and Name)	(Signature and Name)
_____	_____
(Engineer / Officer address)	(Designation with Bank Stamp)

Attorney as per Power of Attorney No. _____

Date:

@ This date should be initially for One hundred and twenty (120) calendar days from the next day of the last date of Bid submission and may be extended from time to time.

ANNEXURE – 13: Tender Document Sale & Receipt Register

Annexure – 13

[Refer Clause 5.4(i)(b) & 5.4(ii)]

Tender Document Sale & Receipt Register (For Offline Tender Only)

Sl. No.	NIT No. & Date	Last Date & Time of Bid Submission	Name & Address of Bidder who received Tender Paper	Amount of Tender Fee and details of mode of Payment	Date & Time of receivin g Tender Paper	Date & Time of receipt of Sealed Bid	Mode of Receipt (Post/By Hand)	Receipt No. (in case received by hand)

Signature of Authorised Official

ANNEXURE - 14: FORMAT FOR EXTENSION OF DELIVERY PERIOD

ANNEXURE- 14

(Refer Clause 8.6.3)

Format for grant of Extension of period for the uncompleted job within stipulated Job Delivery Period

Registered A/D
or Speed Post

To M/s (name and address of Contractor)

Sub: Contract No…….dated……..for the supply/works/services of …….

Ref. Your letter no…….. dated……

Dear Sir,

1. You have failed to deliver/execute supply/works/services within the scheduled date of completion of contract. In your letter under reference you have asked for extension of time for delivery/execution beyond the date of scheduled date as stipulated in the subject contract. In view of the circumstances stated in your said letter, the time for delivery/execution is extended from (fill in date) to (fill in date) .

2. Please note that notwithstanding the grant of this extension, in terms of Clause (fill in clause number) of the subject contract an amount equivalent to …….% (……..per cent) will be recovered from you as liquidated damages.

3. You are also required to extend the validity period of the performance guarantee for the subject contract from (fill in present validity date) to (fill in required extended date) within 15 (fifteen) days of issue of this amendment letter.

4. The above extension of delivery date will also be subject to the following Denial Clauses:-

   a) That no increases in price on account of any statutory increase in or fresh imposition of GST, taxes and duties or on account of any other taxes/duty, including custom duty), leviable in respect of the job specified in the said contract which takes place after (insert the original delivery date) shall be admissible.

   ii) That notwithstanding any conditions in the contract for increase in price on any other ground including foreign exchange rate variation, no such increase which takes place after (insert the original delivery date) shall be admissible.

   But nevertheless, the Procuring Entity shall be entitled to the benefit of any decrease in price on account of reduction in or remission of GST, taxes and duties or on account of any other Tax or duty or on any other ground as stipulated in the price variation clause or foreign exchange rate variation which takes place after the expiry of the above mentioned date namely (insert the original Contract Completion date).

5. All other terms and conditions of the contract remain unaltered. This is without any prejudice to Procuring Entities' rights under the terms and conditions of the subject contract.

6. Please intimate your unconditional acceptance of this amendment letter within 10(ten) days of the issue of this letter failing which the contract will be cancelled at your risk and expense without any further reference to you.

Yours faithfully,

(Signature of Authorized Officials of Corporation)

ANNEXURE - 15: HINDRANCE REGISTER

ANNEXURE – 15
(Ref Clause No : 8.6.7)

HINDRANCE REGISTER

Work Name: -

Sl No	Nature of Hindrance	Item of Work that could not be executed due to hindrance	Date of Start of hindrance	Date of removal of hindrance	Period of Hindrance	Overlapping Period, if any	Net Hindrance in days	Extension in days sought by the Contractor	Extension in days allowed	Reason for rejection of extension (Fully / partly)	Action taken to remove the Hindrance	Signature of Engineer-in-Charge	Signature of Contractor	Remarks

ANNEXURE - 16: MODEL FORMAT FOR CORRESPONDENCE WITH CONTACTOR BEFORE ISSUANCE OF TERMINATION ORDER.

ANNEXURE – 16
(Ref Clause No: - 8.7)

Model Format for Correspondence with Contactor before issuance of Termination Order.

Registered Acknowledgement due

To
M/s……..
…….
…….

Sub:- : Contract No…… ……
dated……..for the Job of ……

Dear Sirs,

You were awarded with the subject job after completion of due process of Tender. In terms of Clause ---------- the scheduled date of completion of job is …….

When no progress in your performance was noticed even after several verbal intimation, you were vide memo ----------dtd.----------informed to speed up your performance and to ensure that the job could be completed within the stipulated time as per the terms of the contract considering the aspect that timely completion of the job is the essence of the contract.

Failure on your part to complete the job within the scheduled date for completion ex-facie attracts provisions pertaining to breach of contract in terms of Clause……of Article…… of Contract Agreement/GCC/SCC.

Now you have vide your request under reference sought for extension of time for …….days/month beyond the scheduled completion date towards completion of the contract giving assurance that the subject job would be completed by you within the extended period, if granted.

However the management has in consideration with your request for grant of extension of …..days/ month beyond the scheduled completion date and relying upon your assurance, acceded to your prayer and granted extension of time for …….. subject to levy of liquidated damage in terms of Clauses…. vide our letter dtd……...

Despite grant of extension of time for……days/month, no noticeable development is observed in your performance and we firmly believe that the job would not be completed

within the remaining last …….days of the extended period. It clearly shows in your incapacity and inability to honour your commitment resulting breach of contract.

In view of above, you are hereby advised to submit your explanation as to why Clause….. pertaining to termination of contract shall not be invoked against you. Your explanation shall reach us within 7 days from receipt of this memo, failing which it would be presumed that you have no explanation to offer and the undersigned shall proceed for termination of the contract without further notice.

This is without prejudice to the rights and remedies available to the corporation in terms of the contract and law applicable in this behalf.

Yours faithfully,

(……..)

for …….

Note: Necessary modifications in the instant sample format shall be made accordingly to invoke Termination Clause for any other reasons in terms relevant clauses under Breach of Contract.

As for example:

(i) Termination of Contract for insolvency/bankrupt etc;

(ii) Failure on the part of Contractor to perform any other obligations under the contract.

ANNEXURE - 17: NO CLAIM CERTIFICATE

ANNEXURE – 17

(Ref Clause 8.8 & 8.12)

No Claim Certificate

To,

(Engineer-in-Charge/Authorised Officer)

Procuring Entity……..

NO CLAIM CERTIFICATE

Sub : Contract Agreement no…….dated……for the supply/execution of works / services of……

We have received the sum of Rs. (Rupees…….only) in full and final settlement of all the payments due to us for the supply /execution of works / services of ……..under the abovementioned contract agreement. We hereby unconditionally and without any reservation whatsoever, certify that with this payment, we shall have no claim whatsoever, of any description, on any account, against Procuring Entity, against aforesaid contract agreement executed by us. We further declare unequivocally, that with this payment, we have received all the amounts payable to us, and have no dispute of any description whatsoever, regarding the amounts worked out as payable to us and received by us, and that we shall continue to be bound by the terms and conditions of the contract agreement, as regards performance of the contract.

Yours faithfully,

Signatures of contractor or

Officer authorized to sign the contract documents

On behalf of the contractor

(company stamp)

Date ……

Place……

ANNEXURE - 18: WBPDCL's Policy & Procedure of Blacklisting and Debarment of Agencies from Business Dealings.

ANNEXURE -18

(Ref Clause No 8.10)

WBPDCL's POLICY & PROCEDURE FOR BLACKLISTING AND DEBARMENT OF AGENCIES FROM BUSINESS DEALINGS

PREFACE

The West Bengal Power Development Corporation Limited (WBPDCL) is a company owned by the Government of West Bengal engaged in the business of coal-based thermal power generation. The WBPDCL incorporated in July 1985 presently has thermal power generating units at Kolaghat (1260MW), Bakreswar (1050 MW), Sagardighi (600 MW), Santaldih (500 MW), and Bandel (450 MW) with total generating capacity of 3860 MW. Further 02 (two) more units of 500 MW each capacity are under construction at Sagardighi Thermal Power Project which will enhance the total installed capacity of the company to 4860 MW.

Ministry of Coal, Government of India allotted six no. of coal mines namely (i) Tara (East) & (West), (ii) Barjora, (iii) Gangaramchak & Gangaramchak - Bhadulia, (iv) Pachhwara (North), (v) Barjora (North) & (vi) Kasta (East) to WBPDCL on 31.03.2015 for the purpose of utilizing the coal excavated from the referred mines as raw material for operation of the coal fired power plants of WBPDCL. However, Kasta (East) is presently non operational.

The core objective of the corporation is to promote the business of the energy-efficient electric power generation while ensuring reliability of power supply to the State thereby catering to almost 60 percent of the State's energy demand.

1. INTRODUCTION:

1.1 The West Bengal Power Development Corporation Limited (WBPDCL), being a Govt. of West Bengal Enterprise has to safeguard its commercial interest at the time of dealing with agencies and maintain a high degree of integrity, commitment and sincerity towards the work undertaken. It is not in the interest of WBPDCL to deal with agencies who commit deception, fraud, or other misconduct in the execution of contracts awarded/orders issued to the agencies.

1.2 The business activity/ operational activities of WBPDCL a demand dealing with agencies in various spheres and it is expected that such agencies will accomplish its contractual assignment with utmost integrity, transparency and sincerity while fulfilling its commercial and ethical commitment to WBPDCL..

Since, WBPDCL is committed to the timely completion of any project and/or execution of any job awarded to the agencies without compromising on quality, WBPDCL considers that it would be against its interest to deal with any agency whose integrity is in question or is involved in any misconduct(s) of various natures.

1.3 In order to ensure compliance with the constitutional mandate, it is incumbent on WBPDCL to observe principles of natural justice before blacklisting and debarment of the business dealings with any agency.

2. Short Title & Commencement:

2.1 The policy shall be called the Policy & Procedure for Blacklisting and Debarment of Agencies from Business Dealings.
2.2 This policy comes into force w.e.f. 01.04.2016.

3. Applicability:

Guidelines made under this policy shall be applicable to all the plants/ projects/ mines/ offices/ establishments of WBPDCL and this shall be construed to have formed a part of GCC, unless otherwise specified.

4. Scope:

4.1 WBPDCL reserves the right to blacklist and debar an agency from any business dealings with it, if such agency is found to have committed misconduct or any of its action(s) falling into categories as laid down in this policy.

4.2 The procedure for blacklisting and debarment of business dealings with any agency has been laid down in these guidelines.

4.3 The provisions of this policy will be effective for investigation(s) required to be conducted on the misconduct/irregularities noticed on the part of any agency in all/any contract awarded on or after the date of coming into effect of this policy and for the contracts under execution or contracts not yet closed, on the date of coming into effect of this policy.

5. Definitions:

A. ‘Agency’ means Contractor/ Supplier/ Purchaser/ Bidder/ Consultant and their affiliates. The Contractor shall also include sub-contractor.

Explanation: ‘affiliate’ means persons are affiliates of each other if, directly or indirectly, either one controls or has the power to control the other or a third person controls or has the power to control both. The ways competent authority may determine, control, include but are not limited to -

A. Interlocking management or ownership;
B. Identity of interests among family members;
C. Shared facilities and equipment;
D. Common use of employees; or
E. A business entity which has been organized following the exclusion of a person which has the same or similar management, ownership or principal employees as excluded person.

B. ’Appellate Authority’ means:

(i) Contract, Purchase & Procurement Committee of the Board of Directors of WBPDCL where the order of blacklisting and debarment has been issued by the Chairman & Managing Director of WBPDCL or

(ii) the Chairman & Managing Director of WBPDCL where the order of banning is issued by any Authorized Officer for this purpose

These shall be construed to be part of the Delegation of Power of The WBPDCL.

C. 'Authorized Officer' means an officer of WBPDCL not below the rank of General Manager duly authorized by Competent Authority to issue show cause notice to the agency and cause enquiry.

D. 'Blacklisting & Debarment' means prohibition imposed upon any agency to do the business deal with WBPDCL.

E. 'Competent Authority' means the Chairman & Managing Director of WBPDCL.

F. 'Department' means the concerned wing of the plant/ project/ mines/ corporate office responsible for execution of the contract.

G. 'Enquiring Authority' means any authority who has been entrusted with the task of investigation/ enquiry by the Competent Authority or Authorized Officer, as the case may be.

H. General Conditions of Contract (GCC)' means a set of standard terms and conditions of the contract which is part of the LOA and to be adhered to by the agency while executing the contract and shall include changes made in the GCC with the approval of the Board, during execution of the contract.

I. 'Government' means executive wing of the Government of India & Government of West Bengal.

J. 'Investigating Department' means any department or unit of WBPDCL investigating into the conduct of the agency and shall include Vigilance Department of WBPDCL, the State Police or any other department/ agency set up by the Central or State Government having powers to investigate.

K. 'Letter of Intent (LOI)' means a confirmation to the agency regarding acceptance of the bid of the said agency.

L. 'Letter of Award (LOA)' means a firm order detailing scope of work and other relevant terms and conditions pertaining to the contract awarded to the agency.

M. 'Prescribed' means prescribed by this policy unless otherwise mentioned in the Letter of Award (LOA), statutory requirements, Government Orders, Directives, Circulars in the relevant matters.

6. Initiation of Blacklisting and Debarment:

Proposal for blacklisting and debarment of business dealings with any agency shall be initiated by the department responsible for awarding the contract/ execution of the job upon noticing element(s) of irregularities or misconduct(s) on the part of the alleged agency. Besides the concerned department, Vigilance Department of WBPDCL may also be competent to initiate such action upon receiving direct complaint and in addition on the basis of the recommendation of the investigating agency viz. State Vigilance Commission, Central Bureau of Investigation etc.

7. Grounds for Blacklisting and Debarment of Business dealings:

Blacklisting and Debarment of business dealings can be initiated against the agency on the following grounds:

7.1 Security consideration, including questions of loyalty of the agency to the State, so warrants.

7.2 Where the agency has been refused Labour License under Rule 22(a)(iv) of The West Bengal Contract Labour (R&A) Rules, 1972 being convicted during the last 05 (five) years.

If the Director/ Owner of the Agency, Proprietor or Partner of the firm, is convicted by a court of law for offences involving moral turpitude in relation to its business dealings with the Government or any other public sector or WBPDCL, during the last five years;

7.3.1 If there is reason to believe that the Directors, Proprietors, Partners, Owner of the Agency may have indulged in malpractices such as bribery, corruption, fraud, substitution of tenders, interpolations, etc.

7.4 The agency refuses to pay the legitimate dues of WBPDCL without showing adequate reason and this is not due to any bonafide dispute which would attract proceedings in arbitration or court of law;

7.5 The agency fails to accept the award of contract within the period mentioned therein.

7.6 The agency abandons the execution of contract in breach of its obligations.

7.7 The agency suspends/ stops work on any unfounded pretext including labour trouble and/ or seeking higher compensation.

7.8 If business dealings with the agency have been blacklisted and debarred by the Ministry of Power, Government of India/ Department of Power & NES, Government of West Bengal or any other Ministry or Department of the Government of India or the Government of West Bengal or any other public sector enterprise and the ban is still in force;

7.9 The agency has resorted to corrupt, fraudulent practices including misrepresentation of facts;

7.10 The agency is found to have been involved in any anti competitive practices during bidding and/or execution including bid rigging;

7.11 The agency indulges in repeated and/ or deliberate use of delay tactics in complying with contractual stipulations;

7.12 The agency is repeatedly found to be non-performing in execution of contract as per schedule of work or fails to achieve the 'Completion of Facilities' or execute the contract milestones within time schedule stipulated in the contract or as mutually agreed upon.

7.13 The agency deliberately or without any valid reasons fails to conduct the Performance Guarantee test within the time limit stipulated in the contract.

7.14 Supplying sub-standard material by the agency with respect to technical specifications under the contract irrespective of whether pre-dispatch inspection was carried out by WBPDCL or not;

7.15 Based on the findings of the investigation report of any Central/ State Investigating Authority/ Police against the Agency for mala fide/ unlawful acts or improper conduct on his part in matters relating to the Company (WBPDCL) or even otherwise;

7.16 The agency is declared bankrupt or un-discharged insolvent or its financial position has become unsound, and in the case of a limited company, it is wound up or liquidated;

7. 17 Established litigant nature of the agency to derive undue benefit;

7.18 The agency has assigned or transferred the contract or engaged sub-contractors without the prior approval of the competent authority in violation of the provisions of the contract;

7.19 The agency misuses the premises or facilities of the WBPDCL, forcefully occupies, tampers or damages the Company's properties including land, water resources, forests/ trees, etc.

7.20 The agency is found to have been in default in paying any statutory contribution and/or dues resulting in incurring financial loss to the company by virtue of an order and/or direction of any Statutory Authority for making statutory payment in respect of the agency concerned.

The grounds given above are only illustrative and not exhaustive. The Competent Authority may decide to blacklist and debar an agency and ban business dealing for any other good and sufficient reason.

8. Procedure:

The concerned department on noticing any non/ under-performance and/ or irregularities and/ or misconduct and/ or unethical practice and/or breach of contract or on any other ground mentioned in Clause 7 above, shall refer the matter to the concerned Director/ Executive Director in case of Corporate Office and General Manager in respect of power plants / projects as the case may be.

Concerned Director/ Executive Director/ General Manager on being prima facie satisfied with the allegation shall refer the proposal/ case with necessary observation to the Vigilance Department of Corporate Office.

The Vigilance Department shall upon reference investigate and inquire into the allegation seeking necessary clarification(s) from any concerned official(s) and submit its observation/ recommendation report to the Competent Authority. The Vigilance Department in the process of such investigation may seek assistance from the technical and/or HR&A and/or F&A wing.

The Competent Authority upon due consideration of the report of the Vigilance Wing may issue show cause notice directly or direct the authorized Officer to issue show cause notice to the delinquent agency.

9. **Show Cause Notice**:

With due approval of the Competent Authority, the Show Cause Notice duly vetted by the legal department shall be issued by the Competent Authority or by the authorized Officer not below the rank of General Manager, for the said purpose to the delinquent agency at its recorded address available with WBPDCL by special messenger and/ or under Registered Post.

The statement containing the imputation of misconduct or misbehavior to be appended to the Show Cause Notice and the agency should be asked to submit a written statement in its defence within 15 days from the date of service of such notice.

The Competent Authority or the Authorized Officer shall carefully consider the reply of the agency in the light of available documents and provisions of the law of the land.

If the reply is found to be convincing and the agency's responsibility in the case is found not to be attracting further action the case may be dropped after taking opinion of the Vigilance Cell and with the approval of the competent authority. The decision in this regard is to be communicated to the agency.

If the reply is found not to be convincing and the agency's responsibility in the case is under shadow of doubt, an enquiry is to be ordered after taking opinion of the Vigilance Cell by the Authorized Officer and with due approval of the Competent Authority.

In case no reply to the show cause notice is received within the stipulated time the matter may be proceeded ex-parte.

However, in each case copy of service return of notice be kept and a confirmatory document through electronic mode is sine qua non.

10. **Appointment of Enquiring Authority**:

The Competent Authority or the Authorized Officer shall constitute an Enquiring Authority with maximum of three members for holding enquiry proceedings with due adherence to the principles of natural justice.

During the course of enquiry proceedings, only the authorized representative of the concerned agency shall be permitted to defend the case on behalf of the delinquent employee. Similarly WBPDCL shall also appoint one of its officers not below the rank of Assistant Manager or equivalent to represent the case on behalf of WBPDCL. No outsider or Advocate shall be allowed to represent any of the parties.

Enquiring Authority may allow examination of witnesses and submission of documents from both sides.

Upon conclusion of the proceedings the Enquiring Authority shall submit its Enquiry Report along with findings to the concerned authority preferably within 02 (two) months.

11. Reasoned Order :

The Competent Authority or the Authorized Officer as the case may be, upon careful consideration of the report of the enquiry along with comments thereon received from the Vigilance Department shall issue speaking order either exonerating the agency from the charges or blacklisting and debarring the agency from any business dealing.

The reasoned order shall be communicated to the agency at its recorded address available with WBPDCL within 15 days of order issued.

12. **Period of Blacklisting and Debarment**:

The period for which an agency is blacklisted and debarred shall clearly be mentioned in the order. Period of blacklisting and debarment of business shall be decided by the Competent Authority in exercise of its discretion and would depend upon the seriousness of the case leading to such debarment. Generally, blacklisting and debarment shall be for a minimum period of three years and shall not exceed five years. However, if circumstances warrant, the Competent Authority may impose a longer period of debarment.

The debarment can be with or without forfeiture of security deposit and/or invoking bank guarantee furnished by the agency.

Provided further that in case the information/ documents submitted by the agency in competing for the tender is found to be false/ forged at any point of time, WBPDCP without prejudice to any other rights/ remedies under the law of the land, shall recover from the agency the cost incurred in carrying out physical assessment for establishing veracity of such information/ documents. In case the agency refuses to reimburse such cost to WBPDCL, the blacklisting and debarment period of the agency may be extended by another period upto two years. WBPDCL also reserves the right to proceed with seeking appropriate legal remedy/ recourse against the defaulting agency as per law of the land.

13. **Consequences of Blacklisting and Debarment**:

Upon issuance of the order of blacklisting and debarment of an agency from business dealings, the debarred agency shall not be allowed to participate in any tender during the banned period and if the agency has already participated in the tender process and the price bid is not opened prior to issuance of the order of debarment of business dealings, its Techno Commercial Bid will be rejected and Price Bid will be returned un-opened.

In the event the Price Bid of the participating agencies has been opened and the agency against whom the order of blacklisting and debarment of business dealings has been issued emerged as the L_1 bidder, the bid of the blacklisted or debarred agency shall be rejected.

Provided the order of blacklisting and debarment of business dealings issued against any agency shall not override the rights of the blacklisted and debarred agency already engaged in executing any other contract(s) till its completion.

The names of the agencies with whom business dealings have been blacklisted and debarred shall be uploaded on the website of WBPDCL with a copy to the Department of Power & NES, Government of West Bengal, as well as other power utilities in the State of West Bengal.

14. Withholding Business dealings:

The business dealings with the agency may be withheld, for a period not exceeding six months, if the competent authority has sufficient reason to believe that there is serious breach of terms and conditions of the contract on account of reasons attributable to the agency. Any such order withholding business dealings shall be followed by proceedings for blacklisting and debarment under this policy.

15. Appeal against the order of the Authority:

The agency may file an appeal before the Appellate Authority against the order of the competent authority or any other authority as the case may be for blacklisting and debarment of business dealing with the agency. Such an appeal may be preferred within one month from the date of receipt of the order of blacklisting and debarment of business dealing. Appellate Authority shall consider the appeal and pass appropriate order which is to be communicated to the agency.

16. Revocation of Order:

16.1 The order for blacklisting and debarment passed for certain specified period shall be deemed to have been automatically revoked on expiry of the specified period only.

16.2 An order of blacklisting and debarment for the reasons mentioned at para. 7.2 before may be revoked if accused has been wholly exonerated by the Court of Law.

17. **Disclaimer / Forfeiture of EMO/ Security deposit:**

During the blacklisting and debarment period if it is detected that the agency has participated in the tender under a different name or as a partner in participating consortium/Joint Venture or sub-agency of the participating bidder, WBPDCL would be at liberty to debar the agency from participating in the tender and in such case EMD/ Security deposit shall be forfeited with option to take recourse to any legal remedy.

18. Interpretation:

The Competent Authority shall be responsible for the administration, interpretation, application and revision of this policy. The policy will be reviewed and revised as and when needed.

ANNEXURE-19: MODEL FORMAT OF BANK GUARANTEE FOR ADVANCE PAYMENT

ANNEXURE – 19
[Ref Clause No: - 8.13.1(b)]

Format of Bank Guarantee for Advance Payment

_____
Beneficiary: _____

Date: _____

ADVANCE PAYMENT GUARANTEE No.: _____

We have been informed that _____ (hereinafter called "the Contractor") has entered into Contract No.: _____ dated _____ with you, for the execution of _____ (hereinafter called "the Contract").

Furthermore, we understand that, according to the conditions of the Contract, an advance payment in the sum of Rs._____/- (_____) is to be made against an advance payment guarantee.

At the request of the Contractor, we _____ hereby irrevocably undertake to pay you any sum or sums not exceeding in total an amount of Rs. _____/- (_____) upon receipt by us of your first demand in writing accompanied by a written statement stating that the Contractor is in breach of its obligation under the Contract because the Contractor used the advance payment for purposes other than toward the execution of the Works.

It is a condition for any claim and payment under this guarantee to be made that the advance payment preferred to above must have been received by the Contractor on his account number _____ at _____.

The maximum amount of this guarantee is valid shall be progressively reduced in proportion to the value of each part-shipment or part-delivery of plant and equipment to the site, as indicated in copies of the relevant shipping and delivery documents that shall be presented to us. This guarantee shall expire, at the latest, upon our receipt of documentation indicating full repayment by the Contractor of the amount of the advance payment, or on the _____ day of _____, 2____, whichever is earlier. Consequently, any demand for payment under this guarantee must be received by us at this office on or before that date.

This guarantee is subject to the Uniform Rules for Demand Guarantees, ICC Publication No.: 458.

_____
[Signature(s) name of bank or financial institution]

ANNEXURE - 20: PROFORMA FOR CONTRACT PERFORMANCE GUARANTEE

ANNEXURE – 20

(Clause 8.13.2)

Proforma for Contract Performance Guarantee

PROFORMA FOR BANK GUARANTEE (FOR CONTRACT PERFORMANCE GUARANTEE)

(To be stamped in accordance with Stamp Act, if any, of the Country of the issuing Bank)

Bank Guarantee No.: _____

Date: _____

To,

[Procuring Entity's Name & Address]

Dear Sir,

In consideration of the.... *[Procuring Entity's Name]*..... (Hereinafter referred to as the 'Procuring Entity' which expression shall unless repugnant to the context or meaning thereof, include its successors, administrators and assigns) having awarded to M/s..... *[Contractor's Name]*..... With its Registered/Head Office at..... (Hereinafter referred to as the 'Contractor', which expression shall unless repugnant to the context or meaning thereof, include its successors administrators, executors and assigns), a Contract by issue of *Procuring Entity's* Letter of Acceptance No. ..... dated ..... and the same having been acknowledged by the Contractor, for …… [Contract sum in figures and words] for ……. *[Name of the work]* and the Contractor having agreed to provide a Contract Performance Guarantee for the faithful performance of the entire Contract equivalent to …… (*)…….. of the said value of the aforesaid work under the Contract to the Procuring Entity.

We..... *[Name & Address of the Bank]*..…..... having its Head Office at..... (hereinafter referred to as the 'Bank', which expression shall, unless repugnant to the context of meaning thereof, include its successors, administrators, executors and assigns) do hereby guarantee and undertake to pay the *Procuring Entity* on demand any and all monies payable by the Contractor to the extent of ..... (*) ..... as aforesaid at any time upto..... (@) ..... *[days/month/year]* without any demur, reservation, contest,

recourse or protest and/or without any reference to the Contractor. Any such demand made by the *Procuring Entity* on the Bank shall be conclusive and binding notwithstanding any difference between the *Procuring Entity* and the Contractor or any dispute pending before any Court, Tribunal, Arbitrator or any other authority. The Bank undertakes not to revoke this guarantee during its currency without previous consent of the *Procuring Entity* and further agrees that the guarantees herein contained shall continue to be enforceable till the *Procuring Entity* discharges this guarantee or till ……*[days/month/year]* whichever is earlier.

The *Procuring Entity* shall have the fullest liberty, without affecting in any way the liability of the Bank under this guarantee, from time to time to extend the time for performance of the Contract by the Contractor. The *Procuring Entity* shall have the fullest liberty, without affecting this guarantee, to postpone from time to time the exercise of any powers vested in them or of any right which they might have against the Contractor, and to exercise the same at any time in any manner, and either to enforce or to forbear to enforce any covenants, contained or implied, in the Contract between the Procuring Entity and the Contractor or any other course or remedy or security available to the Procuring Entity. The Bank shall not be released of its obligations under these presents by any exercise by the Procuring Entity of its liberty with reference to the matters aforesaid or any of them or by reason of any other act or forbearance or other acts of omission or commission on the part of the *Procuring Entity* or any other indulgence shown by the *Procuring Entity* or by any other matter or thing whatsoever which under law would, but for this provision have the effect of relieving the Bank.

The Bank also agrees that the Procuring Entity at its option shall be entitled to enforce this Guarantee against the Bank as a principal debtor, in the first instance without proceeding against the Contractor and notwithstanding any security or other guarantee the Procuring Entity may have in relation to the Contractor's liabilities.

Our liability under this Bank Guarantee shall not exceed ……..
This Bank Guarantee shall be valid up to and including ……

We are liable to pay the guaranteed amount or any part thereof under this Bank Guarantee only and only if Procuring Entity serve upon Bank a written claim or demand on or before ……..@……..
Dated this..... Day of .....(Month)..... (Year)…..... at.....

WITNESS

.....	.....
(Signature)	(Signature)
.....	.....
(Name)	(Name)
.....	.....
(Engineer / Officer Address)	(Designation with Bank Stamp)
	.....
	Attorney as per Power of Attorney No..... .
	Dated.....

Notes:

1. (*) This sum shall be 10% (ten percent) of the Contract Price.
2. (@) This date will be Ninety (90) calendar days beyond the defects liability period as specified in the Contract.
3. The stamp papers of appropriate value shall be purchased in the name of guarantee issuing Bank.

ANNEXURE - 21: VENDOR REGISTRATION APPLICATION FORM

ANNEXURE – 21

(Ref Clause No 10.4.2)

VENDOR REGISTRATION APPLICATION FORMS

PART – I	PART- II	
Common Information for All Vendors seeking registration	A.	Only for AMC/ARC related to Operation, Maintenance, Civil & Other Jobs of the Plant
	B.	Only For Manufacturer
	C.	Only for Supplier
	D.	Only for Manufacturer cum Supplier

Note: Vendors seeking registration shall submit duly filled in Application in Part-I along with Part-II(A/B/C/D), as applicable in their case.

PART-I

VENDOR REGISTRATION APPLICATION FORM

Sl. No.	Name of the VENDOR: Classification of Vendor (Tick whichever is applicable)	a) Manufacturer : b) Supplier: Authorised Distributor : Authorised Seller : Stockiest : Local Agent : Importer : c) Other (Specify) :	
2.0	Name of the Material/ Works for which registration is sought for (Refer List of Items available in the WBPDCL Site)	Item Category: Materials:	
3.0	Date of Commencement of Commercial Production/ Business Established	:	
4.0	Date of Incorporation of the Firm	:	
5.0	Address, Phone, FAX, Mobile No., Website, E-Mail	:	
5.1	Ordering Address, if NOT same as above	:	
5.2	Regd. Office	:	
5.3	Works/ Factory/ Shop	:	

5.4	Branches	:	
5.5	Associates/ Sister Concern (if any)	:	
5.6	Local Dealer/ Stockiest. Agent engaged in sales and/ or after sales Service (if any)	:	
6.0	Type Of Company (Tick whichever is applicable)	:	a) Proprietorship ☐ b) Partnership ☐ c) Private Limited ☐ d) Public Limited ☐ e) Others (specify) ☐ _____ Date:_____
7.0	Name of the Proprietor/ Managing Partner/ Managing Director	:	
8.0	Contact Person's Name & Phone Number	:	
9.0	Type of Business	:	a) Micro Scale Industry ☐ b) Small Scale Industry ☐ c) Medium Scale Industry ☐ d) Large Scale Industry ☐

10.0	Registration with and number (Furnish the details whichever is available or applicable)	:	a)	SSI/ District Industries Centre:
			b)	NSIC:
			c)	MSME:
			d)	GST Reg. No.:
			e)	PAN:
			f)	Trade License No.:
			g)	Employees' Provident Fund:
			h)	Employees' State Insurance:
11.0	Bank Details	:	a)	Bank Name:
			b)	IFSC Code:
			c)	Account No.:
			d)	MICR Code:
			e)	Bank Address:
			f)	SWIFT Code:
12.0	Registration Fee particulars	:	a)	DD No.: Date:
			b)	For
			c)	Rs.
			d)	Drawn on:

It is certified that the information furnished above is true to the best of my/ our knowledge and belief and copies of documents as per the CHECK LIST are enclosed. It is, hereby, undertaken that in the event of any of the above information found to be false or incorrect at a later date, WBPDCL is entitled to cancel the enlistment of our firm with WBPDCL/ ban the firm besides forfeiture of registration fee.

PLACE:
DATE:

(Signature in full)

(Name in full)
(in Capital Letters)

Designation:

Company
Seal:

PART-II(A)

FOR MANUFACTURERS

13.0	Is your factory registered under the Indian Factories Act, 1948?	:	☐ Yes	☐ No
13.1	To what specification are the equipment, materials manufactured ISO certification details (IS, IEC, BS, DIN etc.)	:		
13.2	Whether the equipments spares could be manufactured to WBPDCL drawings		☐ Yes	☐ No
13.3	License/ Statutory certification Details (Factory License, Trade License, IBR Certification etc.)	:		
13.4	Foreign Collaborations, if any	:		
13.5	Indicate the major raw materials used and their sources	:		
13.6	Whether Plant & Equipment available for manufacturing and testing of materials for which registration is sought for	:	☐ Yes	☐ No
13.7	Power	:		
13.7.1	Design and Development	:		
13.7.2	Production	:		
13.7.3	Quality & Inspection	:		
13.8	CAPACITY	:		
13.8.1	Manufacturing Capacity (installed) and expansion plans, if any	:		
13.8.2	Licensed Capacity	:		
13.8.3	Last year's capacity utilization	:		

It is certified that the information furnished above is true to the best of my/ our knowledge and belief and copies of documents as per the CHECK LIST are enclosed. It is, hereby, undertaken that in the event of any of the above information found to be false or incorrect at a later date, WBPDCL is entitled to cancel the enlistment of our firm with WBPDCL/ ban the firm besides forfeiture of registration fee.

PLACE:
DATE:

_____
(Signature in full)

_____
(Name in full)
(in Capital Letters)

Designation: _____

Company Seal: _____

PART-II(B)

FOR SUPPLIERS (INCLUDING AUTHORISED DISTRIBUTOR/ SELLER/ STOCKIEST)

14.0	Name of the Principal/ Principals and their Products	:			
14.1	Having any agreement with the Principal/ Principals (Tick whichever is applicable)	:	a)	Technical Support Agreement:	
				Valid upto:	_____
			b)	Authorized Distributor/ Dealership:	_____
				Valid upto:	_____
			c)	Others (specify):	_____

It is certified that the information furnished above is true to the best of my/ our knowledge and belief and copies of documents as per the CHECK LIST are enclosed. It is, hereby, undertaken that in the event of any of the above information found to be false or incorrect at a later date, WBPDCL is entitled to cancel the enlistment of our firm with WBPDCL/ ban the firm besides forfeiture of registration fee.

PLACE: _____
(Signature in full)

DATE:

_____
(Name in full)

(in Capital Letters)

Designation: _____

Company Seal: _____

PART-II(C)

FOR BOTH MANUFACTURER & SUPPLIER

15.0	Product Range	:	1. 2. 3. 4. 5.		
16.0	Mode of sales and after sales service [if sales & after sales service facility through supplier (furnish service branch address)]	:	Sales	☐ Direct	☐ Supplier
			After Sales Service	☐ Direct	☐ Supplier
17.0	Have you executed orders of WBPDCL previously for this item? If so, please give full details about the execution of orders and pending orders, if any.	:			
18.0	Similar details in respect of supply to the Power Generating Station (250MW & above) of State Utilities or Reputed Private Power Generating Station	:			
19.0	Production/ Sales in the last 03 (three) years (Year-wise details of Quantity and value) A separate sheet may be enclosed	:			
20.0	Are you enlisted with any other Power Generating Station (250MW & above) of State Utilities or Reputed Private Power Generating Station?	:			
21.0	Did you apply for registration before with WBPDCL for this or any other item? If so, give details	:			
22.0	Are the Owners/ Partners related to any Employee of WBPDCL? If so, provide details	:			
23.0	Brief History of labour relations in the organisation in last one year (Specify strikes, lockouts and tool down, if any)	:			

It is certified that the information furnished above is true to the best of my/ our knowledge and belief and copies of documents as per the CHECK LIST are enclosed. It is, hereby, undertaken that in the event of any of the above information found to be false or incorrect at a later date, WBPDCL is entitled to cancel the enlistment of our firm with WBPDCL/ ban the firm besides forfeiture of registration fee.

_____
(Signature in full)

_____
(Name in full)
(in Capital Letters)

Designation: _____

Company Seal: _____

PART-II(D)

For AMC/ ARC, Overhauling & Maintenance etc jobs related to Thermal Power Stations

D) :

24.0	Details of Experience of AMC/ ARC, Overhauling & Maintenance etc. jobs related to Thermal Power Stations	:	a) b)
24.1	Details of execution of similar nature of jobs (other than Thermal Power Generating Stations) of State Utilities or Reputed Private Engineering concern as for Example Industries related to Petroleum, Energy etc.	:	
24.1	Are you enlisted with any other Power Generating Station (250MW & above) of State Utilities or Reputed Private Power Generating Station? If so, give details	:	
24.2	Did you apply for registration before with WBPDCL for this or any other item? If so, give details	:	
24.3	Are the Owners/ Partners related to any employee of WBPDCL? If so, provide details	:	

It is certified that the information furnished above is true to the best of my/ our knowledge and belief and copies of documents as per the CHECK LIST are enclosed. It is, hereby, undertaken that in the event of any of the above information found to be false or incorrect at a later date, WBPDCL is entitled to cancel the enlistment of our firm with WBPDCL/ ban the firm besides forfeiture of registration fee.

_____
(Signature in full)

_____
(Name in full)
(in Capital Letters)

Designation: _____

Company Seal: _____

ANNEXURE - 22: VENDOR REGISTRATION CERTIFICATE

ANNEXURE - 22

(Ref Clause No 10.5.1)

THE WEST BENGAL POWER DEVELOPMENT CORPORATION LIMITED
(A Govt. Of West Bengal Undertaking)

VENDOR REGISTRATION CERTIFICATE

Ref No: ..... Dated: .....

M/s ----------

Dear Sir,

Sub: WBPDCL Vendor Registration Division

This has with reference to your Vendor Registration application dated..... in pursuance to WBPDCL's notification Vide ..... Dated ..... WBPDCL is pleased to inform you that your firm has been provisionally registered as a vendor for .....(supply/manufacture/both supply & manufacture of following products/AMC or ARC job related to operation/ maintenance / other jobs of..... {KTPS/BTPS/STPS/BkTPS/SgTPP/Corporate}).

S.No (1)	Description of Item (2)	Manufacturer/ Supplier (3)	Item code (4)	V.R. No (5)

PLEASE NOTE:

1. Vendor Registration number (VR No.) mentioned in column (5) of the above table shall be quoted for all future correspondences.

2. This registration certificate is valid for 3 (three) years from the date of issue of this letter.

3. High standard of integrity and performance in respect of dealings and supplies shall be maintained and give no cause for complaints.

4. Timely response to the enquiries and acceptance to WBPDCL's terms & conditions is expected.

5. All the statutory documents shall be renewed as and when expires during the validity period

6. Valid statutory and financial documents shall be produced as and when requested.

7. If there is any change of address and/or name, the same shall be immediately brought to the notice of this office to update the same.

8. This registration neither guarantees for the award of contract/order nor confer any right to demand of enquiries.

9. Further, this registration does not automatically qualify you against any of the Tenders floated/to be floated by WBPDCL and you shall confirm/fulfil all the technical and commercial terms and conditions of such Tenders to emerge as a qualified bidder.

10. WBPDCL reserves the right to cancel your registration at any time without assigning any reason.

11. The registration is liable for premature termination if found non-responsive against enquiries or on account of performance and disabilities etc.

12. To participate in the Open/Limited Tenders above Rs. _____, the vendor has to obtain digital signature certificate and registration with e-market portal at https://wbtenders.gov.in

13. Fresh application along with requisite documents shall be submitted for renewal of registration, 6 (six) months before expiry of validity period, in order to continue the name of your Firm / Organization as registered Vendor in KTPS/BTPS/STPS/SgTPP/BkTPS/ Corporate Office, WBPDCL, approved vendors list.

Your Sincerely
General Manager

.....

ANNEXURE - 23: FORMAT FOR DECLARATION OF NON-DEGRADATION OF CREDENTIAL

ANNEXURE – 23

(Ref Clause No 10.5.1)

FORMAT FOR DECLARATION OF NON-DEGRADATION OF CREDENTIAL

To

The Dy. General Manager (M&C)

.....
Date:

Sub: Application for declaration of non-degradation of credentials by the Organization/Firm, M/s.....

Sir,

We are a registered vendor having VR No:-..... under your esteemed organization and Registration Certificate vide ..... dated..... has been issued in our favour after assessing our credentials.

We hereby declare that we are executing job under your organization and the validity of tenure of such job is upto..... / We have successfully executed the job awarded to us and would like to inform you that during the last financial year...../current financial year .... we are maintaining the same degree of credential / we have successfully achieved higher credential by accomplishment of job (details of job.....) awarded to us vide Order No. ... dated....

Yours Faithfully,

(Signature & Seal of Authorised Signatory)

M/s.....

ANNEXURE - 24: CHECK LIST FOR VENDOR REGISTRATION

ANNEXURE-24

(Ref. Clause 10.5.1)

CHECK LIST

Copies of the following documents must be enclosed to the application form for Vender Registration, and also please mark ☐ for the submitted documents in the given box

01. Product Catalogue : ☐

02. Company Profile : ☐

03. Manufacturing Unit/ Workshop premises : ☐

(i) Ownership Deed/ Sale Deed ☐ (ii) Lease Deed ☐

(iii) Private/ Public Limited ☐

04. Company/ Firm Type:

(i) Sole Proprietorship Deed ☐ (ii) Pvt./ Public Limited (Memorandum of Articles) ☐

05. Valid Industrial Registration Certificate in case of manufacturer:

(i) SSI/ DIC ☐ (ii) NSICL ☐ (iii) MSME ☐ (iv) UAM ☐

06. Valid Factory License Certificate issued by Inspector of Factories in case of manufacturer : ☐

07. Valid Trade License/ Shops & Establishment Certificate in case of supplier/ service provider : ☐

08. Importer & Exporter License (if available) : ☐

09. Documents indicating authorized signatory : ☐

10. Valid Authorized Dealer/ Distributorship Certificate/ Technical Support Agreement issued by your Principals (if Supplier). Strike off whichever is not applicable : ☐

11. Authorization Certificate of Local Agent appointed, if any : ☐

12. Purchase Orders executed/ under execution placed by WBPDCL/ WBSEDCL/ WBSETCL/ other Power Generating Utilities/ PSUs related to Petroleum/ Energy Sector : ☐

13. Performance report issued by any Govt./ reputed organizations by any entities as WBPDCL/ WBSEDCL/ WBSETCL/ other Power Generating Utilities/ PSUs related to Petroleum/ Energy Sector : ☐

14. Vendor Enlistment Certificate with Govt./ reputed organisation as WBPDCL/ WBSEDCL/ WBSETCL/ other Power Generating Utilities/ PSUs related to Petroleum/ Energy Sector :

15. GST Registration Certificates :

16. Details of Manpower:

i) Engineer:

(a) Graduate (b) Diploma

ii) Managerial/ Supervisory Staff:

(a) Administration (b) Finance

(c) Supervisory

iii) Qualified ITI manpower:

(a) Technician (b) Electrician

(c) Machinist (d) Fitter

(e) Welder

17. Documents in support of Compliance of GST :

18. EPF and ESI, if available :

19. PAN Card :

20. Details of Machinery (Name of the machinery – size/ specification/ Nos.) :

21. Details of testing equipment (Name of Testing Machine – Specification/ year of purchase/ date of last calibration :

22. Test Certificate as per the relevant IS specifications :

23. Financial Statement for the last 03 (three) Financial Years

(a) Profit & Loss Accounts (b) Balance Sheet

24. Latest Bank Solvency Certificate :

ANNEXURE - 25: VENDOR APPRAISAL SHEET

ANNEXURE -25
(Ref Clause No 10.10.1)

THE WEST BENGAL POWER DEVELOPMENT CORPORATION LIMITED

VENDOR APPRAISAL SHEET

New Vendor/ Old Vendor Seeking Renewal

1. Name of Vendor

Phone:
Fax:
E-Mail:
Web:

2. Address of Vendor :

3. Material Item Group Code:

4. Material Description:

5. Public Co./Private Co./ Partnership firm/Proprietary Concern:

6. Manufacturer/Authorized Distributor/Dealer/Trader/Stockiest/ Vendor associated with ARC/AMC/other jobs:

7. Premises of the firm is own/Lease:

8. Manufacturer:

a) SSI/Medium/Large Scale Unit:

b) Enlisted with NSICL/Dept. of Industries:

c) Factory License:

d) Experience in business Line:

e) Manufacturing, testing, quality control facilities :

f) Supplies made to

9. Supplier:

(a) Valid Dealership Certificate:

(b) Shop Establishment Certificate:

(c) Supplies made to:

(d) Experience in business line

10. **ARC/AMC/other jobs:**

a) Service Provider registered with MSME:

b) Enlisted with NSICL/SSI/UAM:

c) Experience of AMC/ARC, Overhauling & Maintenance etc jobs:

11. Finance:

(a) Latest Bank Solvency Certificate:	Enclosed / Not Enclosed
(b)Balance Sheet, Profit& Loss Statements for the Last 3 FY (as on the date of application for Registration):	Enclosed / Not Enclosed
(c) GST paid Challans:	Enclosed / Not Enclosed
(d) IT PAN card:	Enclosed / Not Enclosed

11. Remarks:

1) Submitted to TC for furnishing recommendations and Approving authority for approval

RECOMMENDATIONS

1 Recommended for Vendor Registration/Renewal with/without inspection.

2. Not recommended for vendor registration (with reasons)

Signature of TC Members:

"Approved / Not Approved"

(Signature of Competent Authority)

ANNEXURE - 26: FORMAT FOR SIMPLIFIED EVALUATION OF QUALITY

ANNEXURE – 26

***[Ref: Clause No.*11.3.8 (2)]**

FORMAT FOR SIMPLIFIED EVALUATION OF QUALITY

Name of the consultancy firm:

1. **Responsiveness**

Sl. No.	Item	Required response
1.	Has the consultant paid the RFP document fees?	Yes
2.	Has the consultant submitted the requisite bid processing fee and bid security?	Yes
3.	Have all the pages required to be signed by the authorized representative of the consultant been signed?	Yes
4.	Has the power of attorney been submitted in the name of authorized representative?	Yes
5.	In the case of JV/consortium, whether the MOU has been submitted.	Yes
6.	Has the consultant submitted all the required forms of the technical proposal?	Yes
7.	Does the technical proposal contain any financial information?	No
8.	Is financial proposal submitted separately in a sealed cover?	Yes

2. **Evaluation of proposal.**

Sl. No.	Item	Required response
1	Does the consultancy firm have the required experience?	Yes
2	Does the proposed methodology of work fulfil the objectives of the assignment/job till the last detail of the TOR?	Yes
3	Do the methodology, work plan and staffing schedule provide coverage of the entire scope of work as described in TOR?	Yes
4	Does the team leader fulfil the minimum educational qualification and experience criteria?	Yes

5	Has the consultant provided for all the professionals for requisite expertise?	Yes
6	Does the key professional (indicate the position) fulfil the minimum educational qualification and experience criteria? [Evaluate for all the proposed key personnel]	Yes
7	Are the staffing schedule including the key professionals proposed, the responsibility assigned to them and the support staff together adequate for performing the entire scope of work indicated in the TOR?	Yes

Note: If the answer is yes, in all the cases except for 1.7, the consultancy firm is considered technically qualified for the assignment.

ANNEXURE - 27: FORMAT FOR DETAILED EVALUATION OF QUALITY

ANNEXURE – 27

[Ref: Clause No.*11.3.8 (2)*]

Summary Sheet
(Compiled from II-A, II-B, II-C, II-D)
(Only for proposals considered as responsive)

Serial no.	Name of the consultant	Firm's experience (Max. Marks)	Methodology & work schedule (Max. Marks)	Qualifications of key professionals (Max. Marks)	Total Marks. (Max. Marks 100)

II–A
Responsiveness

Name of the Consultancy Firm

Serial no.	Item	Required response
1.	Has the consultant paid the RFP document fees?	Yes
2.	Has the consultant submitted the requisite bid processing fees and bid security?	Yes
3.	Have all the pages required to be signed by the authorised representative of the consultant been signed?	Yes
4.	Has the power of attorney been submitted in the name of the authorised representative	Yes
5.	In the case of JV/Consortium, whether the MOU/Contract Agreement has been submitted?	Yes
6.	Has the consultant submitted all the required forms of the technical proposal?	Yes
7.	Has the consultant provided all the professionals for the requisite expertise?	Yes

8.	Does the technical proposal contain any financial information?	No
9.	Is the financial proposal submitted separately in a sealed cover?	Yes

II -B
Evaluation of Consultancy Firm's Experience

Serial no.	Name of the consultancy firm	Number of projects of similar nature	Marks awarded (Max. Marks)

II-C
Evaluation of Methodology & Work Schedule

Serial no.	Name of the consultancy firm	Understanding of TOR (Max. Marks)	Work Plan & Methodology (Max. Marks)	Organization and staffing for the proposed assignment (Max. Marks)	Total

II-D
Evaluation of the Consultants Key Professionals
Name of the Consultancy Firm :

Serial no.	Name of the key professionals	Educational qualification	Max. Marks	No. of projects of similar nature	Max. Marks	Experience of the region (No. of projects in the region)	Max. Marks	Total Marks (4+6+8)
1	2	3	4	5	6	7	8	9

ANNEXURE - 28: GUIDELINES FOR CREATING GENERAL PROCUREMENT NOTICES AND PUBLICATION THEREOF AT UNDB

ANNEXURE – 28

[Ref: Clause No.12.1.1 (b)]

Guidelines for creating General Procurement Notices and publication thereof at United Nation's Development Business (UNDB)

- The following fields (listed in the template mentioned below) are mandatory:

  - Project country
  - Financing institution (for example, the Inter-American Development Bank)
  - Sector
  - Project name
  - Procurement type
  - Title (usually "General Procurement Notice")

- The overall text should be in a simple format, no images or logos, most text left justified, preferred font: Tahoma 12.

- Notices can be published in English.

- If the same notice is published in more than one language, it should be published altogether as one notice one placed on top of the other.

- Completed notices should be sent by email to UN Development Business (UNDB) at **dbusiness@un.org** as an MS Word attachment (not PDF). Notices are published **as soon as possible but generally not longer than two working days** from when they are received. A confirmation is received once the notice is published. If no such notice is received within **two working days**, office of the UNDB shall be contacted, but do not re-send the notice as it could result in duplication. The preferred method of communication is email, but UNDB office may be contacted over phone at +1-202-458-2397.

- Large documents (such as the Procurement Plan) are generally not published as part of the procurement notice, but they can be sent along with the notice and will be attached as an MS Word or PDF document (Excel documents cannot be attached). Up to four documents can be sent as attachments. There is no charge to publish attachments.
  (See template at next page)

GENERAL PROCUREMENT NOTICE TEMPLATE

Project country:*	
Financing institution:*	
Sector:*	<select here to view sector list>
Project name:*	
Procurement type:*	<select applicable type(s) and delete the others>: -Goods -Works -Consulting Services -Non-Consulting Services
Title:*	General Procurement Notice (GPN)
Project ID:	
Loan/Credit/Grant Financing No.:	
Miscellaneous:	<optional field to briefly list any additional information>

**Required Information*

Insert full text of the notice here including:

- Name of implementing agency or government office
- The amount, purpose of loan and scope of procurement reflecting the procurement plan
- Contact information (address, telephone, email, etc.)

ANNEXURE-29: dgMARKET– GUIDELINE FOR REGISTRATION AND PUBLICATION OF PROCUREMENT NOTICE

Annexure – 29

(Ref: Clause No 12.1.1.b.)

dgMarket – Guideline for Registration and Publication of Procurement Notice

dgMarket allows government agencies, development institutions, and other large purchasers to announce procurement opportunities on the web at no cost. It increases the transparency in advertising since these announcements will be available to suppliers all over the world. Purchaser registration is open and free to governmental agencies, development agencies, non-profits, and public companies that Tender for goods, works and services.

To publish procurement opportunities on dgMarket site, purchaser has first to be approved to obtain publication rights. The purchaser has to first apply for new buyer registration and needs to be logged into the website or registered themselves by providing information at www.dgmarket.com. which includes description of purchaser organization and the contact information. To facilitate approval of request, purchaser needs to send an e-mail to support@dgmarket.com with the name of their organization.

Once purchasers request is received through an e-mail form, process of approval of purchaser's organisation in the system of dgMarket would be proceeded and the purchaser will receive an automatic email once the request of purchaser has been approved. The purchaser will be automatically assigned administrative rights that will allow them to edit their profile, publish procurement notices, and assign other administrators or editors.

Purchaser may add procurement notice. Following guidelines shall be followed while publishing a notice:

1. Purchaser needs to provide certain information about the notice to be published, including its type and procurement codes for the procured goods, works or services (using a CPV codes selector).

Common Procurement Vocabulary (CPV) establishes a single classification system for public procurement aimed at standardising the references used by contracting authorities and entities to describe the subject of procurement contracts.CPV codes allow the website to send e-mail alerts to thousands of registered suppliers with matching business profiles once purchaser's notice is published. They also help producing a short abstract of purchaser's notice in their chosen language (over 20 languages available).

2. Purchaser is required to paste the legal text of the notice into the form.
3. Purchaser can also attach bidding documents and annexes to the notice.

Adding a procurement notice

Once purchaser has acquired appropriate editor or administrator rights, they can start publishing procurement notices by navigating to the main page of the respective purchaser, then:

1. Click on 'Add a Notice' link.
2. Select the language, the country, the notice type, the contract title and number (as assigned by buyer), the minimum qualification criteria and eligibility of bidders (if applicable), complete the deadline information, fill the contact information and paste the text of the notice in the field underneath. Then click 'Save and Continue'.
3. Search for the names of appropriate categories of the procured goods or services, select most relevant CPV code(s), and click 'Continue'.
4. Upload related bidding documents or appendixes, if there are any.
5. Preview and publish the notice.

Completed notices will be published immediately. Generally it may take up to 24 hours for a new notice to become fully searchable by suppliers on dgMarket. It is possible to publish the same notice in different languages.